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SMART REVISION QUESTION BANK

PART 1

THE INDIAN CONTRACT ACT, 1872 (Units 1 - 9)



Application-Based
Questions



Model Answers



Questions from
Previous Exams



Revision &
Practice Framework

IN-DEPTH PREPARATION | BETTER UNDERSTANDING | HIGHER SCORES



The Law कक्षा

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SMART REVISION QUESTION BANK

PART 1

THE INDIAN CONTRACT ACT, 1872

Units 1 to 9

Application-Based Questions · Model Answers · Examiner's Answer-Writing Framework

Includes Solved Questions and Answers from the September 2026 paper

Part 2 of this Question Bank covers the remaining enactments of the syllabus —

Indian Regulatory Framework

The Sale of Goods Act, 1930

The Indian Partnership Act, 1932

The Limited Liability Partnership Act, 2008

The Companies Act, 2013

The Negotiable Instruments Act, 1881

About Us

The Law कक्षा Learn. Practise. Excel.

The Law Kaksha was created with a simple belief: understanding a concept is only the beginning of learning. True preparation begins when you learn to apply that understanding to questions, situations and problems.

For CA Foundation students, studying Business Laws involves more than remembering provisions and definitions. It requires developing the ability to read a question carefully, identify the relevant legal principle, apply it to the given facts and arrive at a reasoned conclusion.

Yet, one of the challenges students often face is finding sufficient structured practice beyond their regular study material. While the ICAI Study Material, RTPs, MTPs and previous year papers remain essential to examination preparation, additional practice can help students strengthen their conceptual understanding and build confidence in applying the law.

That is where The Law कक्षा comes in.

We aim to create learning resources that bridge the gap between studying concepts and practising their application. Our question banks are designed to encourage active learning, structured revision and thoughtful problem-solving, helping students approach their preparation with greater clarity and purpose.

Through chapter-wise questions, application-based case studies, exam-oriented practice and detailed solutions, we seek to make the learning process more organised and meaningful.

We believe that students do not simply need more content. They need the right opportunities to practise, reflect, identify gaps in their understanding and improve.

The Law कक्षा is a learning space built around that belief.

Because learning the law is not just about knowing what a provision says. It is about understanding when, why and how it applies.

Learn with clarity. Practise with purpose.

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Preface

The Indian Contract Act, 1872 is the largest chapter in Paper 2, and the one students believe they've finished long before they have. It reads easily: offer, acceptance, consideration, free consent. That readability is exactly what makes it dangerous. The confidence it creates collapses the moment a problem is set instead of a definition asked.

This is Part 1 of a two-part Question Bank, covering all nine units of the Act. Part 2 covers the remaining enactments of the syllabus — the Sale of Goods Act, 1930; the Indian Partnership Act, 1932; the Limited Liability Partnership Act, 2008; the Companies Act, 2013; and the Negotiable Instruments Act, 1881 and Indian Regulatory Framework.

Nothing here replaces the ICAI Study Material, or the RTPs, MTPs, and past papers that remain the floor of preparation. What this book adds is the layer above that floor: fact comprehension and structured application, reading a set of facts accurately, and applying the right provision to them. That is what recent papers, most visibly May and September 2026, have shifted toward testing, and it is what most students are still not prepared for.

Every model answer here follows a labelled three-step form — Provision, Application, Conclusion — explained in full in “How to Use This Question Bank.”

Errors are possible in a work of this size. Where you find one, please write to us — it will be corrected.

Disclaimer:

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How to Use This Question Bank

Unit Overviews

Every unit in this book opens with a short Unit Overview — an exhaustive list of the topics, sections, and concepts covered in that unit. This is not a summary meant to replace reading the unit, and it should not be relied on as a substitute for working through the questions themselves. Its purpose is narrower and more practical: at the time of revision, it lets you glance at one page and check off what you already know cold, and what still needs another pass, before you go back into the questions.

Structure of Each Unit

Every unit in this book is organised into three parts.

- **Part A — Case Study Based Questions.** Fact-pattern problems, built the way the examiner builds them — a scenario involving named parties, dates, and specific circumstances, followed by a question that asks you to apply the law to those facts.
- **Part B — Descriptive Questions.** These test the provision itself — definitions, exceptions, distinctions (e.g., penalty vs. liquidated damages), and theory-based questions that ICAI continues to ask directly, even in a paper otherwise weighted toward application.
- **Part C — Examination Question.** The recent ICAI papers of September 2026 and May 2026 are reproduced here in full, with its official mark split, so you can see exactly how the unit has actually been tested — sub-parts included, even where a sub-part belongs to a different unit.

The Answer-Writing Framework

Every suggested answer to a Part A case study follows a fixed three-step structure:

- 1. Provision** — the governing section, stated in the language of the Act, with the section number.
- 2. Application** — the provision mapped onto the specific facts given, naming the parties.
- 3. Conclusion** — the answer to the question actually asked.

This is not a stylistic choice; it mirrors how marks are actually allotted in a problem-based question. A correct conclusion without the provision behind it earns very little; naming the provision without applying it to the facts earns even less. Writing in this order, every time, is the single easiest improvement most candidates can make to their score.

Part B answers follow the same discipline wherever a provision is being explained, but are structured to fit the descriptive format — definition, explanation, and illustration where relevant.

Suggested answers for all three parts are placed **at the end of each unit, part by part**, and not at the end of the book. Attempt the question first — ideally in a separate notebook — and check your answer against the model while it is still fresh.

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UNIT 1: NATURE OF CONTRACTS

(Sections 2 to 10)

Learning Outcomes

- **Core Concepts:** Define Offer, Acceptance, Agreement, and Contract, and understand the distinction between an agreement and a contract.
- **Validity Criteria:** Understand the essential elements required to form a valid, legally enforceable contract under Section 10 and general law.
- **Classifications:** Master the classification of contracts based on Enforceability/Validity, Formation, and Performance.
- **Rules of Communication:** Analyse the legal rules governing Communication and Revocation of proposals and acceptances.

Overview

- **Contract and Agreement Definition (Sec 2(h)):** An agreement enforceable by law. (Contract = Agreement + Legal Enforceability).
- **Essentials under Sec 10:** Free consent, competent parties, lawful consideration, lawful object, and not expressly declared void.
- **General Essentials:** Two distinct parties, intention to create legal obligations (Balfour v. Balfour), certainty of terms, legal formalities, and possibility of performance.
- **Types by Validity:** Valid, Void (ceases enforceability), Voidable (enforceable at option of aggrieved party), Illegal (forbidden by law, collateral contracts void), Unenforceable (technical defect).
- **Types by Formation & Performance:** Express, Implied/Tacit, Quasi-contract, E-contracts | Executed, Executory (Unilateral/Bilateral).
- **Offer vs. Invitation to Offer:** Offer (Sec 2(a)) expresses willingness to obtain assent. Invitation to offer invites offers/negotiations (e.g., price catalogues, prospectus, shop display).
- **Communication Rules (Sec 4 & 5):** Offer complete when known to offeree. Acceptance complete against proposer when posted; against acceptor when received. Revocation of offer must happen before acceptance is posted.

High-Priority Topics for the Examination

1. Difference between Offer and Invitation to Offer (Frequent case study / theory question).
2. Legal Rules of Valid Offer & Acceptance (Cross-offer, Counter-offer, Silence does not amount to acceptance - Felthouse v. Bindley).

3. Communication & Revocation of Offer and Acceptance (Practical timeline/posting questions).
4. Distinction between Void and Voidable Contracts / Illegal Agreements.

Part A — Case Studies

Question 1. Offer, Invitation to Offer and General Offer

Swasthya Ayurveda Limited, Nashik, issued an advertisement in leading newspapers that any person who consumes its 'Immuno Tonic' twice daily for one month as per the printed directions and still contracts seasonal influenza would be paid a reward of ₹50,000. The advertisement further stated that the company had deposited ₹10 lakh in a separate bank account to show its sincerity in the matter.

Mrs. Kulkarni purchased a bottle of Immuno Tonic from a chemist shop in Mumbai, where the bottle was displayed on the shelf with a price tag. She consumed the tonic strictly as per the printed directions for one month, but still contracted influenza. When she claimed the reward, the company refused, contending that (a) the advertisement was a mere commercial puff and not an offer, (b) the display of the bottle in the shop was itself only an invitation to offer, so no contract arose with the company, and (c) in any case, Mrs. Kulkarni never communicated her acceptance to the company.

Advise on the following matters:

- (i) Whether the display of the bottle with a price tag in the chemist shop amounts to an offer by the company.
- (ii) Whether the advertisement of reward amounts to a valid offer capable of acceptance, and whether separate communication of acceptance by Mrs. Kulkarni was necessary.
- (iii) Whether Mrs. Kulkarni is entitled to recover the reward of ₹50,000.

Analysing the applicable provisions of the Indian Contract Act, 1872, advise Mrs. Kulkarni.

Question 2. Communication and Revocation of Offer and Acceptance

Mr. Anil of Mumbai wrote a letter on 1st August offering to sell his printing machine to Mr. Bala of Pune for ₹8 lakh. The letter was posted on 1st August and reached Mr. Bala on 4th August. On reading the letter, Mr. Bala immediately wrote back on 4th August enquiring whether Mr. Anil would be willing to accept payment in two instalments; Mr. Anil did not reply to this enquiry.

On 6th August, Mr. Bala posted a letter unconditionally accepting the offer at ₹8 lakh; this letter reached Mr. Anil on 9th August. Meanwhile, Mr. Anil, having found another buyer at a higher price, posted a letter of revocation of his offer on 5th August, which reached Mr. Bala only on 8th August. Mr. Anil now contends that there is no contract, since (a) Mr. Bala's enquiry of 4th August amounted to a counter-offer which terminated the original offer, and (b) in any event, he had revoked his offer before his letter of acceptance reached him.

Advise on the following matters:

- (i) State when the communication of the offer and of the acceptance was complete in the present case, as against each party.
- (ii) Whether the enquiry made by Mr. Bala on 4th August amounted to a counter-offer terminating the original offer.
- (iii) Whether the revocation of the offer by Mr. Anil is valid and whether a binding contract has come into existence.

Analysing the applicable provisions of the Indian Contract Act, 1872, advise the parties.

Question 3. Acceptance by Silence and Intention to Create Legal Relations

Mr. Deshpande wrote to his nephew Ajay offering to buy Ajay's second-hand car for ₹3 lakh, adding: "If I hear no more from you by Sunday, I shall consider the car mine at ₹3 lakh." Ajay did not reply, though he privately decided to sell the car to his uncle and told the garage keeper not to sell it to anyone else. Before any further communication, the garage keeper by mistake sold the car to a third party. Mr. Deshpande now wishes to sue the garage keeper contending that a concluded contract existed between him and Ajay.

Around the same time, Mr. Deshpande, before leaving for employment abroad, promised his wife that he would send her ₹15,000 per month for household expenses during his absence. After a matrimonial dispute arose, he stopped sending the amount, and his wife wishes to sue him for the arrears.

Mr. Deshpande had also orally agreed to sell his old scooter to his colleague Mr. Firoz for ₹40,000. Mr. Firoz now refuses to perform, contending that an oral agreement for sale of goods is not enforceable unless reduced to writing.

Advise on the following matters:

- (i) Whether a concluded contract came into existence between Mr. Deshpande and Ajay merely because Ajay remained silent and mentally decided to sell.
- (ii) Whether the wife can succeed in a suit for recovery of the monthly allowance promised by Mr. Deshpande.
- (iii) Whether the contention of Mr. Firoz that an oral agreement is not enforceable, is tenable.

Analysing the applicable provisions of the Indian Contract Act, 1872, advise the parties.

Question 4. The Counter-Offer

Nova Interiors sent the following email to Zenith Hotels on 1 August:

"We offer to supply and install 500 customised hotel-room panels for ₹18 lakh. This offer shall remain open until 10 August."

On 3 August, Zenith replied: "We accept your offer provided the total price is reduced to ₹16 lakh."

Nova did not respond. On 6 August, Zenith sent another email: "We withdraw our request for reduction. We are prepared to purchase the panels for ₹18 lakh on the original terms."

Nova had meanwhile received another order and informed Zenith that it considered the original offer terminated.

Zenith argued: “The offer was expressly kept open until 10 August. Therefore, our acceptance on 6 August created a binding contract.”

Questions:

- (i) What was the legal effect of Zenith's email dated 3 August?
- (ii) Could Zenith revive the original offer by accepting the original terms on 6 August?
- (iii) Does the statement that the offer would remain open until 10 August prevent its termination?
- (iv) Was a contract formed between Nova and Zenith?

Question 5. The Price Quotation Trap

Veda Pharma emailed a hospital: “Our current lowest price for 10,000 units of the medicine is ₹85 per unit. Prices are subject to availability.”

The hospital immediately replied: “We accept your offer for 10,000 units at ₹85 per unit. Please dispatch the goods.”

Veda refused, stating that its email merely communicated the lowest price and did not constitute an offer to sell.

The hospital argues that once it communicated acceptance, a contract arose.

Questions:

- (i) Whether Veda's email constitutes an offer?
- (ii) Whether the hospital's reply constitutes acceptance?
- (iii) Whether a contract has been formed?

Part B — Descriptive Questions

Question 6. “All contracts are agreements, but all agreements are not contracts.” Explain this statement with reference to the essential elements of a valid contract under the Indian Contract Act, 1872.

Question 7. Explain the essentials of a valid contract under the Indian Contract Act, 1872.

Question 8. Explain the different kinds of offers.

Question 9. Explain the rules relating to communication of acceptance under the Indian Contract Act, 1872.

Question 10. Explain the modes of revocation of an offer under the Indian Contract Act, 1872.

Suggested Answers — Part A

Answer 1. Offer, Invitation to Offer and General Offer

(i) Display of the bottle in the shop

Provision: The display of goods in a shop with price tags, like a price catalogue or a quotation, is not an offer but only an invitation to offer. The customer, by selecting the goods, makes the offer, which the shopkeeper is free to accept or reject.

Application: The display of the Immuno Tonic bottle on the chemist's shelf was merely an invitation to offer; the contract of sale of the bottle was between Mrs. Kulkarni and the chemist when her offer to buy was accepted at the counter.

Conclusion: The display did not amount to an offer by the company; however, this contention of the company is irrelevant to the reward, which rests on the advertisement and not on the sale of the bottle.

(ii) The reward advertisement and communication of acceptance

Provision: An offer may be made to the world at large; such a general offer is accepted by any person who performs the conditions of the offer. In *Carlill v. Carbolic Smoke Ball Co. (1893)*, a similar reward advertisement, coupled with the deposit of money in a bank to show sincerity, was held to be a binding general offer, and it was further held that in such offers the performance of the conditions is itself a sufficient acceptance — no separate communication of acceptance to the offeror is necessary [see also Section 8, acceptance by performing conditions of a proposal].

Application: The advertisement of Swasthya Ayurveda Limited was specific in its terms and the deposit of ₹10 lakh negated any suggestion of a mere puff. Mrs. Kulkarni accepted the general offer by purchasing the tonic and consuming it as per the printed directions for one month.

Conclusion: The advertisement was a valid general offer, and separate communication of acceptance by Mrs. Kulkarni was not necessary; her performance of the conditions constituted acceptance.

(iii) Entitlement to the reward

Provision: Upon acceptance of a general offer by performance of its conditions, a binding contract arises between the offeror and the person performing the conditions.

Application: Mrs. Kulkarni performed all the conditions of the offer and yet contracted influenza; all the elements of a valid contract are present.

Conclusion: Mrs. Kulkarni is entitled to recover the reward of ₹50,000 from the company.

Answer 2. Communication and Revocation of Offer and Acceptance [Sections 4 and 5]

(i) Completion of communication

Provision: Under Section 4, the communication of a proposal is complete when it comes to the knowledge of the person to whom it is made. The communication of an acceptance is complete as against the proposer when it is put in a course of transmission to him so as to be out of the power of the acceptor, and as against the acceptor when it comes to the knowledge of the proposer.

Application: The communication of the offer was complete on 4th August, when the letter reached Mr. Bala. The communication of the acceptance was complete as against Mr. Anil on 6th August, when the letter of acceptance was posted, and as against Mr. Bala on 9th August, when it reached Mr. Anil.

Conclusion: Offer complete: 4th August; acceptance complete against the proposer: 6th August; acceptance complete against the acceptor: 9th August.

(ii) Whether the enquiry was a counter-offer

Provision: A counter-offer, i.e., an acceptance with variations of the terms, rejects the original offer and terminates it [*Hyde v. Wrench (1840)*]. However, a mere enquiry or request for information regarding the terms of the offer is not a counter-offer and does not destroy the offer [principle in *Harvey v. Facey* and allied cases].

Application: Mr. Bala's letter of 4th August merely enquired whether payment in instalments would be acceptable; it neither rejected the offer nor proposed new binding terms in substitution of the original terms.

Conclusion: The enquiry did not amount to a counter-offer, and the original offer remained open for acceptance.

(iii) Validity of revocation

Provision: Under Section 5, a proposal may be revoked at any time before the communication of its acceptance is complete as against the proposer, i.e., before the letter of acceptance is posted, but not afterwards. A revocation is effective only when it comes to the knowledge of the offeree before he posts his acceptance.

Application: The acceptance was posted on 6th August, whereupon the communication of acceptance became complete as against Mr. Anil. His letter of revocation, though posted on 5th August, reached Mr. Bala only on 8th August, i.e., after the acceptance had already been posted.

Conclusion: The revocation is ineffective, and a binding contract for sale of the machine at ₹8 lakh came into existence on 6th August; Mr. Anil is bound by it.

Answer 3. Acceptance by Silence and Intention to Create Legal Relations

(i) Silence as acceptance

Provision: Acceptance must be communicated to the offeror in some usual and reasonable manner; mental acceptance or mere silence does not amount to acceptance, and the offeror cannot impose upon the offeree the burden of refusal by stipulating that silence shall be deemed acceptance [*Felthouse v. Bindley (1862)*].

Application: Ajay never communicated his acceptance to his uncle; his private decision to sell and his instruction to the garage keeper were not communications to Mr. Deshpande. The stipulation that silence till Sunday would conclude the contract was of no effect.

Conclusion: No concluded contract came into existence between Mr. Deshpande and Ajay, and the suit against the garage keeper on the basis of such a contract must fail.

(ii) Domestic arrangement with the wife

Provision: An agreement becomes a contract only if it is made with the intention of creating legal relations. Ordinary domestic and social arrangements between husband and wife are presumed not to be intended to create legal obligations [*Balfour v. Balfour (1919)*].

Application: The promise of ₹15,000 per month was a domestic arrangement made in the ordinary course of matrimonial life, without any intention to create a legally binding obligation.

Conclusion: The wife cannot succeed in a suit for recovery of the promised allowance, as the arrangement is not a contract.

(iii) Enforceability of an oral agreement

Provision: Under the Indian Contract Act, 1872, a contract may be express or implied, oral or written; writing is necessary only where a specific statute so requires. An oral agreement satisfying the essentials of Section 10 is as enforceable as a written one.

Application: The oral agreement for sale of the scooter for ₹40,000 satisfies the essentials of a valid contract; no law requires such a contract to be in writing.

Conclusion: The contention of Mr. Firoz is not tenable; the oral agreement is enforceable against him.

Answer 4. The Counter-Offer**(i) What was the legal effect of Zenith's email dated 3 August?**

Provision: As per Section 7 of the Indian Contract Act, 1872, acceptance must be absolute and unqualified. Where the offeree introduces a variation or modification in the terms of the original offer, it does not amount to acceptance; rather, it constitutes a counter-offer. A counter-offer amounts to rejection of the original offer and terminates the original offer. This principle is also illustrated by *Hyde v. Wrench*.

Application: Nova Interiors offered to supply and install the panels for ₹18 lakh. Zenith, instead of accepting the offer at ₹18 lakh, replied: "We accept your offer provided the total price is reduced to ₹16 lakh." Zenith has therefore made its acceptance conditional upon Nova reducing the price from ₹18 lakh to ₹16 lakh. Since the price is an essential term of the transaction and Zenith has sought to modify it, its response is not an absolute and unqualified acceptance. It amounts to a counter-offer of ₹16 lakh and consequently terminates Nova's original offer of ₹18 lakh.

Conclusion: Zenith's email dated 3 August amounted to a counter-offer and not an acceptance. It therefore terminated Nova's original offer of ₹18 lakh.

(ii) Could Zenith revive the original offer by accepting the original terms on 6 August?

Provision: Once an offeree makes a counter-offer, the original offer is terminated. The offeree cannot unilaterally revive the original offer and subsequently accept it.

Application: Zenith's counter-offer of ₹16 lakh on 3 August terminated Nova's original offer of ₹18 lakh. Nova did not accept Zenith's counter-offer of ₹16 lakh. Therefore, by 6 August, there was no subsisting offer of ₹18 lakh which Zenith could accept. Zenith's subsequent email saying: "We are

prepared to purchase the panels for ₹18 lakh on the original terms” cannot revive the original offer by itself. At most, this communication amounts to a fresh offer by Zenith to purchase at ₹18 lakh, which Nova would be free to accept or reject.

Conclusion: No. Zenith could not unilaterally revive Nova's original offer. Its communication dated 6 August did not constitute acceptance of a subsisting offer; it amounted to a fresh offer, which Nova was free to accept or reject.

(iii) Does the statement that the offer would remain open until 10 August prevent its termination?

Provision: An offeror may revoke an offer before its acceptance, even where the offeror had originally promised to keep the offer open for a definite period. Further, Section 5 provides that a proposal may be revoked before communication of its acceptance is complete as against the proposer.

Application: Nova stated that its offer would remain open until 10 August. However, Zenith did not accept the offer absolutely and unconditionally. Instead, on 3 August, Zenith made a counter-offer of ₹16 lakh. That counter-offer itself terminated Nova's original offer. Therefore, the statement that the offer would remain open until 10 August does not preserve the offer after Zenith has rejected it through a counter-offer. Further, merely agreeing to keep an offer open until a particular date does not make the offer irrevocable.

Conclusion: No. The statement that the offer would remain open until 10 August did not prevent its termination. In any event, the original offer had already been terminated by Zenith's counter-offer dated 3 August.

(iv) Was a contract formed between Nova and Zenith?

Provision: Under Section 2(b), a proposal becomes a promise when it is accepted. Under Section 7, acceptance must be absolute and unqualified. A counter-offer amounts to rejection of the original offer and terminates it. Therefore, once the original offer has been terminated, it cannot subsequently be accepted by the offeree unless the offeror makes a fresh offer or otherwise revives it.

Application: Zenith's communication was a fresh offer. Nova refuses and informs Zenith that it considers the original offer terminated. There is consequently no acceptance by Nova of Zenith's fresh offer.

Conclusion: No contract was formed between Nova Interiors and Zenith Hotels. Zenith's counter-offer of ₹16 lakh terminated Nova's original offer of ₹18 lakh, and Zenith could not subsequently revive that offer merely by agreeing to the original terms.

Answer 5. The Price Quotation Trap

(i) Whether Veda's email constitutes an offer?

Provision: Under Section 2(a) of the Indian Contract Act, 1872, a proposal/offer exists when a person signifies his willingness to do or abstain from doing something with a view to obtaining the assent of another person. An offer must be a final expression of willingness to be bound upon acceptance. An invitation to offer, on the other hand, merely invites the other party to make an offer. Acceptance of an invitation to offer does not itself result in a contract.

The principle is illustrated by *Harvey v. Facey*, where a statement of the lowest price was held not to constitute an offer to sell.

Application: Veda Pharma's email stated: "Our current lowest price for 10,000 units of the medicine is ₹85 per unit. Prices are subject to availability." Here they did not state: "We offer to sell 10,000 units to you at ₹85 per unit." Instead, it merely communicated its current lowest price, while expressly stating: "Prices are subject to availability." This indicates that Veda was not expressing a final and unconditional willingness to be bound merely upon the hospital's acceptance. The communication is therefore a quotation/statement of price and an invitation to offer, rather than a legally binding offer.

Conclusion: Veda's email does not constitute a valid offer. It is an invitation to offer.

(ii) Whether the hospital's reply constitutes acceptance?

Provision: Acceptance under Section 2(b) occurs when the person to whom the proposal is made signifies assent to the proposal. However, acceptance can arise only where there is a valid offer capable of acceptance. Acceptance of an invitation to offer does not itself create a contract. The party responding to the invitation makes the offer, which may then be accepted or rejected by the other party.

Application: Since Veda's email was merely an invitation to offer, there was no offer from Veda capable of being accepted by the hospital. Therefore, the hospital's statement: "We accept your offer for 10,000 units at ₹85 per unit." cannot legally operate as an acceptance. Instead, the hospital's communication should be treated as an offer to purchase 10,000 units at ₹85 per unit. Veda Pharma was then free to accept or reject that offer.

Conclusion: The hospital's reply does not constitute acceptance. It amounts to an offer by the hospital to purchase the goods at ₹85 per unit.

(iii) Whether a contract has been formed?

Provision: A contract requires an agreement enforceable by law. An agreement arises through a valid offer and valid acceptance. Where a communication is merely an invitation to offer, acceptance of that invitation does not result in a contract. A subsequent offer must be accepted by the person receiving it.

Application: Veda Pharma's communication stating its current lowest price of ₹85 per unit, subject to availability, was merely a quotation of price and an invitation to offer, and not a final offer under Section 2(a). The hospital's reply, therefore, could not constitute acceptance of Veda's communication; rather, it amounted to an offer by the hospital to purchase the goods at ₹85 per unit. Since Veda refused to supply the goods and did not accept the hospital's offer, no agreement or contract came into existence between the parties.

Conclusion: No contract has been formed between Veda Pharma and the hospital. Veda's email was an invitation to offer, the hospital's reply constituted an offer to purchase, and Veda did not accept that offer.

Suggested Answers — Part B

Answer 6. “All contracts are agreements, but all agreements are not contracts”

1. Under Section 2(e), an agreement is every promise and every set of promises forming the consideration for each other; under Section 2(h), a contract is an agreement enforceable by law. Thus, Contract = Agreement + Enforceability by law.

2. Every contract necessarily contains an agreement, but an agreement ripens into a contract only when it satisfies the essentials of Section 10 and the general law, namely: (1) offer and its acceptance; (2) free consent of the parties; (3) parties competent to contract; (4) lawful consideration; (5) lawful object; (6) the agreement must not be one expressly declared void by the Act; (7) intention to create legal relations [*Balfour v. Balfour*]; (8) certainty and possibility of performance; and (9) compliance with legal formalities of writing, registration, etc., where required by any specific law.

3. Social and domestic agreements, agreements without consideration, agreements with incompetent parties, and agreements expressly declared void remain mere agreements and never become contracts. Hence, while all contracts are agreements, all agreements are not contracts.

Answer 7. Essentials of a valid contract under the Indian Contract Act, 1872

Section 10 of the Indian Contract Act, 1872, provides that all agreements are contracts if they are made by the free consent of parties competent to contract, for a lawful consideration and with a lawful object, and are not expressly declared to be void.

The essential elements of a valid contract are as follows:

1. Offer and Acceptance: There must be a valid offer by one party and valid acceptance by the other party. The acceptance must be absolute and unqualified.

2. Two Parties: A contract requires at least two parties: an offeror and an offeree. A person cannot contract with himself.

3. Intention to Create Legal Relations: The parties must intend to create legal obligations. Social and domestic agreements generally do not create enforceable contractual rights.

4. Competency of Parties: The parties must be competent to contract under the applicable provisions of the Indian Contract Act.

5. Free Consent: The parties must consent freely to the agreement. Consent should not be obtained through coercion, undue influence, fraud, misrepresentation or mistake, where the relevant legal requirements are satisfied.

6. Lawful Consideration: The consideration for the agreement must be lawful.

7. Lawful Object: The object of the agreement must be lawful and must not fall within the prohibited categories under the Act.

8. Agreement Not Expressly Declared Void: The agreement must not be expressly declared void under the Act.

9. Certainty of Meaning: The terms of the agreement must be certain or capable of being made certain.

10. Possibility of Performance: The agreement must contemplate performance of an act that is legally and factually possible. It must not be impossible to perform. Impossible agreements are void ab initio.

11. Legal Formalities: Where the law requires a particular form, writing, registration or other formality, the applicable requirement must be complied with.

Conclusion:

A valid contract requires satisfaction of the statutory requirements under Section 10 and other applicable provisions of the Indian Contract Act.

Answer 8. Different Kinds of Offers

Meaning of Offer: As per Section 2(a) of the Indian Contract Act, 1872: “When one person signifies to another his willingness to do or to abstain from doing anything with a view to obtaining the assent of that other to such act or abstinence, he is said to make a proposal.”

A proposal is commonly known as an offer. The person making the proposal is called the offeror or proposer, and the person to whom the offer is made is called the offeree.

Offers may be classified into the following kinds:

1. General Offer: A general offer is an offer made to the public at large. It may be accepted by any person who fulfils the conditions specified in the offer.

2. Specific Offer: A specific offer is an offer made to a particular person or a specific group of persons. It can ordinarily be accepted only by the person or persons to whom it is made.

3. Cross Offer: Cross offers arise when two persons make identical offers to each other independently, without knowledge of the offer made by the other. Identical cross offers do not constitute acceptance of one another.

4. Counter-Offer: A counter-offer is a response to an original offer that proposes a variation in its terms. It is not an absolute and unqualified acceptance of the original offer.

5. Standing or Continuing Offer: A standing offer is an offer that remains open for acceptance through successive transactions or orders during a specified period, subject to its terms.

Conclusion: The classification of offers helps determine the persons who may accept the offer, the nature of acceptance required and the legal consequences of different forms of communication.

Answer 9. Rules relating to communication of acceptance under the Indian Contract Act, 1872

Communication of acceptance is governed by Section 4 of the Indian Contract Act, 1872.

The completion of communication depends on whether it is considered from the perspective of the proposer or the acceptor.

1. Communication of Acceptance as Against the Proposer

Communication of acceptance is complete as against the proposer when it is put into a course of transmission to the proposer so as to be out of the power of the acceptor to withdraw it. For example, in the case of acceptance by post, communication is complete against the proposer when the letter of acceptance is properly posted.

2. Communication of Acceptance as Against the Acceptor

Communication of acceptance is complete as against the acceptor when it comes to the knowledge of the proposer. In the case of acceptance by post, it is complete against the acceptor when the acceptance letter reaches the proposer.

3. Communication Through Instantaneous Modes

For communication through telephone, telex, fax or similar instantaneous modes, the contract is complete when the acceptance is received by the offeror, subject to the applicable circumstances.

Conclusion

The law distinguishes the time at which acceptance becomes complete against the proposer and against the acceptor. This distinction is particularly important in postal acceptance and instantaneous communication.

Answer 10. The modes of revocation of an offer under the Indian Contract Act, 1872

As per Section 5 of the Indian Contract Act, 1872, a proposal may be revoked at any time before the communication of its acceptance is complete as against the proposer.

Section 6 provides the modes through which a proposal is revoked.

Modes of Revocation

1. By Notice of Revocation: An offer may be revoked by communication of notice of revocation by the proposer to the other party.
2. By Lapse of Time: An offer may lapse when the time prescribed for acceptance expires. Where no time is prescribed, the offer must be accepted within a reasonable time, having regard to the circumstances.
3. By Failure to Fulfil a Condition Precedent: Where the offeree fails to fulfil a condition precedent to acceptance, the proposal may lapse in accordance with the applicable legal provisions.
4. By Death or Insanity of the Proposer: The proposal is revoked by the death or insanity of the proposer if the fact of death or insanity comes to the knowledge of the acceptor before acceptance.

Part C — Previous Year Papers — September 2026

Q1(a) — Unit 1 and Unit 2

(7 marks Case Study)

Green Wave Solutions is a new entrant in software development owned by Mr. Arjun. The business had bagged a software development contract. Its employees were struggling to overcome a complex coding bug while developing the software. To resolve this, Mr. Arjun sent an e-mail to all employees on 1st May 2026 stating: "My father has agreed to pay ₹ 50,000 as bonus out of his personal savings to any employee who successfully fixes the bug."

Meera, a junior developer, saw the e-mail and immediately began working on the bug after her regular shifts. She did not inform Mr. Arjun that she had started the task. Meera spent ₹ 10,000 to pay a consultant out of her own pocket to guide her. On 5th May 2026, Mr. Arjun sent a follow-up e-mail at 10.00 AM stating, "Please disregard the previous offer. We have decided to hire an external consultant to fix the bug instead". However, due to a sudden server crash, this e-mail leaves Mr. Arjun's mail box but lands in Meera's inbox only on May 7th at 9.00 AM when the server is restored.

Unaware of the crash or revocation, on May 6th at 4.00 PM, Meera successfully fixed the bug and submitted the solution to Mr. Arjun's office. Mr. Arjun refused to pay the bonus amount of ₹ 50,000, claiming that: 1. He had already revoked the offer before she submitted the solution; 2. Meera never formally communicated her acceptance of the offer; 3. Fixing the bug fell under her ordinary duties, and since the money was promised by his father (a third party), there was no valid legal consideration.

Referring to the provisions of the Indian Contract Act, 1872: (i) Whether Meera was required to communicate her acceptance of the offer to Mr. Arjun. (ii) Whether the revocation of offer by Mr. Arjun is legally valid and binding on Meera. (iii) Whether the consideration of ₹ 50,000 provided by a third party (the father) is lawful and enforceable.

Facts: Mr. Arjun (Green Wave Solutions) e-mailed all employees on 1 May 2026 offering ₹50,000 (from his father's personal savings) to any employee who fixed a coding bug. Meera, a junior developer, began work without informing Arjun, spending ₹10,000 of her own money on a consultant. On 5 May 2026 at 10:00 AM, Arjun sent a revocation e-mail, which — owing to a server crash — reached Meera's inbox only on 7 May at 9:00 AM. Unaware of the crash or the revocation, Meera fixed the bug and submitted the solution on 6 May at 4:00 PM. Arjun refused to pay, raising three defences.

(i) Was Meera required to communicate her acceptance to Mr. Arjun?

Provision: Section 8 of the Indian Contract Act, 1872 provides that performance of the conditions of a proposal is an acceptance of the proposal. Where an offer is a general offer — addressed to the public/a class of persons at large, as opposed to a specific offeree — it is accepted by anyone who, with knowledge of the offer, performs the act required by it; prior or separate communication of acceptance to the offeror is not necessary (the principle recognised in *Carlill v. Carbolic Smoke Ball Co.* and consistent with Sec. 8).

Application: Mr. Arjun's e-mail was addressed to "all employees" — it is a general offer of a unilateral nature, promising a reward for a specified act (successfully fixing the bug), not a bilateral offer requiring a reciprocal promise back.

Meera, with knowledge of the offer, performed the very act called for by it (she fixed the bug). Under Sec. 8, this performance is itself the acceptance; no separate, formal intimation to Mr. Arjun before or during her work was legally necessary.

Conclusion: Meera was not required to separately communicate her acceptance to Mr. Arjun. Her act of fixing the bug and submitting the solution itself constituted valid acceptance under Section 8.

(ii) Is Mr. Arjun's revocation of 5 May legally valid and binding on Meera?

Provision: Section 5 provides that a proposal may be revoked at any time before the communication of its acceptance is complete as against the proposer, but not afterwards.

Section 4 provides that the communication of a revocation is complete: as against the person who makes it, when it is put into a course of transmission so as to be out of his power; as against the person to whom it is made, only when it comes to his knowledge.

Application: The revocation e-mail left Mr. Arjun's control (was put into transmission) on 5 May at 10:00 AM this completed the revocation as against Mr. Arjun himself on that date. However, as against Meera, the revocation is complete only when it comes to her knowledge which, owing to the server crash, was 7 May at 9:00 AM.

Meera, unaware of the crash or the revocation, had already performed the act (fixed the bug) and submitted the solution on 6 May at 4:00 PM i.e., her acceptance under Sec. 8 was already complete before the revocation came to her knowledge on 7 May.

Since revocation must reach the offeree's knowledge before his acceptance is complete (Sec. 4 read with Sec. 5), and here it did not, the revocation was too late as against Meera.

Conclusion: Mr. Arjun's revocation is NOT legally valid or binding on Meera, because it came to her knowledge only after her acceptance (by performance) was already complete. Mr. Arjun remains bound by his original offer.

(iii) Is the ₹50,000 consideration, though sourced from the father (a third party), lawful and enforceable?

Provision: Section 2(d) of the Indian Contract Act, 1872 defines consideration as something done or abstained from "at the desire of the promisor", by "the promisee or any other person". Unlike English law's requirement that consideration move from the promisee, Indian law expressly permits consideration to move from a third person — a position affirmed in the landmark case of Chinnaya v. Ramayya (1882).

Application: Here, Mr. Arjun is the promisor and Meera the promisee. Meera did the act (fixing the bug) at the desire of Mr. Arjun (as expressed in his e-mail) — this is precisely what Sec. 2(d) requires. The fact that the ₹50,000 would be funded from his father's personal savings (a third person) does not detract from the existence of valid consideration between Arjun and Meera; the source of the funds is immaterial to enforceability.

Mr. Arjun, as the person who made the promise, is the promisor bound by it — he cannot escape liability by pointing to his father (who is not a party to the contract) as the actual source of money.

Conclusion: The consideration of ₹50,000 is lawful and enforceable notwithstanding that it is to be sourced from a third party (the father), since Sec. 2(d) expressly permits consideration to move from "any other person". Mr. Arjun's third defence also fails.

UNIT 2: CONSIDERATION

(Sections 2(d) and 25)

Learning Outcomes

- **Concept of Consideration:** Define Consideration (quid pro quo) and understand its double aspect (benefit to promisor / detriment to promisee).
- **Legal Rules:** Grasp legal rules of consideration, including how consideration may move from the promisee or a third party.
- **Privity of Contract:** Understand the 'Doctrine of Privity of Contract' (a stranger to a contract cannot sue) along with its critical exceptions.
- **No Consideration Rule:** Analyse the rule 'No Consideration, No Contract' (Sec 25) and its statutory exceptions.

Overview

- **Definition (Sec 2(d)):** An act, abstinence, or promise done/made at the desire of the promisor by the promisee or any other person.
- **Rules of Consideration:** Must move at the desire of promisor (*Durga Prasad v. Baldeo*); May move from promisee or third party (*Chinnayya v. Ramayya*); May be past, present, or future; Need not be adequate; Cannot be an existing legal duty.
- **Privity of Contract:** Stranger to consideration CAN sue, but stranger to a contract CANNOT sue.
- **Exceptions to Privity Rule:** Beneficiary under Trust, Family Settlement, Marriage arrangements, Assignment of contract, Estoppel/Acknowledgement, Covenants running with land, Contracts via Agent.
- **Exceptions to 'No Consideration, No Contract' (Sec 25):** 1. Natural Love & Affection (Written, Registered, Near relation) | 2. Past Voluntary Services | 3. Time-Barred Debt (Written & Signed) | 4. Agency | 5. Completed Gifts | 6. Bailment | 7. Charity.

High-Priority Topics for the Examination

1. Exceptions to the Doctrine of Privity of Contract (Stranger to contract cannot sue) [Tested in May 2026 Paper].
2. Exceptions to 'No Consideration, No Contract' (Sec 25) — Focus on Natural Love & Affection, Past Voluntary Services, and Time-Barred Debts.
3. Legal Rules of Consideration (Third-party consideration and inadequacy of consideration).

Part A — Case Studies

Question 1. Privity of Contract and Consideration from a Third Party

Smt. Radhabai, an elderly lady of Pandharpur, gifted her landed property to her daughter Sushila by a registered deed, with a direction that Sushila shall pay an annuity of ₹12,000 every year to Radhabai's sister Vimal (i.e., Sushila's maternal aunt). On the same day, Sushila executed a writing in favour of her aunt Vimal agreeing to pay the annuity.

Sushila paid the annuity for two years and thereafter stopped the payment, contending that her aunt Vimal was a stranger to the gift deed between Radhabai and herself, that no consideration whatsoever had moved from Vimal, and that therefore Vimal cannot maintain any suit against her.

Advise on the following matters:

- (i) State the doctrine of privity of contract and the rule regarding the person from whom consideration may move under the Indian Contract Act, 1872.
- (ii) Whether Vimal can recover the annuity from Sushila despite not being a party to the gift deed and despite no consideration having moved from her.
- (iii) State any two other exceptions to the doctrine of privity of contract.

Analysing the applicable provisions of the Indian Contract Act, 1872, advise Vimal.

Question 2. No Consideration, No Contract and its Exceptions

Mr. Madhav, out of natural love and affection for his younger brother Keshav, orally promised to pay him ₹2 lakh to help him set up a small business. Later, on the advice of his lawyer, Madhav executed a written and registered document promising to pay the said sum, but subsequently refused to pay, saying that Keshav had given nothing in return.

During a fire in Madhav's warehouse, his neighbour Mr. Salunkhe voluntarily rushed in and saved goods worth several lakhs at considerable personal risk. Touched by this, Madhav promised to pay Salunkhe ₹25,000 as compensation for what he had done, but has now gone back on his word.

Madhav also owed ₹50,000 to Mr. Trivedi, which had become time-barred under the Limitation Act. On Trivedi's persistent requests, Madhav signed a written promise to pay him ₹30,000 out of the time-barred debt.

Advise on the following matters:

- (i) Whether Keshav can enforce the promise of ₹2 lakh, and what difference the written and registered document makes.
- (ii) Whether Salunkhe can recover ₹25,000 promised for his past voluntary services.
- (iii) Whether Trivedi can recover ₹30,000 on the basis of the fresh written promise, though the original debt is time-barred.

Analysing the provisions of Section 25 of the Indian Contract Act, 1872, advise the parties.

Question 3. Legal Rules of Consideration

Mrs. Patwardhan, with her free consent, agreed to sell her car worth ₹6 lakh to her neighbour Mr. Nadkarni for ₹1 lakh only, as she was migrating abroad and wanted a quick disposal. After the agreement, her son objected to the low price, and she now wishes to avoid the contract on the sole ground that the consideration is grossly inadequate.

In the same locality, the Municipal Council announced a reward for information leading to the detection of persons illegally dumping construction debris. Head Constable Pawar, who was already posted on duty to patrol the very same area, furnished such information in the course of his duty and now claims the reward from the Council.

Meanwhile, at the desire of the Collector of the district, Mr. Joshi constructed a row of shops in a newly developed market at his own expense. A shopkeeper, Mr. Lele, who occupied one of the shops, promised to pay Mr. Joshi a commission on the articles sold through his shop in consideration of Joshi having constructed the market, but later refused to pay.

Advise on the following matters:

- (i) Whether Mrs. Patwardhan can avoid the contract merely on the ground of inadequacy of consideration.
- (ii) Whether Head Constable Pawar is entitled to the reward for performing what was already his official duty.
- (iii) Whether Mr. Joshi can recover the promised commission from Mr. Lele.

Analysing the applicable provisions of the Indian Contract Act, 1872, advise the parties.

Part B — Descriptive Questions

Question 4. Exceptions to the Doctrine of Privity of Contract [Asked in May 2026 Examination]

Briefly discuss the exceptions to the rule “Doctrine of privity of contract” as laid down under the provisions of the Indian Contract Act, 1872.

Question 5. Exceptions to ‘No Consideration, No Contract’

“An agreement made without consideration is void.” Discuss the exceptions to this rule as provided under Section 25 and other provisions of the Indian Contract Act, 1872.

Suggested Answers — Part A

Answer 1. Privity of Contract and Consideration from a Third Party [Section 2(d)]

(i) The doctrine and the source of consideration

The doctrine of privity of contract means that a person who is not a party to a contract cannot sue upon it, even if the contract is for his benefit [*Dunlop Pneumatic Tyre Co. v. Selfridge & Co. (1915)*]. However, under Section 2(d), consideration may move from the promisee 'or any other person'; hence, in India, a stranger to the consideration can sue, though a stranger to the contract ordinarily cannot.

(ii) Claim of Vimal

Provision: In *Chinnaya v. Ramayya (1882)*, on identical facts, an old lady gifted property to her daughter with a direction to pay an annuity to the lady's sister, and the daughter executed a writing in favour of the sister; it was held that the sister could recover the annuity, since consideration had moved from a third party (the mother) and the arrangement was in the nature of a family settlement, which is a recognised exception to the doctrine of privity.

Application: Consideration for Sushila's promise moved from Radhabai in the form of the gifted property; Vimal is a stranger to the consideration but the beneficiary of the arrangement, and Sushila had herself executed a writing in Vimal's favour.

Conclusion: Vimal can recover the annuity of ₹12,000 per year from Sushila; Sushila's contentions are not tenable.

(iii) Other exceptions to privity

(a) A beneficiary under a trust or charge created by the contract can enforce it (b) where a party acknowledges his liability to a third person, or by his conduct creates an estoppel, the third person can sue; (c) assignee of a contract; (d) contracts entered into through an agent; (e) covenants running with the land.

Answer 2. No Consideration, No Contract [Section 25]

(i) Promise out of natural love and affection

Provision: Under Section 25(1), an agreement made without consideration is valid if it is expressed in writing, registered under the law relating to registration of documents, and is made on account of natural love and affection between parties standing in a near relation to each other. All four conditions must co-exist.

Application: The original oral promise did not satisfy the conditions and was void for want of consideration. The subsequent written and registered document, made out of natural love and affection between brothers who are near relatives, satisfies all the conditions of Section 25(1).

Conclusion: Keshav cannot enforce the oral promise, but he can enforce the written and registered promise of ₹2 lakh.

(ii) Compensation for past voluntary services

Provision: Under Section 25(2), a promise to compensate, wholly or in part, a person who has already voluntarily done something for the promisor is enforceable, even though made without consideration.

Application: Salunkhe voluntarily saved Madhav's goods from fire without any request; Madhav's subsequent promise of ₹25,000 is a promise to compensate past voluntary services.

Conclusion: Salunkhe can recover ₹25,000 from Madhav.

(iii) Promise to pay a time-barred debt

Provision: Under Section 25(3), a promise, made in writing and signed by the debtor or his authorised agent, to pay wholly or in part a debt which is barred by the law of limitation, is enforceable without fresh consideration.

Application: Madhav signed a written promise to pay ₹30,000 out of the time-barred debt of ₹50,000; the promise satisfies the requirements of the section to the extent of the amount promised.

Conclusion: Trivedi can recover ₹30,000 (and not the full ₹50,000) on the basis of the fresh written and signed promise.

Answer 3. Legal Rules of Consideration**(i) Inadequacy of consideration**

Provision: Consideration need not be adequate; it must only be real and lawful. Explanation 2 to Section 25 provides that an agreement to which the consent of the promisor is freely given is not void merely because the consideration is inadequate, though inadequacy may be taken into account by the court in determining whether the consent was free.

Application: Mrs. Patwardhan sold the car with her free consent, with full knowledge of its value, for reasons of her own convenience. Inadequacy of price is the only ground urged.

Conclusion: She cannot avoid the contract merely on the ground of inadequacy of consideration; the sale at ₹1 lakh is binding.

(ii) Performance of an existing legal duty

Provision: The performance of an act which a person is already legally bound to perform is no consideration for a promise; a public servant cannot claim a reward for merely doing his official duty [*Collins v. Godefroy*; India: reward cases of public officers].

Application: Head Constable Pawar was already under an official duty to patrol the area and detect such offences; in furnishing the information he did nothing beyond his existing legal duty.

Conclusion: He is not entitled to the reward, as there is no consideration moving from him.

(iii) Act done at the desire of a third party

Provision: Under Section 2(d), consideration must be furnished at the desire of the promisor. An act done at the desire of a third party is not consideration for the promise. In *Durga Prasad v. Baldeo*

(1880), shops were built at the desire of the Collector, and a shopkeeper's promise to pay commission to the builder was held unenforceable.

Application: Mr. Joshi constructed the market at the desire of the Collector and not at the desire of Mr. Lele, the promisor; Lele's promise is therefore without consideration.

Conclusion: Mr. Joshi cannot recover the promised commission from Mr. Lele.

Suggested Answers — Part B

Answer 4. Exceptions to the Doctrine of Privity of Contract [Asked in May 2026]

The doctrine of privity of contract means that only a party to a contract can sue upon it; a stranger to a contract cannot enforce it even if it is made for his benefit [*Dunlop Pneumatic Tyre Co. v. Selfridge & Co.*]. In India, however, a stranger to the consideration can sue, since under Section 2(d) consideration may move from the promisee or any other person. Further, in the following exceptional cases, even a stranger to the contract can enforce it:

1. Beneficiary under a trust or charge: A person for whose benefit a trust or a charge on specific property has been created may enforce it, though not a party to the contract [*Khwaja Muhammad Khan v. Husaini Begum (1910)*].
2. Marriage settlement, partition or other family arrangements: Where an agreement is made in connection with marriage, partition or other family arrangements and a provision is made for the benefit of a person, he may sue although he is not a party [*Chinnaya v. Ramayya*].
3. Acknowledgement or estoppel: Where the promisor, by his conduct, acknowledges or otherwise constitutes himself as an agent of a third party, or acknowledges his liability to the third party (e.g., by part payment), the third party can sue him.
4. Assignment of a contract: The assignee of the benefit of a contract (e.g., the assignee of an insurance policy, or the official assignee of an insolvent) can sue upon it, though he was not a party to the original contract.
5. Contracts entered into through an agent: The principal can enforce contracts entered into by his agent acting within the scope of his authority.
6. Covenants running with the land: A person who purchases land with notice that the owner is bound by certain conditions or covenants affecting the land is bound by them, although he was not a party to the original agreement.

Answer 5. Exceptions to 'No Consideration, No Contract' [Section 25]

The general rule under Section 25 is that an agreement made without consideration is void.

The exceptions are:

1. Natural love and affection [Section 25(1)]: A written and registered agreement based on natural love and affection between parties standing in near relation to each other is enforceable without consideration.

2. Past voluntary services [Section 25(2)]: A promise to compensate, wholly or in part, a person who has already voluntarily done something for the promisor, or something which the promisor was legally compellable to do.
3. Time-barred debt [Section 25(3)]: A promise in writing, signed by the debtor or his authorised agent, to pay wholly or in part a debt barred by limitation.
4. Completed gifts [Explanation 1 to Section 25]: The rule does not affect the validity of any gift actually made between donor and donee.
5. Agency [Section 185]: No consideration is necessary to create an agency.
6. Bailment [Section 148]: No consideration is required to effect a contract of bailment.
7. Charitable subscription: Where the promisee, on the strength of the promised subscription, undertakes a liability (e.g., commences construction), the promise is enforceable to that extent [*Kedarnath v. Gorie Mohammad*].

Part C — Previous Year Papers — September 2026

Q6(b) — Unit 1 & Unit 2 — Privity of Contract / Rules of Consideration [6 Marks — Alternative Question]

As per the Indian Contract Act, 1872, a general rule is, “Stranger to a contract cannot file a suit in case of breach of contract”. Provide the exceptions to the above rule.

OR

Describe any six legal rules regarding ‘consideration’ in terms of the provisions of The Indian Contract Act, 1872.

The paper offers a choice between two questions; both are answered below for completeness.

Option (i): Exceptions to “Stranger to a contract cannot sue.” [Marks: 6]

(REFER TO ANSWER 04 GIVEN ABOVE IN PART B)

Option (ii): Any six rules of ‘Consideration’ under the Indian Contract Act, 1872 [Marks: 6]

1. Consideration must move at the desire of the promisor — an act done at the instance of a third party, or voluntarily, is not good consideration (*Durga Prasad v. Baldeo*).
2. Consideration may move from the promisee or from any other (third) person — Indian law, unlike English law, does not require consideration to move from the promisee alone (*Chinnaya v. Ramayya*).
3. Consideration may be past, present, or future — Sec. 2(d) expressly recognises “has done or abstained” (past), “does or abstains” (present), and “promises to do or abstain” (future).
4. Consideration need not be adequate, but it must be real — the law does not weigh the adequacy of the bargain, but the consideration must have some value in the eyes of the law and not be illusory.

5. Consideration must be real and of some value — it must not be physically or legally impossible, uncertain, or illusory.

6. Consideration must be lawful — it must not be forbidden by law, fraudulent, injurious to a person or property, immoral, or opposed to public policy (Sec. 23); an agreement founded on unlawful consideration is void.

UNIT 3: OTHER ESSENTIAL ELEMENTS OF A CONTRACT

(Sections 11 to 30)

Learning Outcomes

- **Capacity to Contract:** Identify who is competent to contract under Section 11.
- **Minor's Legal Position:** Master the detailed legal consequences and rules governing agreements with minors.
- **Vitiating Elements of Consent:** Understand Free Consent (Sec 14) and differentiate Coercion, Undue Influence, Fraud, Misrepresentation, and Mistake.
- **Legality of Object & Public Policy:** Analyse when consideration/object is unlawful or opposed to public policy (Sec 23).
- **Void Agreements:** Identify agreements expressly declared void (Restraint of Trade, Wagering Contracts).

Overview

- **Capacity to Contract (Sec 11):** Major (18+ yrs), Sound mind, Not disqualified by law (Alien enemy, convict, insolvent).
- **Minor's Position (Mohori Bibi Case):** Void ab-initio; No ratification after majority; Can be beneficiary; Always plead minority (No estoppel); Estate liable for necessities (Sec 68, no personal liability); Minor as Agent.
- **Coercion (Sec 15):** Physical force/threat, forbidden by IPC, unlawful detaining. Threat to commit suicide = coercion. Contract is Voidable.
- **Undue Influence (Sec 16):** Dominating will of another for unfair advantage (Moral pressure). Presumed in fiduciary relations. Contract is Voidable.
- **Fraud (Sec 17) vs. Misrepresentation (Sec 18):** Fraud: False representation made knowingly to deceive. (Silence is not fraud unless duty to speak). Rescind + Damages. | Misrepresentation: False statement made innocently. Rescind only.
- **Mistake:** Mistake of Indian Law = Valid. Foreign Law = Mistake of Fact. Bilateral Mistake of Fact = Void.
- **Unlawful Object & Public Policy (Sec 23):** Forbidden by law, defeats law, fraudulent, injury to person/property, immoral, or opposed to public policy (Stifling prosecution, Champerty/Maintenance, Trafficking public offices).
- **Wagering Agreements (Sec 30):** Promise to pay money on uncertain event with mutual chances of win/lose. Void. **(asked in September 2026)**

High-Priority Topics for the Examination

1. Minor's Legal Position (Case study on necessities / pleading minority / no ratification).
2. Coercion vs. Undue Influence & Fraud vs. Misrepresentation (Distinction & Practical case studies).
3. 'Silence does not amount to Fraud' and its exceptions (Duty to speak / Silence equal to speech).
4. Agreements Opposed to Public Policy (Stifling prosecution, Maintenance & Champerty).
5. Wagering Agreements vs. Insurance Contracts.

Part A — Case Studies

Question 1. Minor's Agreements

Rohit, aged 17 years but looking much older, approached Sahakar Finance for a loan of ₹1 lakh, representing in the application form that he was 19 years of age. Believing the representation, the financier advanced the loan against a promissory note executed by Rohit, who spent the amount on a motorcycle and a foreign trip. On default, the financier sued Rohit on the promissory note; Rohit pleaded minority. The financier contends that Rohit, having fraudulently misrepresented his age, is estopped from pleading minority.

Two months after attaining majority, Rohit, feeling morally bound, executed a fresh promissory note in favour of the financier for the same amount of ₹1 lakh in 'ratification' of the earlier transaction, but again failed to pay.

During his minority, a local store had also supplied Rohit — whose parents were abroad — with clothing, food articles and study materials suited to his station in life, for which ₹40,000 remains unpaid. Rohit owns agricultural land inherited from his grandfather.

Advise on the following matters:

- (i) Whether the financier can enforce the loan agreement against Rohit, and whether Rohit is estopped from pleading his minority.
- (ii) Whether the fresh promissory note executed by Rohit after attaining majority is enforceable as a ratification of the earlier transaction.
- (iii) Whether the store can recover ₹40,000 for the necessities supplied to Rohit during his minority, and from whom or what.

Question 2. Coercion and Undue Influence

Smt. Ganga, an elderly and illiterate widow, was deeply devoted to her spiritual guru, Swami Anandgiri, and acted entirely on his advice in all worldly matters. The Swami induced her to gift her only house to his ashram, assuring her that the gift would secure benefits to her soul in the next world. After the gift deed was executed, her son discovered the transaction and wishes to have it set aside.

In another incident in the same town, Mr. Bhairav, wanting to obtain a release deed of certain joint family property from his wife and son in his sole favour, threatened to commit suicide if they did not

execute the release deed. Out of fear for his life, the wife and son executed the deed, and now wish to avoid it. Mr. Bhairav contends that a threat to commit suicide is not an act 'forbidden by the Indian Penal Code', since attempt to suicide is punishable but suicide itself is not, and hence there was no coercion.

Advise on the following matters:

- (i) Whether the gift executed by Smt. Ganga in favour of the ashram can be set aside, and on what ground.
- (ii) Whether the release deed executed by the wife and son of Mr. Bhairav under threat of suicide can be avoided as having been obtained by coercion.
- (iii) State any three points of distinction between coercion and undue influence.

Analysing the applicable provisions of the Indian Contract Act, 1872, advise the aggrieved parties.

Question 3. Fraud, Misrepresentation and Silence

Mr. Wagh offered his second-hand car for sale to Mr. Yadav. Mr. Wagh was fully aware that the engine of the car had a serious defect, but he kept complete silence about it, and Mr. Yadav, without making any enquiry or inspection, purchased the car. On discovering the defect, Mr. Yadav wishes to avoid the sale on the ground of fraud.

Mr. Wagh had also sold his mare to Mr. Zende. At the time of sale, Mr. Wagh honestly stated that the mare was sound in all respects, genuinely believing his statement to be true; in fact, unknown to him, the mare had a latent unsoundness. Mr. Zende wants to rescind the contract and also claim damages from Mr. Wagh.

Separately, Mr. Wagh proposed the marriage of his daughter and, while negotiating with the other family, deliberately concealed the fact that the daughter suffered from a serious recurring illness, though he was specifically aware that the other family was proceeding on the belief that she was in sound health.

Analysing the applicable provisions of the Indian Contract Act, 1872, advise the parties.

- (i) Whether the silence of Mr. Wagh regarding the engine defect amounts to fraud, entitling Mr. Yadav to avoid the sale.
- (ii) Whether the statement made by Mr. Wagh regarding the mare amounts to fraud or misrepresentation, and what remedies are available to Mr. Zende.
- (iii) Whether the concealment regarding the daughter's health stands on the same footing as the silence regarding the car, or on a different footing.

Question 4. Unlawful Object, Public Policy and Wagering Agreements

Mr. Kadam had filed a criminal complaint against Mr. Landge for a serious non-compoundable offence of cheating and forgery. During the pendency of the case, the parties entered into an agreement under which Mr. Kadam agreed to withdraw the prosecution and not to give evidence, in consideration of Mr. Landge paying him ₹2 lakh. Mr. Landge paid ₹50,000 as advance but refused to pay the balance, and Mr. Kadam wishes to sue for it.

Mr. Kadam had also entered into an agreement with Mr. Mane under which each was to pay the other ₹50,000 depending upon whether India won or lost a particular cricket match; India won, but Mr. Mane refused to pay. Mr. Kadam contends that since betting on the match involved his 'skill of prediction', the agreement is not a wager.

Mr. Kadam has further taken a crop insurance policy on his own standing sugarcane crop by paying premium, and wonders whether such a policy is also in the nature of a wager, since the payment under it depends on the uncertain event of crop failure.

Analysing the applicable provisions of the Indian Contract Act, 1872, advise the parties:

- (i) Whether the agreement to withdraw the criminal prosecution for ₹2 lakh is enforceable.
- (ii) Whether Mr. Kadam can recover ₹50,000 from Mr. Mane under the agreement relating to the cricket match.
- (iii) Whether the crop insurance policy taken by Mr. Kadam is a wagering agreement.

Question 5. Coercion, undue influence, free consent and ratification.

Suryodaya Healthcare Private Limited, a company operating a chain of hospitals, decided to acquire a smaller diagnostic centre owned by Mr. Devendra. The acquisition agreement required Mr. Devendra to transfer all the assets of the diagnostic centre to Suryodaya for ₹85 lakh. Mr. Devendra was 68 years old and was undergoing treatment for a serious cardiac condition. His treating physician, Dr. Mehta, was also a director and substantial shareholder of Suryodaya Healthcare.

During the negotiations, Dr. Mehta informed Mr. Devendra that unless he signed the acquisition agreement immediately, the hospital would discontinue his ongoing treatment and refuse to provide further medical assistance. Mr. Devendra, fearing for his health, signed the agreement.

The agreement was executed on 10 June 2026. Two weeks later, Mr. Devendra consulted an independent legal adviser, who informed him that the circumstances surrounding the agreement could raise questions regarding free consent.

Suryodaya argued that:

- Mr. Devendra had signed the agreement voluntarily.
- The agreement was properly executed and witnessed.
- Mr. Devendra could not challenge the agreement after signing it.
- Dr. Mehta was merely acting in his capacity as a director of Suryodaya.

Mr. Devendra seeks advice from you on the following:

- (i) Whether the consent of Mr. Devendra was free under Section 14 of the Indian Contract Act, 1872.
- (ii) Whether the conduct of Dr. Mehta amounts to coercion under Section 15 or undue influence under Section 16.
- (iii) Whether Mr. Devendra can avoid the acquisition agreement.

(iv) Whether the execution of the agreement and the passage of two weeks prevent Mr. Devendra from challenging it.

Analysing the applicable provisions of the Indian Contract Act, 1872, advise Mr. Devendra

Question 6. Fraud, misrepresentation, silence, mistake, restraint of trade, and enforceability.

TechNova Solutions, a software development company, entered into an agreement with Mr. Rohan, the founder of a small artificial intelligence startup, for the acquisition of his business for ₹1.2 crore. Before the agreement was signed, TechNova's managing director, Ms. Kavya, made the following representations to Mr. Rohan:

- i. TechNova had obtained all necessary regulatory permissions to integrate the startup's technology into its existing products.
- ii. The acquisition would provide Mr. Rohan with a permanent position as the head of the AI division.
- iii. The acquired technology had passed an independent security audit.

Rohan relied on these statements and signed the agreement.

After the acquisition, Rohan discovered that:

- i. The regulatory permissions referred to by Kavya had not yet been obtained.
- ii. The security audit had identified serious vulnerabilities that had not been disclosed to him.
- iii. His appointment as head of the AI division was subject to a separate employment agreement, which TechNova had not executed.

The acquisition agreement also contained a clause stating:

“The seller shall not engage, directly or indirectly, in any business relating to artificial intelligence, machine learning or software development anywhere in India for a period of ten years.”

Rohan contends that he would not have entered into the agreement if the above facts had been disclosed accurately.

TechNova argues that:

- a) Rohan was an experienced entrepreneur and should have conducted his own investigation.
- b) The agreement contains a clause stating that Rohan has relied on his own assessment.
- c) The restrictive covenant is a normal commercial condition of the acquisition.
- d) Rohan has already received ₹1.2 crore and cannot challenge the agreement.

Analysing the applicable provisions of the Indian Contract Act, 1872, advise Mr. Rohan on the following:

- (i) Whether the statements regarding regulatory permissions and the security audit amount to fraud or misrepresentation.
- (ii) Whether the failure to disclose the security vulnerabilities amounts to fraud by silence.

- (iii) Whether Rohan can avoid the acquisition agreement.
- (iv) Whether the restrictive covenant is enforceable.

Part B — Descriptive Questions

Question 7. Explain the legal position of agreements entered into by a minor under the Indian Contract Act, 1872, with reference to the leading case on the subject.

Question 8. What do you understand by agreements opposed to public policy? State any six categories of agreements which have been held to be opposed to public policy.

Question 9. Define a wagering agreement. State its essential features and the transactions which are held not to be wagers

Question 10. Define mistake. Explain the legal effect of mistake of fact and mistake of law under the Indian Contract Act, 1872.

Suggested Answers — Part A

Answer 1. Minor's Agreements [Section 11]

(i) Enforceability of the loan and the plea of estoppel

Provision: Under Section 11, a minor is not competent to contract, and it was held in *Mohori Bibee v. Dharmodas Ghose (1903)* that an agreement with a minor is void ab initio. Further, there is no estoppel against a minor: he can always plead minority, even where he has fraudulently misrepresented his age, since an estoppel cannot be used to give validity to a transaction which the law declares void.

Application: The loan agreement and the promissory note executed by Rohit during his minority are void ab initio. His misrepresentation of age does not preclude him from pleading minority.

Conclusion: The financier cannot enforce the loan or the promissory note against Rohit; the plea of estoppel fails.

(ii) Ratification after majority

Provision: An agreement which is void ab initio is incapable of ratification. A person cannot, on attaining majority, ratify an agreement made during minority, since ratification relates back to the date of the original agreement, when he was incompetent; a fresh promise to pay for the same, without fresh consideration, is also unenforceable [*Suraj Narain v. Sukhu Aheer (1928)*].

Application: The fresh promissory note executed after majority was in respect of the very consideration received during minority, with no new consideration.

Conclusion: The fresh promissory note is not enforceable as a ratification of the void agreement.

(iii) Liability for necessities

Provision: Under Section 68, if a person incapable of entering into a contract is supplied by another with necessities suited to his condition in life, the supplier is entitled to be reimbursed from the property of such incapable person. The minor incurs no personal liability; only his estate is liable.

Application: Clothing, food articles and study materials suited to Rohit's station in life are necessities; Rohit owns agricultural land inherited from his grandfather.

Conclusion: The store can recover ₹40,000 out of Rohit's property (the inherited land), but Rohit is not personally liable.

Answer 2. Coercion [Section 15] and Undue Influence [Section 16]

(i) Gift to the spiritual guru

Provision: Under Section 16, a contract is induced by undue influence where the relations subsisting between the parties are such that one party is in a position to dominate the will of the other and uses that position to obtain an unfair advantage. A person is deemed to be in a position to dominate where he holds real or apparent authority, or stands in a fiduciary relation, or contracts with a person whose mental capacity is affected by age, illness or distress. Where the transaction appears unconscionable,

the burden of proving absence of undue influence lies on the dominant party [Section 16(3)]. Such a contract is voidable at the option of the aggrieved party.

Application: The Swami stood in a fiduciary relation to the elderly, illiterate widow who acted entirely on his advice; the gift of her only house against a promise of other-worldly benefits is plainly unconscionable.

Conclusion: The gift can be set aside at the option of Smt. Ganga as having been obtained by undue influence.

(ii) Threat to commit suicide

Provision: Under Section 15, coercion is the committing, or threatening to commit, any act forbidden by the Indian Penal Code, or the unlawful detaining of property, with the intention of causing any person to enter into an agreement. A threat to commit suicide amounts to coercion, since suicide, though itself not punishable (the person being dead), is an act forbidden by the Penal Code, as is evident from the punishment of its attempt. A contract induced by coercion is voidable [Section 19].

Application: Mr. Bhairav obtained the release deed from his wife and son under a threat to commit suicide; his technical contention was expressly rejected in the above case.

Conclusion: The release deed can be avoided by the wife and son as having been obtained by coercion.

(iii) Coercion vs. undue influence (any three)

(a) Coercion involves physical or violent pressure; undue influence involves moral or mental pressure. (b) In coercion, the act must be forbidden by the Indian Penal Code or involve unlawful detention of property; in undue influence, no such penal act is necessary. (c) Coercion may proceed from or be directed against any person, even a stranger; undue influence requires a subsisting relationship in which one party can dominate the will of the other. (d) In undue influence arising from unconscionable bargains, the burden of proof shifts to the dominant party; in coercion, the aggrieved party must prove the coercion. (e) In both, the contract is voidable, but under Section 19A the court may set aside the contract induced by undue influence upon such terms as it deems just.

Answer 3. Fraud [Section 17] and Misrepresentation [Section 18]

(i) Silence regarding the engine defect

Provision: The Explanation to Section 17 provides that mere silence as to facts likely to affect the willingness of a person to enter into a contract is not fraud, unless the circumstances of the case are such that it is the duty of the person keeping silence to speak, or unless his silence is, in itself, equivalent to speech. The rule of caveat emptor requires the buyer to be vigilant.

Application: Mr. Wagh and Mr. Yadav dealt at arm's length; there was no fiduciary relation or other circumstance casting a duty to speak, and Mr. Yadav made no enquiry which was answered falsely or evasively.

Conclusion: The silence of Mr. Wagh does not amount to fraud; Mr. Yadav cannot avoid the sale of the car.

(ii) Statement regarding the mare

Provision: Under Section 18, misrepresentation is a false statement which the person making it honestly believes to be true, without intent to deceive. Under Section 19, a contract induced by misrepresentation is voidable at the option of the aggrieved party, who may rescind the contract; however, unlike in fraud, the general remedy of damages is not available for innocent misrepresentation.

Application: Mr. Wagh honestly and genuinely believed the mare to be sound; his false statement was innocent and without intent to deceive, and therefore amounts to misrepresentation and not fraud.

Conclusion: Mr. Zende can rescind the contract, but cannot claim damages from Mr. Wagh.

(iii) Concealment regarding the daughter's health

Provision: Where the circumstances create a duty to speak — as in contracts of utmost good faith (uberrimae fidei) such as contracts of insurance, family settlements and marriage negotiations — silence itself amounts to fraud under the Explanation to Section 17.

Application: A marriage negotiation is a relationship of utmost good faith in which material facts concerning health must be disclosed; Mr. Wagh deliberately suppressed a material fact knowing that the other family was proceeding on a contrary belief.

Conclusion: The concealment stands on a different footing from the silence regarding the car; it amounts to fraud, and the other family can avoid the arrangement.

Answer 4. Unlawful Object [Section 23] and Wagering Agreements [Section 30]**(i) Agreement to stifle prosecution**

Provision: Under Section 23, the consideration or object of an agreement is unlawful if the court regards it as opposed to public policy. An agreement to stifle prosecution, i.e., to withdraw or not to proceed with a criminal prosecution for a non-compoundable offence in consideration of money, tends to defeat the course of public justice and is opposed to public policy; such an agreement is void.

Application: The offence of cheating and forgery alleged against Mr. Landge was non-compoundable; the agreement to withdraw the prosecution and withhold evidence for ₹2 lakh is a classic agreement to stifle prosecution.

Conclusion: The agreement is void and unenforceable; Mr. Kadam cannot sue for the balance amount.

(ii) Bet on the cricket match

Provision: Under Section 30, agreements by way of wager are void, and no suit lies for recovering anything alleged to be won on any wager. A wager is a promise to pay money or money's worth upon the happening or non-happening of an uncertain event, in which each party stands to win or lose and neither has any interest in the event other than the stake. It may further be noted that in the State of Maharashtra (and Gujarat), even agreements collateral to wagers are void.

Application: The agreement between Mr. Kadam and Mr. Mane depended entirely on the uncertain result of a cricket match, with mutual chances of gain and loss and no other interest; a party's so-called 'skill of prediction' does not change the character of the bet.

Conclusion: The agreement is a wager and void; Mr. Kadam cannot recover ₹50,000 from Mr. Mane.

(iii) Crop insurance policy

Provision: A contract of insurance is not a wager, because the assured has an insurable interest in the subject matter, the contract (other than life insurance) is one of indemnity, and it is founded on scientific calculation of risk; in a wager, neither party has any interest in the event except the stake.

Application: Mr. Kadam has an insurable interest in his own standing crop, and the policy indemnifies him against a genuine risk of loss.

Conclusion: The crop insurance policy is a valid contract of insurance and not a wagering agreement.

Answer 5. Coercion, undue influence, free consent and ratification

(i) Whether Mr. Devendra's consent was free under Section 14

Provision: As per Section 14 of the Indian Contract Act, 1872, consent is said to be free when it is not caused by coercion, undue influence, fraud, misrepresentation or mistake, subject to the provisions of the Act. Consent is essential for the formation of a valid contract. Where consent is not free, the legal effect of the agreement depends on the particular vitiating factor and the applicable statutory provisions.

Application: Mr. Devendra signed the acquisition agreement after Dr. Mehta threatened that the hospital would discontinue his ongoing treatment and refuse further medical assistance. The threat was directed at a serious medical concern and was used to induce Mr. Devendra to sign the agreement. The facts indicate that his consent may have been obtained under pressure rather than through a genuinely voluntary decision. However, whether the agreement is voidable due to coercion or undue influence must be determined by examining the specific statutory requirements applicable to each ground.

Conclusion: On the stated facts, Mr. Devendra has grounds to challenge whether his consent was free under Section 14. The precise legal ground must be determined by applying Sections 15 and 16.

(ii) Whether Dr. Mehta's conduct amounts to coercion or undue influence

Provision: Section 15 defines coercion as committing or threatening to commit any act forbidden by the Indian Penal Code, or unlawfully detaining or threatening to detain property, with the intention of causing a person to enter into an agreement.

Section 16 deals with undue influence. It arises where one party is in a position to dominate the will of another and uses that position to obtain an unfair advantage. Where a person in a position of dominance enters into a transaction that appears unconscionable, the burden of proving that the contract was not induced by undue influence may arise under the applicable provisions.

Application: In the present case, Dr. Mehta was Mr. Devendra's treating physician and also a director and substantial shareholder of Suryodaya Healthcare. Mr. Devendra was suffering from a serious cardiac condition and was dependent on the hospital for his treatment. Dr. Mehta threatened

to discontinue Mr. Devendra's treatment unless he signed the acquisition agreement. He thereby used his position of influence and Mr. Devendra's medical dependency to obtain an unfair advantage for Suryodaya Healthcare.

Conclusion: The contract was induced by undue influence under Section 16 of the Indian Contract Act, 1872. Therefore, the agreement is voidable at the option of Mr. Devendra under Section 19A, and he may seek to set it aside on appropriate terms

(iii) Whether Mr. Devendra can avoid the acquisition agreement

Provision: Under Section 19, when consent to an agreement is caused by coercion, fraud or misrepresentation, the agreement is voidable at the option of the party whose consent was so caused, subject to the provisions of the section.

Section 19A provides for setting aside a contract induced by undue influence on such terms and conditions as the court may deem just. A voidable contract is enforceable at the option of the aggrieved party, but not at the option of the other party.

Application: If Mr. Devendra establishes that his consent was obtained through coercion or undue influence, the agreement may be voidable at his option under the applicable provision.

He may seek appropriate relief, including avoidance of the agreement, subject to the relevant statutory conditions and the court's determination. Suryodaya's contention that the agreement was signed and witnessed does not, by itself, establish that the consent was free. Proper execution of a document does not cure a vitiating factor that legally affects consent.

Conclusion: Yes, Mr. Devendra may seek to avoid the acquisition agreement if he proves that his consent was caused by coercion or undue influence.

(iv) Whether signing the agreement and waiting two weeks prevents a challenge

Provision: A voidable contract is capable of being avoided by the party entitled to do so, subject to the applicable statutory provisions. The mere signing of an agreement does not automatically remove the effect of coercion or undue influence, if such a ground is established. The exercise of the right to avoid a contract is also subject to relevant statutory limitations and the consequences of affirmation or restoration of benefits, where applicable.

Application: Mr. Devendra signed the agreement on 10 June 2026 and consulted a legal adviser two weeks later. The passage of two weeks, by itself, does not establish that he has lost the right to challenge the agreement. However, the court would need to consider the facts concerning any subsequent conduct, affirmation, receipt or retention of benefits, and the applicable legal provisions.

Conclusion: The signing of the agreement and the passage of two weeks do not automatically prevent Mr. Devendra from challenging the agreement. His entitlement to avoid it will depend on whether he establishes the relevant legal ground and satisfies the applicable requirements.

Answer 6. Fraud, misrepresentation, silence, mistake, restraint of trade, and enforceability

(i) Whether the statements amount to fraud or misrepresentation

Provision: Section 17 defines fraud. It includes acts committed by a party to a contract, or with their connivance, with intent to deceive another party or induce them to enter into the contract, subject to

the statutory provisions. Section 18 deals with misrepresentation, including a positive assertion of an untrue statement made by a person who believes it to be true, without an intention to deceive, as well as certain other forms of misleading conduct.

The distinction between fraud and misrepresentation primarily concerns the nature of the false statement and the intention or circumstances in which it was made.

Application: In the present case, Ms. Kavya had knowledge that the necessary regulatory permissions had not been obtained and that the security audit had identified serious vulnerabilities. Despite knowing the true facts, she deliberately represented to Mr. Rohan that all necessary permissions had been obtained and that the technology had passed the independent security audit. These false representations were made with the intention of inducing Rohan to enter into the acquisition agreement, and Rohan relied on them while signing the agreement. Therefore, the conduct satisfies the essential elements of fraud under Section 17.

Conclusion: The representations made by Ms. Kavya amount to fraud under Section 17 of the Indian Contract Act, 1872. Since Rohan's consent was obtained through fraud, the acquisition agreement is voidable at his option under Section 19, subject to the statutory provisions.

(ii) Whether failure to disclose security vulnerabilities amounts to fraud by silence

Provision: As per Section 17 of the Indian Contract Act, 1872, fraud includes active concealment of a fact by a person having knowledge or belief of the fact, with the intention of deceiving another party or inducing them to enter into a contract. Mere silence does not ordinarily amount to fraud. However, active concealment of material facts, where the statutory requirements are satisfied, constitutes fraud.

Application: In the present case, Ms. Kavya had personally reviewed the security audit and knew that it identified serious vulnerabilities in the acquired technology. She deliberately concealed these findings from Mr. Rohan and falsely represented that the technology had passed the independent security audit. The concealment was intended to induce Rohan to enter into the acquisition agreement, and he relied on the representation while giving his consent. Therefore, the concealment satisfies the requirements of active concealment under Section 17.

Conclusion: TechNova's deliberate concealment of the security vulnerabilities amounts to fraud under Section 17 of the Indian Contract Act, 1872. Consequently, the acquisition agreement is voidable at Rohan's option under Section 19, subject to the statutory provisions.

(iii) Whether Rohan can avoid the acquisition agreement

Provision: As per Section 19 of the Indian Contract Act, 1872, when consent to an agreement is caused by fraud or misrepresentation, the agreement is voidable at the option of the party whose consent was so caused, subject to the provisions of the section.

Application: In the present case, Ms. Kavya deliberately made false representations regarding regulatory permissions and the security audit, despite knowing the true facts. Rohan relied on these representations while entering into the acquisition agreement. Therefore, his consent was obtained through fraud under Section 17.

Conclusion: Rohan can avoid the acquisition agreement under Section 19 of the Indian Contract Act, 1872, as his consent was obtained through fraud. Upon rescission, the applicable consequences of restoration of benefits under Section 64 must also be considered.

(iv) Whether the restrictive covenant is enforceable

Provision: As per Section 27 of the Indian Contract Act, 1872, every agreement by which anyone is restrained from exercising a lawful profession, trade or business of any kind is void to that extent, subject to the statutory exception relating to the sale of goodwill.

A restraint on carrying on a business may be subject to the statutory exception where the conditions relating to the sale of goodwill are satisfied.

Application: In the present case, the acquisition agreement prohibits Rohan from engaging, directly or indirectly, in any business relating to artificial intelligence, machine learning or software development anywhere in India for ten years. The restriction covers a broad range of lawful businesses and extends throughout India for a period of ten years. The facts do not establish that the clause is limited to a reasonable restraint connected with the sale of goodwill under the statutory exception. The mere fact that the restriction forms part of a commercial acquisition agreement does not make it enforceable under Section 27.

Conclusion: The restrictive covenant is void under Section 27 of the Indian Contract Act, 1872, to the extent that it restrains Rohan from carrying on lawful trade or business. The clause is not enforceable merely because it is included in the acquisition agreement.

Suggested Answers — Part B**Answer 7. Legal Position of a Minor**

Under Section 11, only a person who has attained majority is competent to contract. The legal position of a minor's agreements is as follows:

1. An agreement with or by a minor is void ab initio and wholly unenforceable [*Mohori Bibee v. Dharmodas Ghose (1903)*].
2. There is no estoppel against a minor: he may always plead minority, even if he had misrepresented his age.
3. A minor cannot ratify, on attaining majority, an agreement made during minority, since a void agreement cannot be ratified.
4. A minor can be a promisee or a beneficiary: contracts for the benefit of a minor (e.g., where he has fully performed his part) are enforceable by him.
5. His estate is liable for necessities supplied to him suited to his condition in life [Section 68], but he incurs no personal liability.
6. A minor may act as an agent, but he cannot be held personally liable; he can be admitted only to the benefits of an existing partnership; he cannot be adjudged insolvent; and his guardian may enter into contracts on his behalf for his benefit, which are binding.

Answer 8. Agreements Opposed to Public Policy [Section 23]

An agreement is opposed to public policy when it is injurious to the public welfare or tends to be against the interests of society; the consideration or object of such an agreement is unlawful under

Section 23 and the agreement is void. The following categories have been held to be opposed to public policy (any six):

1. Trading with an alien enemy during war.
2. Agreements to stifle prosecution of non-compoundable offences.
3. Agreements in the nature of maintenance (officious intermeddling in litigation of another) and champerty (sharing the proceeds of litigation), where the object is improper or extortionate.
4. Agreements for the sale or trafficking of public offices, titles and honours.
5. Agreements tending to create monopolies or unduly restraining personal liberty.
6. Agreements interfering with the course of justice or with parental or marital duties, and marriage brokerage contracts.
7. Agreements to defraud creditors or the revenue authorities.

Answer 9. Wagering Agreements [Section 30]

A wagering agreement is a promise to pay money or money's worth upon the determination of an uncertain event. Under Section 30, agreements by way of wager are void, and no suit lies for recovering anything alleged to be won on any wager, or entrusted to any person to abide by the result of any game or other uncertain event on which a wager is made. Its essential features are:

1. A promise to pay money or money's worth dependent upon the happening or non-happening of an uncertain event.
2. Mutual chances of gain and loss — each party must stand to win or lose on the event.
3. Neither party has any interest in the event other than the stake — absence of insurable interest.
4. Neither party has control over the event.

Transactions held NOT to be wagers include:

- i. contracts of insurance (insurable interest and indemnity);
- ii. prize competitions involving substantial skill (e.g., crossword or sports competitions requiring skill, subject to the limits of the Prize Competitions Act, 1955);
- iii. a subscription or contribution towards a prize of ₹500 or more to be awarded to the winner of a horse race [proviso to Section 30];
- iv. genuine share market transactions intended by actual delivery; and games of skill.

Answer 10. Legal effect of mistake of law and mistake of fact under the Indian Contract Act, 1872

Mistake means an erroneous belief concerning a matter of fact or law. It is classified into mistake of law and mistake of fact.

1. **Mistake of Law:** Mistake of Indian law does not ordinarily provide relief, as ignorance of law is no excuse. However, mistake of foreign law is treated as a mistake of fact.

2. Bilateral Mistake of Fact (Section 20): Where both parties are under a mistake as to a matter of fact essential to the agreement, the agreement is void. For example, a mistake regarding the existence or identity of the subject matter.

3. Unilateral Mistake of Fact (Section 22): A contract is not voidable merely because one party is under a mistake as to a matter of fact.

Conclusion: A bilateral mistake of essential fact makes an agreement void under Section 20, whereas a unilateral mistake does not make a contract voidable merely on that ground under Section 22.

Part C — Previous Year Papers — September 2026

Q5(c) —Wagering Agreements [6 Marks]

QUESTION

What is a Wagering agreement? State the transactions resembling with wagering transaction, but are not void. Your answer should be based on the applicable provisions of the Indian Contract Act, 1872.

Suggested Answer [Marks: 6]

Meaning

Section 30 of the Indian Contract Act, 1872 declares that agreements by way of wager are void, and no suit shall be brought for recovering anything won on any wager, or entrusted to a person to abide the result of any game or uncertain event. A wagering agreement is one where two parties, having no interest in the subject-matter other than the stake, agree that on the determination of an uncertain event one shall win and the other shall lose a sum of money, with neither party having control over the event and neither having any other interest in it.

Transactions resembling a wager but held valid (not void)

1. Contracts of insurance (life, fire, marine) — the insured has a genuine insurable interest in the subject-matter, unlike a wager.
2. Genuine commercial/speculative transactions for the sale and purchase of shares, commodities or goods, where the parties genuinely intend to give and take delivery, even though the price may fluctuate.
3. Contracts of indemnity and guarantee.
4. Crossword puzzles, competitions and games that involve substantial skill, as opposed to pure chance.
5. Chit fund transactions.
6. A subscription, or contribution, towards a prize of a value above a specified minimum, awarded to the winner of a horse race — expressly exempted under the proviso to Sec. 30.
7. A collateral transaction (e.g., a loan advanced) to enable a person to pay a wagering debt is not itself void merely because the money is in fact used to pay off a wager, since Sec. 30 avoids only the wager itself and not every transaction collateral to it (unless a specific local statute provides otherwise).

UNIT 4: PERFORMANCE OF CONTRACT

(Sections 37 to 67)

Learning Outcomes

- **Obligation to Perform:** Understand how contractual obligations must be carried out by the parties or dispensed with under law (Sec 37).
- **Modes & Tender:** Distinguish between Actual Performance and Attempted Performance (Tender) along with conditions for a valid tender (Sec 38).
- **By Whom Performed:** Identify who can perform a contract (Promisor, Agent, Legal Representative, Third Person, Joint Promisors).
- **Joint Liabilities & Rights:** Master the rules governing Devolution of Joint Liabilities and Joint Rights (Sec 42–45).
- **Time, Place & Reciprocal Promises:** Analyse rules relating to Time and Place of Performance (Sec 46–50) and Performance of Reciprocal Promises (Sec 51–58).
- **Appropriation & Discharge:** Understand Appropriation of Payments (Sec 59–61) and modes of Discharge of Contract (Novation, Rescission, Alteration, Impossibility).

Overview

- **Obligation to Perform (Sec 37):** Parties must either perform or offer to perform their promises unless dispensed with or excused.
- **By Whom Performed (Sec 40–42):** Promisor Himself (where personal skill/taste is involved like painting); Agent / Legal Representative (in non-personal contracts; LR liability limited to inherited estate); Third Person (Sec 41: accepting performance from a third party discharges promisor).
- **Joint Promisors & Joint Promisees (Sec 42–45):** Liability is Joint & Several (Sec 43: promisee can compel any co-promisor to perform whole); Right to Contribution (performing co-promisor can compel equal contribution; default losses shared equally); Release of Joint Promisor (Sec 44: releasing one co-promisor does not discharge others nor free the released party from contribution).
- **Appropriation of Payments (Sec 59–61):** 1. Debtor Intimates (Sec 59: applied as indicated) | 2. Debtor Omits (Sec 60: creditor applies at discretion to any lawful debt including time-barred, but not disputed) | 3. Neither Appropriates (Sec 61: applied in order of time/proportionately).
- **Contracts Need Not Be Performed (Sec 62–67):** Novation (Sec 62: substituting new contract; old discharged); Rescission & Alteration (cancelling or modifying terms by mutual consent); Remission/Waiver (Sec 63: dispensing with or accepting lesser performance); Supervening Impossibility (Sec 56: initial = void, subsequent = void upon occurrence).

High-Priority Topics for the Examination

1. Liabilities of Joint Promisors (Sec 43) — Joint and several liability, right to compel contribution, and default sharing calculation problems.
2. Appropriation of Payments (Sec 59–61) — Practical numeric questions on how payments/cheques are applied against multiple or time-barred debts.
3. Novation vs. Alteration — Difference in terms of change in parties and substitution of contracts.
4. Effect of Accepting Performance from a Third Person (Sec 41).
5. Supervening / Subsequent Impossibility (Sec 56) — Contracts becoming void due to destruction of subject matter or change in law.

Part A — Case Studies

Question 1. Joint Promisors: Liability and Contribution on Default

Ravi, Suresh and Nitin jointly borrowed ₹ 9,00,000 from a co-operative bank at Pune, agreeing to repay it after two years. On the due date, none of them paid. The bank compelled Ravi alone to repay the entire sum of ₹ 9,00,000, which he did. Suresh has since been adjudged insolvent and his estate is sufficient to pay only 25 paise in the rupee. Nitin is solvent.

Answer with reference to the Indian Contract Act, 1872:

- (i) Was the bank justified in recovering the whole amount from Ravi alone?
- (ii) Can Ravi recover contribution from Suresh and Nitin, and if so, how much from each?

Question 2. Appropriation of Payments (Sections 59, 60 and 61), Performance by Third Person (Section 41), and Validity of Payment.

M/s Sunrise Traders, a partnership firm owned by Mr. Rohan and Mr. Karan, had been purchasing electronic components from M/s Vertex Industries on credit. As on 1st September 2026, Sunrise Traders owed Vertex Industries the following three distinct debts:

- ₹40,000, which had become due on 15th June 2025, carrying interest at 12% per annum.
- ₹65,000, which had become due on 1st January 2026, without any interest.
- ₹35,000, which was payable on 30th November 2026.

On 1st September 2026, Mr. Rohan visited Vertex Industries and handed over a cheque of ₹50,000 to Mr. Sameer, the accounts manager. Rohan specifically stated that the payment should be adjusted towards the first debt of ₹40,000 and the remaining amount towards interest payable on that debt. However, the accounts manager, without checking Rohan's instructions, appropriated the entire ₹50,000 towards the second debt of ₹65,000.

Two weeks later, Mr. Karan, without informing Rohan, directly paid ₹20,000 to Vertex Industries and requested that the amount be adjusted against the first debt. Vertex Industries refused to accept Karan's instructions, stating that the firm had already made its own appropriation.

Subsequently, on 30th November 2026, the third debt became due. Sunrise Traders sent a cheque of ₹35,000 to Vertex Industries, but the cheque was dishonoured due to insufficient funds. Vertex Industries initiated legal proceedings for recovery of all outstanding amounts, including interest.

Answer the following questions:

- (i) Examine whether Vertex Industries was justified in appropriating Rohan's payment of ₹50,000 towards the second debt, despite his specific instructions.
- (ii) Can Karan, being a partner of Sunrise Traders, make a valid payment to Vertex Industries and direct its appropriation towards the first debt?
- (iii) If Rohan had not specified the debt towards which the payment should be appropriated, explain the rights of Vertex Industries under the Indian Contract Act, 1872.
- (iv) Discuss the legal consequences of the dishonoured cheque of ₹35,000 and whether Vertex Industries can recover the outstanding amounts from Sunrise Traders.

Question 3. Performance of Reciprocal Promises (Sections 51–54), Tender of Performance (Section 38), and Time as the Essence of Contract (Section 55).

Mr. Aditya, a builder, entered into a contract with Ms. Meera on 10th April 2026 for the construction of a commercial office building. The agreed contract price was ₹24,00,000. The contract contained the following terms:

- Meera would pay ₹6,00,000 as an advance upon signing the agreement.
- Aditya would complete the foundation and structural framework by 30th June 2026.
- Meera would pay a further ₹8,00,000 upon completion of the structural framework.
- Aditya would hand over the completed building by 31st August 2026.

Time was expressly stated to be essential to the contract because Meera had entered into a lease agreement with a multinational company commencing on 1st September 2026.

Meera paid the advance on time. However, Aditya failed to complete the foundation by 30th June, stating that he was facing a shortage of labour and an increase in steel prices. Meera granted him an additional period of 15 days but expressly informed him that no further extension would be allowed. Aditya completed the structural framework on 15th July 2026 and demanded the second instalment of ₹8,00,000. Meera refused to make the payment, stating that the work was delayed and that she had suffered financial losses. Aditya then stopped further construction until the payment was made.

On 10th August, Meera informed Aditya that she would arrange payment only after the building was completed. Aditya claimed that Meera had committed a breach by refusing to make payment and that he was entitled to terminate the contract.

Answer the following questions:

- (i) Whether the obligations of Aditya and Meera constitute reciprocal promises. Explain the order in which the promises were required to be performed.

(ii) Examine whether Aditya was entitled to suspend construction when Meera refused to pay the second instalment.

(iii) Whether Meera can claim compensation for the delay in completing the construction, considering that time was expressly made essential to the contract.

(iv) If Aditya fails to complete the building by 31st August 2026, discuss whether Meera can rescind the contract and claim compensation.

(v) Would your answer differ if the contract did not expressly provide that time was essential?

Question 4. Supervening Impossibility (Section 56), Reciprocal Promises, and Commercial Hardship.

M/s Global Agro Exports, an Indian company, entered into an agreement with M/s Eastern Food Processing Ltd., a company based in Singapore, on 1st May 2026. Under the agreement, Global Agro Exports agreed to import 500 metric tonnes of soybean oil from Singapore and deliver the consignment to Eastern Food Processing Ltd. by 31st August 2026.

The total contract price was ₹1.8 crore, payable in three instalments:

- 20% upon execution of the contract.
- 40% upon shipment of the goods.
- 40% upon delivery at the destination port.

Global Agro Exports paid the initial 20% and entered into arrangements with a shipping company for transportation. On 15th June 2026, the Government of India imposed a temporary ban on the import of soybean oil from Singapore due to newly introduced food safety restrictions. The ban was expected to remain in force for four months.

Global Agro Exports immediately informed Eastern Food Processing Ltd. that performance of the contract had become impossible due to the government restrictions. Eastern Food Processing Ltd. rejected the claim and argued that Global Agro Exports could procure the goods from Malaysia at a higher price and fulfil the contract. It further stated that the company had already entered into a resale agreement with a supermarket chain and would suffer substantial losses if the goods were not delivered.

Global Agro Exports subsequently discovered that soybean oil was available from Malaysia at a price 35% higher than the agreed contract price. It refused to procure the goods at the increased price, stating that the contract had become commercially unviable. Eastern Food Processing Ltd. demanded either performance at the agreed price or payment of ₹45 lakh as damages for the loss suffered under the resale agreement.

Answer the following questions:

(i) Examine whether the government-imposed import ban has rendered the contract impossible to perform under Section 56 of the Indian Contract Act, 1872.

(ii) Whether the mere fact that performance has become more expensive or commercially unviable is sufficient to discharge Global Agro Exports from its contractual obligations?

(iii) Examine the rights of Eastern Food Processing Ltd. in respect of the advance payment of 20% made by Global Agro Exports.

Question 5. Joint Promises (Sections 42–44), Novation (Section 62), and Performance by a Third Person (Section 41).

Mr. Arjun, Mr. Bharat and Mr. Chirag jointly borrowed ₹9,00,000 from Mr. Dinesh on 1st January 2026. Under the agreement, the three borrowers jointly promised to repay the amount with interest at 10% per annum on or before 31st December 2026.

The agreement provided that the liability of the three borrowers would be joint and several. Arjun, Bharat and Chirag were business partners, but their individual contributions towards the repayment were not specified in the agreement.

On 1st July 2026, Dinesh entered into a separate written agreement with Arjun, under which Dinesh agreed to release Arjun from his contractual liability. Bharat and Chirag were not consulted, and no separate consent was obtained from them. The agreement stated that Dinesh would recover the entire outstanding amount from Bharat and Chirag.

On 15th August 2026, Bharat approached Dinesh and proposed that his friend Mr. Eshan would pay ₹4,00,000 on his behalf, while the remaining amount would be paid by Bharat over six months. Dinesh accepted the payment of ₹4,00,000 from Eshan but did not agree to extend the repayment period for the remaining amount.

Subsequently, on 1st September 2026, Dinesh, Bharat and Chirag entered into another agreement whereby Chirag agreed to pay ₹3,00,000 immediately and Bharat agreed to repay the balance in three instalments. The agreement did not expressly state whether the original contract had been discharged.

On 31st December 2026, Bharat failed to pay the remaining instalment. Dinesh initiated proceedings against Bharat for recovery of the outstanding amount, including interest.

Answer the following questions:

- (i) Explain the effect of Dinesh releasing Arjun from the joint contractual liability on the liability of Bharat and Chirag.
- (ii) Whether Bharat and Chirag can claim that they are discharged from their obligations because Arjun was released without their consent?
- (iii) Examine whether the payment of ₹4,00,000 by Eshan on behalf of Bharat constitutes valid performance under Section 41 of the Indian Contract Act, 1872.
- (iv) Determine whether the agreement dated 1st September 2026 amounts to novation of the original contract under Section 62.
- (v) Whether Dinesh can recover the outstanding amount from Bharat after the revised agreement was entered into? Give reasons.

Question 6. Discharge by Merger, Discharge by Performance, and Breach of Contract.

Mr. Nikhil, the owner of a commercial building in Pune, leased one of its floors to M/s Creative Solutions Pvt. Ltd. for a period of nine years commencing from 1st April 2024. The monthly rent was ₹75,000, payable on or before the 7th day of every month.

The lease agreement contained the following terms:

- The tenant would use the premises only for office purposes.
- The tenant would not sublet the premises without the written consent of the landlord.
- The tenant would maintain the premises and undertake routine repairs.
- Any structural alterations required the prior written approval of the landlord.

M/s Creative Solutions Pvt. Ltd. paid the rent regularly until March 2026. In April 2026, the company entered into negotiations with Nikhil for purchasing the entire commercial building. On 15th May 2026, the parties executed a registered sale deed under which Creative Solutions Pvt. Ltd. purchased the building, including the leased floor, for ₹4.5 crore.

Despite the sale, Nikhil continued to demand monthly rent of ₹75,000 for the leased floor, stating that the original lease agreement remained valid until 31st March 2033. Creative Solutions Pvt. Ltd. refused to pay rent, arguing that its ownership of the premises had extinguished the lease.

During June 2026, Creative Solutions Pvt. Ltd. sublet one portion of the building to another company without obtaining Nikhil's written consent. Nikhil issued a notice alleging breach of the lease agreement and demanded compensation for unauthorised subletting. Creative Solutions Pvt. Ltd. argued that the lease had already merged into its ownership and, therefore, the restriction on subletting was no longer enforceable.

Answer the following questions:

- (i) Examine whether the lease agreement between Nikhil and Creative Solutions Pvt. Ltd. was discharged by merger upon execution of the registered sale deed.
- (ii) Whether Nikhil can continue to demand monthly rent of ₹75,000 after the tenant became the owner of the building?
- (iii) Explain whether the contractual restriction on subletting continues to apply after the purchase of the property by Creative Solutions Pvt. Ltd.

Part B — Descriptive Questions

Question 7. State the conditions that must be satisfied for a valid tender or attempted performance under the Indian Contract Act, 1872

Question 8. “A contract may be performed by persons other than the promisor himself.” Discuss with reference to Sections 40, 41 and 42 of the Indian Contract Act, 1872

Question 9. Distinguish between “succession” and “assignment” under the Indian Contract Act, 1872

Question 10. Explain the doctrine of supervening impossibility under Section 56 of the Indian Contract Act, 1872. What are the grounds on which supervening impossibility may arise

Question 11. State the rules regarding appropriation of payments under Sections 59 to 61 of the Indian Contract Act, 1872

Question 12. Distinguish between novation and alteration of a contract. Also explain rescission and remission

Question 13. Write a short note on the restoration of benefit under Sections 64 and 65 of the Indian Contract Act, 1872.

Suggested Answers — Part A

Answer 1. Joint Promisors: Liability and Contribution on Default [Sections 42 and 43]

Provision:

- Section 42 provides that where two or more persons have made a joint promise, then, unless a contrary intention appears from the contract, all such persons must jointly fulfil the promise.
- Section 43 provides that when two or more persons make a joint promise, the promisee may, in the absence of an express agreement to the contrary, compel any one or more of such joint promisors to perform the whole of the promise. The liability of joint promisors is thus joint and several.
- Section 43 further provides that each of two or more joint promisors may compel every other joint promisor to contribute equally with himself to the performance of the promise, unless a contrary intention appears from the contract; and that if any one of the joint promisors makes default in such contribution, the remaining joint promisors must bear the loss arising from such default in equal shares.

Application:

(i) Ravi, Suresh and Nitin are joint promisors. In the absence of any express agreement to the contrary, the bank was entitled under Section 43 to compel any one of them to perform the whole of the promise. The bank was therefore justified in recovering the whole of ₹ 9,00,000 from Ravi alone.

(ii) Having performed the whole promise, Ravi may compel Suresh and Nitin to contribute equally, i.e. ₹ 3,00,000 each ($₹ 9,00,000 \div 3$).

Suresh's estate can pay only 25 paise in the rupee, i.e. ₹ 75,000 out of his share of ₹ 3,00,000. The shortfall on account of Suresh's default is ₹ 2,25,000, which must be borne equally by the remaining joint promisors, Ravi and Nitin — ₹ 1,12,500 each.

Nitin is therefore liable to pay Ravi ₹ 3,00,000 + ₹ 1,12,500 = ₹ 4,12,500, and Ravi ultimately bears ₹ 4,12,500 himself. (Check: ₹ 4,12,500 + ₹ 4,12,500 + ₹ 75,000 = ₹ 9,00,000.)

Conclusion:

(i) The bank was justified in recovering the entire amount from Ravi alone, the liability of joint promisors being joint and several.

(ii) Ravi can recover ₹ 75,000 from Suresh's estate and ₹ 4,12,500 from Nitin, bearing ₹ 4,12,500 himself.

Answer 2. Appropriation of Payments (Sections 59, 60 and 61), performance and payment obligations

(i) Whether Vertex Industries was justified in appropriating Rohan's payment of ₹50,000 towards the second debt.

Provision: According to Section 59 of the Indian Contract Act, 1872, where a debtor owing several distinct debts to one person makes a payment with an express indication that the payment should be

applied towards a particular debt, the payment must be applied accordingly, provided it is accepted. The debtor has the right to appropriate the payment.

Application: In the present case, Rohan specifically instructed Vertex Industries to appropriate ₹40,000 towards the first debt and the remaining amount towards interest payable on that debt. However, the accounts manager appropriated the entire ₹50,000 towards the second debt without following Rohan's instructions.

Conclusion: Vertex Industries was not justified in disregarding Rohan's specific instructions. The payment must be appropriated towards the debt indicated by Rohan, subject to the amount lawfully payable as interest.

(ii) Whether Karan can make a valid payment and direct its appropriation towards the first debt.

Provision: According to Section 59 of the Indian Contract Act, 1872, the debtor has the right to specify the debt towards which a payment is to be applied. Section 37 provides that the parties to a contract must perform or offer to perform their respective promises unless performance is dispensed with or excused under the Act.

Application: Karan is a partner of Sunrise Traders and makes a payment of ₹20,000 to Vertex Industries on behalf of the firm. The payment is made towards an existing debt of the firm. Karan also specifically requests that the amount be adjusted against the first debt. A valid payment made on behalf of the debtor can be appropriated according to the applicable rules, provided the debt remains outstanding.

Conclusion: Karan can make a valid payment on behalf of Sunrise Traders and request its appropriation towards the first debt. The actual adjustment will depend on the amount of that debt remaining unpaid after the earlier valid appropriation.

(iii) State the rights of Vertex Industries if Rohan had not specified the debt.

Provision: According to Section 60 of the Indian Contract Act, 1872, where the debtor does not indicate the debt towards which a payment should be applied, the creditor may apply the payment at its discretion towards any lawful debt actually due and payable to him, including a debt barred by limitation.

Application: If Rohan had paid ₹50,000 without specifying the debt, Vertex Industries would have had the right to choose the debt towards which the payment should be appropriated. It could have applied the payment towards the first or second debt, provided the debt was lawful and due and payable.

Conclusion: In the absence of instructions from Rohan, Vertex Industries could appropriate the payment at its discretion towards any lawful debt due and payable under Section 60.

(iv) Explain the legal consequences of the dishonoured cheque of ₹35,000.

Provision: According to Section 37 of the Indian Contract Act, 1872, the parties to a contract must perform their respective promises. A payment obligation is not discharged merely by issuing a cheque if the payment is not successfully made. Section 73 provides compensation for loss or damage caused by a breach of contract, subject to its requirements.

Application: Sunrise Traders was required to pay ₹35,000 on 30th November 2026. The cheque issued towards this payment was dishonoured due to insufficient funds. Consequently, the underlying payment obligation remains unpaid. Vertex Industries can seek recovery of the outstanding amount and any compensation legally recoverable for the breach.

Conclusion: The dishonoured cheque does not discharge Sunrise Traders from its underlying contractual liability. Vertex Industries can pursue recovery of the unpaid amount, subject to the applicable legal requirements.

Answer 3. Reciprocal Promises (Sections 51, 54 and 55) and compensation for breach (Section 73)

(i) Whether the obligations of Aditya and Meera constitute reciprocal promises.

Provision: According to Section 2(f) of the Indian Contract Act, 1872, promises which form the consideration for each other are called reciprocal promises. Under Section 51, where a contract consists of reciprocal promises to be simultaneously performed, the promisor need not perform unless the promisee is ready and willing to perform the reciprocal promise.

Application: Aditya promised to construct the commercial building, while Meera promised to pay the agreed consideration in instalments. The contract specified that the second instalment of ₹8,00,000 would be paid upon completion of the structural framework. Thus, the promises of construction and payment constitute reciprocal promises. The agreed sequence of performance must be followed.

Conclusion: The obligations of Aditya and Meera are reciprocal promises. Aditya must complete the specified construction stage, and Meera must make the corresponding payment in accordance with the terms of the contract.

(ii) Whether Aditya was entitled to suspend construction when Meera refused to pay the second instalment.

Provision: According to Section 54 of the Indian Contract Act, 1872, when a contract consists of reciprocal promises and one party prevents the other from performing his promise, the contract becomes voidable at the option of the party so prevented, and the party so prevented may claim compensation for any loss sustained. Section 51 also provides that where reciprocal promises are to be simultaneously performed, a party need not perform unless the other party is ready and willing to perform.

Application: In the present case, Aditya was required to complete the foundation and structural framework, after which Meera was required to pay the second instalment of ₹8,00,000. Although Aditya failed to complete the work by 30th June, Meera granted him an additional 15 days. Aditya completed the structural framework on 15th July and demanded the second instalment. Since the payment was contractually linked to completion of the structural framework, Meera could not unilaterally postpone the payment until the entire building was completed. Her refusal to make the payment constituted a failure to perform the corresponding contractual obligation, assuming Aditya had fulfilled the required stage of work.

Conclusion: Aditya was entitled to demand the second instalment upon completion of the structural framework and could suspend further construction if Meera failed to make the payment when it became due.

(iii) Whether Meera can claim compensation for delay in completing the construction.

Provision: According to Section 55 of the Indian Contract Act, 1872, when a party fails to perform a contract at or before the specified time and time is of the essence, the contract becomes voidable at the option of the promisee. If time is not of the essence, the contract does not become voidable merely due to delay, but the promisee may claim compensation for the loss caused by the delay.

Application: In the present case, time was expressly made essential because Meera had entered into a lease agreement commencing on 1st September 2026. Aditya failed to complete the foundation by 30th June and was granted an additional 15 days. If he fails to complete the building by 31st August, he would have failed to perform an essential obligation within the agreed period. Meera may claim compensation for losses caused by the delay, subject to proof of the breach.

Conclusion: Meera can claim compensation for losses caused by Aditya's breach. Since time was expressly made essential, she may also exercise the rights available under Section 55 if Aditya fails to perform within the stipulated time.

(iv) Whether Meera can rescind the contract and claim compensation if Aditya fails to complete the building by 31st August.

Provision: According to Section 55 of the Indian Contract Act, 1872, where time is of the essence and the promisor fails to perform within the specified period, the contract becomes voidable at the option of the promisee. Section 73 provides compensation for loss or damage caused by breach of contract.

Application: The contract expressly stated that time was essential because Meera required the building for a lease commencing on 1st September. Aditya's failure to complete the building by 31st August would constitute failure to perform an essential contractual obligation within the agreed period. Meera would therefore have the right to exercise the remedies available under Section 55, including treating the contract as voidable, and may claim compensation for legally recoverable losses caused by the breach.

Conclusion: Meera can exercise her right to rescind the contract where the conditions of Section 55 are satisfied and claim compensation for losses caused by Aditya's breach under Section 73.

(v) Whether the answer would differ if time was not essential.

Provision: According to Section 55 of the Indian Contract Act, 1872, where time is not of the essence of a contract, failure to perform within the specified time does not make the contract voidable solely on account of delay. The promisee may claim compensation for the loss caused by the delay.

Application: If the contract did not expressly make time essential, Aditya's failure to complete the building by the specified date would not automatically give Meera the right to rescind the contract under Section 55. She could claim compensation for losses resulting from the delay, subject to the requirements of the Act.

Conclusion: Yes, the answer would differ. Where time is not essential, Meera would generally be entitled to claim compensation for delay but would not automatically be entitled to rescind the contract merely because the deadline was missed.

Answer 4. Impossibility of Performance (Section 56), restitution (Section 65), and compensation for breach (Section 73)

(i) Whether the government-imposed import ban rendered the contract impossible to perform.

Provision: According to Section 56 of the Indian Contract Act, 1872, an agreement to do an act which is impossible in itself is void. A contract to do an act which, after the contract is made, becomes impossible or unlawful becomes void when the act becomes impossible or unlawful.

Application: Global Agro Exports agreed to import soybean oil from Singapore and deliver it by 31st August 2026. Subsequently, the Government of India imposed a temporary ban on imports of soybean oil from Singapore. The ban was introduced after the contract was entered into and was expected to remain in force for four months. Therefore, if the ban directly prevents Global from carrying out the agreed import transaction, Global cannot lawfully perform the contract in the agreed manner. The restriction is not merely a rise in cost but a legal prohibition affecting performance.

Conclusion: YES, the contract becomes void under Section 56 as the government ban directly prohibits the agreed contractual performance. The impossibility arises because performance has become legally unlawful due to a government restriction.

(ii) Whether increased costs or commercial unviability alone discharge Global Agro Exports.

Provision: According to Section 56 of the Indian Contract Act, 1872, a contract becomes void when performance becomes impossible or unlawful after the contract is made. Mere difficulty or increased expense does not, by itself, establish impossibility of performance.

Application: Global discovered that soybean oil was available from Malaysia at a price 35% higher than the agreed contract price. It refused to procure the goods from Malaysia on the ground that the contract had become commercially unviable.

However, the increase in price does not, by itself, make the performance physically or legally impossible. The goods are still available in the market, although at a higher price. Global's additional expenditure would reduce its profit or cause a financial loss, but commercial unviability alone is not sufficient to invoke Section 56.

Further, the original contract specifically concerned procurement from Singapore. Therefore, the issue of procuring goods from Malaysia must be considered separately.

Conclusion: NO, mere commercial unviability or an increase in the price of goods is not sufficient to discharge Global from its contractual obligations under Section 56. Increased expense alone does not constitute impossibility of performance.

(iii) State the rights of Eastern Food Processing Ltd. regarding the advance payment of 20%.

Provision: Section 65 of the Indian Contract Act, 1872, provides that when a contract becomes void, any person who has received an advantage under the contract is bound to restore it or compensate the person from whom the advantage was received.

Where a contract becomes void due to supervening impossibility under Section 56, the benefit received under the contract must be restored in accordance with Section 65.

Application: Global Agro Exports received an advance payment of 20% under the contract. The total contract price was ₹1.8 crore. The initial instalment of 20% amounts to: ₹1,80,00,000 × 20% = ₹36,00,000. If the contract subsequently became void under Section 56 because performance became impossible or unlawful, the advantage received under the contract would be subject to restoration under Section 65. The advance payment would ordinarily be required to be returned, subject to the circumstances and any applicable legal adjustment.

Conclusion: YES, Eastern must restore the ₹36,00,000 advance if it received the payment and the contract became void under Section 56. Section 65 requires restoration of the benefit received when the contract becomes void.

Answer 5. Performance by third person (Section 41), joint promisors (Sections 42, 43 and 44), and novation or alteration (Section 62)

(i) State the effect of Dinesh releasing Arjun from joint contractual liability on Bharat and Chirag.

Provision: According to Section 44 of the Indian Contract Act, 1872, where two or more persons have made a joint promise, the release of one joint promisor by the promisee does not discharge the other joint promisor or joint promisors. The released joint promisor is also not freed from responsibility towards the other joint promisors.

Application: Arjun, Bharat and Chirag jointly borrowed ₹9,00,000 from Dinesh. Dinesh subsequently entered into an agreement releasing Arjun from his contractual liability. Under Section 44, the release of Arjun does not automatically discharge Bharat and Chirag from their obligations towards Dinesh.

Conclusion: Bharat and Chirag remain liable for their contractual obligations towards Dinesh despite the release of Arjun, subject to the terms of the original agreement and any subsequent valid arrangement.

(ii) Whether Bharat and Chirag can claim discharge because Arjun was released without their consent.

Provision: According to Section 44 of the Indian Contract Act, 1872, the release of one joint promisor by the promisee does not discharge the other joint promisors from their contractual obligations.

Application: Dinesh released Arjun without obtaining the consent of Bharat and Chirag. However, Section 44 specifically provides that the release of one joint promisor does not discharge the remaining joint promisors. Therefore, Bharat and Chirag cannot claim automatic discharge merely because Arjun was released. The release may have implications for the rights of contribution among the joint promisors, but it does not extinguish the remaining promisors' obligations towards Dinesh.

Conclusion: Bharat and Chirag are not automatically discharged from their contractual liability towards Dinesh under Section 44.

(iii) Whether Eshan's payment of ₹4,00,000 constitutes valid performance under Section 41.

Provision: According to Section 41 of the Indian Contract Act, 1872, when a promisee accepts performance of the promise from a third person, he cannot afterwards enforce the same promise against the original promisor.

Application: Bharat arranged for his friend Eshan to pay ₹4,00,000 on his behalf. Dinesh accepted the payment. Eshan was a third person in relation to the original loan contract, and Dinesh accepted his performance. Once Dinesh accepted the payment as performance of the relevant part of the promise, he cannot subsequently enforce the same discharged portion against Bharat. The remaining unpaid amount, however, may still be recoverable.

Conclusion: Eshan's payment constitutes valid performance to the extent accepted by Dinesh. Dinesh cannot demand the same ₹4,00,000 again from Bharat as an unpaid amount, although the balance of the debt may remain payable.

(iv) Whether the agreement dated 1st September 2026 amounts to novation.

Provision: According to Section 62 of the Indian Contract Act, 1872, if the parties to a contract agree to substitute a new contract for it, or to rescind or alter it, the original contract need not be performed. Novation involves the substitution of a new contract for the existing contract.

Application: On 1st September 2026, Dinesh, Bharat and Chirag entered into a new agreement providing for immediate payment of ₹3,00,000 by Chirag and repayment of the balance by Bharat in three instalments. The new agreement changes the repayment arrangement. However, the facts do not expressly state whether the parties intended to substitute the original contract with a new one or merely alter the repayment schedule. A change in the repayment terms does not automatically establish novation. The intention of the parties and the terms of the subsequent agreement must be examined.

Conclusion: The agreement may amount to novation if the parties intended to substitute the original contract with a new contract. If it only altered the repayment schedule, it would be an alteration under Section 62, and the original obligations would be governed by the terms of the revised arrangement.

(v) Whether Dinesh can recover the outstanding amount from Bharat after the revised agreement.

Provision: According to Section 62 of the Indian Contract Act, 1872, when the parties agree to substitute a new contract for the original contract, the original contract need not be performed. Where the parties merely alter the terms, the obligations are governed by the altered agreement.

Application: The revised agreement provided for payment of ₹3,00,000 by Chirag and repayment of the balance by Bharat in three instalments. Bharat failed to pay the remaining instalment. If the revised agreement validly substituted or altered the original repayment arrangement, Bharat's liability would be determined by the terms of that agreement. Dinesh can seek recovery of the amount that became due under the revised agreement. The extent of recovery depends on whether the original agreement was discharged or merely altered and on the outstanding amount.

Conclusion: Dinesh can recover the legally outstanding amount from Bharat under the applicable agreement. The precise amount and basis of recovery depend on the terms and legal effect of the revised arrangement.

Answer 6. Discharge by merger, discharge by performance, and breach of contract**(i) Whether the lease agreement was discharged by merger upon execution of the registered sale deed.**

Provision: Merger of rights is a mode of discharge of contract. Where a person holding a lower or limited right acquires a superior right in the same subject matter, the earlier contractual right may merge into the superior right, resulting in discharge of the earlier contract.

Application: Creative Solutions Pvt. Ltd. was the lessee of one floor of the commercial building. On 15th May 2026, it purchased the entire commercial building, including the leased floor, from Nikhil. By acquiring ownership of the property, Creative Solutions obtained a superior right over the leased premises. The original lease was based on the relationship of landlord and tenant. Upon acquisition of ownership, that relationship no longer continues in the same manner.

Conclusion: The lease agreement is discharged by merger of rights when Creative Solutions Pvt. Ltd. becomes the owner of the leased premises, subject to the terms of the sale arrangement.

(ii) Whether Nikhil can continue to demand monthly rent after Creative Solutions became the owner.

Provision: Discharge by merger occurs when the rights under an existing contract merge into a superior right acquired by the same person. Once the original lease is discharged by merger, the obligations arising solely from that lease need not continue in the same manner.

Application: Creative Solutions Pvt. Ltd. purchased the entire commercial building on 15th May 2026. Before the purchase, it was required to pay monthly rent of ₹75,000 as a tenant. After the purchase, it became the owner of the leased premises. The original lease agreement was therefore discharged by merger.

Conclusion: Nikhil cannot continue demanding monthly rent under the discharged lease for the period after the merger.

(iii) Whether the contractual restriction on subletting continues to apply after purchase of the property.

Provision: Discharge by merger results in the discharge of the earlier contract when the rights under that contract merge into a superior right. The contractual terms governing the original lease must be considered in determining the effect of discharge.

Application: The restriction on subletting was a condition of the original lease agreement. When Creative Solutions Pvt. Ltd. purchased the entire building, the lease was discharged by merger of rights. The restriction arose from the landlord-tenant relationship, which ceased upon the acquisition of ownership. The facts do not state that the sale deed imposed a separate continuing restriction on subletting. Therefore, the original lease-based restriction cannot automatically be treated as continuing after discharge of the lease.

Conclusion: Once the lease is discharged by merger, the original contractual restriction on subletting would not ordinarily continue as a term of the discharged lease. Hence, No the contractual restriction on subletting does not continue to apply on purchase of property.

Suggested Answers — Part B

Answer 7. Conditions that must be satisfied for a valid tender or attempted performance under the Indian Contract Act, 1872

A tender of performance, to be valid, must satisfy the following conditions:

- (i) It must be **unconditional**. Example: A offers to repay to B only the principal amount of the loan, without interest. This is not a valid tender, since the whole amount of principal and interest is not offered.
- (ii) It must be **made at the proper time and place**. Example: If the promisor wants to deliver the goods at 2 a.m., it is not a valid tender unless it was so agreed.
- (iii) **Reasonable opportunity to examine the goods** must be given. Example: A contracts to deliver 1,000 kgs of wheat at B's warehouse. A must bring the wheat on the appointed day in such circumstances that B may satisfy himself that the goods are of the contracted quality and quantity.
- (iv) It **must be for the whole obligation**. Example: A promises to deliver 100 bales of cotton and offers only 80 bales on the appointed day and place. This is not a valid tender.

Consequence: If a valid tender is refused, the promisor is not responsible for non-performance and does not lose his rights under the contract.

Answer 8. By Whom a Contract May be Performed [Sections 40, 41 and 42]

The promise under a contract may be performed, as the circumstances may permit, by the promisor himself, by his agent, or by his legal representative.

1. Promisor himself: Where it appears from the contract that the parties intended that the promise should be performed by the promisor personally, it must be performed by him. Contracts involving the exercise of personal skill or diligence, or founded on personal confidence, fall in this class. Example: A promises to paint a picture for B; A alone must perform it.

2. Agent: Where personal consideration is not the foundation of the contract, the promisor or his representative may employ a competent person to perform it.

3. Legal representatives: A contract involving personal skill or founded on personal consideration comes to an end on the death of the promisor. In the case of any other contract, the legal representatives of the deceased promisor are bound to perform it unless a contrary intention appears from the contract (Section 37, para 2). Their liability is, however, limited to the value of the property they inherit from the deceased.

4. Third persons (Section 41): When a promisee accepts performance of the promise from a third person, he cannot afterwards enforce it against the promisor. Performance by a stranger, if accepted by the promisee, discharges the promisor, even though the promisor neither authorised nor ratified the act.

5. Joint promisors (Section 42): When two or more persons make a joint promise, then, unless a contrary intention appears from the contract, all such persons must jointly fulfil the promise. On the death of any of them, his legal representatives must perform jointly with the survivors; and on the death of the last survivor, the legal representatives of all of them must perform jointly.

Answer 9. Distinguish between “succession” and “assignment” under the Indian Contract Act, 1872

Basis	Succession	Assignment
Meaning	Succession takes place when the rights and liabilities under a contract pass to a person by operation of law, such as inheritance.	Assignment takes place when a party transfers the benefit or rights under a contract to another person
Transfer of Rights	Both the benefits and liabilities of the contract may pass to the legal heir.	Generally, only the benefits or rights under a contract can be assigned.
Liabilities	The legal heir may be liable for the deceased person's liabilities, but only to the extent of the property inherited.	A person cannot transfer their contractual liability to another person merely by assigning it.
Method	It takes place by operation of law.	It takes place through an act of the parties.
Example	On the death of a person, their contractual rights and liabilities may pass to their legal representatives.	A creditor assigns the right to recover a debt to another person.

Conclusion: In succession both burden and benefit pass, and they pass by operation of law; in assignment only the benefit passes, and it passes by the act of the parties.

Answer 10. The doctrine of supervening impossibility under Section 56 of the Indian Contract Act, 1872

Section 56 recognises two kinds of impossibility — initial and subsequent.

(a) Initial impossibility: Where the parties agree upon doing something which is obviously impossible in itself, the agreement is void. “Impossible in itself” means impossible in the nature of things. The fact of impossibility may or may not be known to the parties:

- If known to both parties — there is no real agreement and it is void.
- If unknown to both parties — the contract is void.
- If known to the promisor alone — or where he should have known it with reasonable diligence, the promisee is entitled to claim compensation for the loss suffered on account of non-performance.

(b) Subsequent or supervening impossibility: Where the performance of a promise becomes impossible or unlawful, after the contract is made, by the occurrence of an unexpected event or a change of circumstances beyond the contemplation of the parties, the contract becomes void. Such impossibility is called supervening or post-contractual impossibility. Its effect is to make the contract void and to discharge the parties from further performance.

Grounds of supervening impossibility:

1. an unforeseen change in law;
2. destruction of the subject-matter essential to the performance;
3. the non-existence or non-occurrence of a particular state of things which was naturally contemplated for performing the contract, as a result of some personal incapacity such as a dangerous malady; and
4. Declaration of war.

Example: A contracts to act at a theatre for six months in consideration of a sum paid in advance by B. On several occasions A is too ill to act. The contract to act on those occasions becomes void.

Answer 11. Rules regarding appropriation of payments under Sections 59 to 61 of the Indian Contract Act, 1872

Where a debtor owes several distinct debts to the same creditor and makes a payment which is not sufficient to discharge all of them, the payment is appropriated in accordance with Sections 59 to 61.

- **Rule 1 — Appropriation by the debtor (Section 59):** Where a debtor owing several distinct debts makes a payment either with express intimation, or under circumstances implying, that the payment is to be applied to the discharge of some particular debt, the payment, if accepted, must be applied accordingly.
- **Rule 2 — Appropriation by the creditor (Section 60):** Where the debtor has omitted to intimate, and there are no other circumstances indicating to which debt the payment is to be applied, the creditor may apply it at his discretion to any lawful debt actually due and

payable to him from the debtor, whether or not its recovery is barred by the law of limitation. He cannot, however, apply the payment to a disputed debt.

- **Rule 3 — where neither party appropriates (Section 61):** Where neither party makes any appropriation, the payment shall be applied in discharge of the debts in order of time, whether or not they are barred by limitation. If the debts are of equal standing, the payment shall be applied in discharge of each proportionately.

In short, the right of appropriation belongs first to the debtor; in default of the debtor, the creditor has the option of election; and in default of both, the law appropriates the payment in order of time.

Answer 12. Distinguish between novation and alteration of a contract. Also explain rescission and remission

Section 62 provides that when the parties agree to substitute a new contract, rescind the existing contract, or alter its terms, the original contract need not be performed.

1. Difference between Novation and Alteration

Basis	Novation	Alteration
Meaning	Substitution of an old contract with a new contract.	Change in the terms and conditions of the existing contract.
Change in parties	Parties may remain the same or may change.	Parties remain the same.
Change in terms	A new contract replaces the old contract.	Only certain terms of the original contract are changed.
Effect	The old contract is discharged and replaced by a new contract.	The original contract continues with the altered terms.
Requirement	Requires mutual agreement of the parties.	Requires mutual agreement of the parties.
Example	A owes B ₹1,00,000. A, B and C agree that C will pay B, and B accepts C as the new debtor. A's liability ends.	A agrees to repay B ₹1,00,000 in six months. Both later agree to extend the repayment period to one year.

2. Rescission – Section 62

Meaning: Rescission means cancellation of a contract by mutual agreement of the parties.

In rescission:

- The parties agree to cancel the original contract.
- The original contract need not be performed.
- No new contract is created in its place.
- Example: A agrees to sell goods to B. Later, A and B mutually agree to cancel the contract. This is rescission.

3. Remission – Section 63

Meaning: Remission means accepting a lesser performance than what was originally promised, or giving up part of the performance.

Under Section 63, the promisee may:

- Give up the whole or part of the performance.
- Extend the time for performance.
- Accept a different satisfaction instead of the original promise.

- Example: A owes B ₹5,00,000. B agrees to accept ₹2,00,000 as full settlement of the debt. When A pays ₹2,00,000 and B accepts it as full settlement, the entire debt is discharged.

Answer 13. The restoration of benefit under Sections 64 and 65 of the Indian Contract Act, 1872

Section 64: Restoration of Benefit under a Voidable Contract

Meaning: When a person cancels (rescinds) a voidable contract, they must return any benefit received under that contract to the other party.

A voidable contract can be cancelled by the party entitled to rescind it.

After rescission, the party who received a benefit must return it.

The benefit must be restored as far as possible.

Section 65: Restoration of Benefit under a Void Agreement or a Contract that Becomes Void

Meaning: When an agreement is discovered to be void or a contract subsequently becomes void, any person who has received an advantage under it must return that advantage or provide compensation for it.

Key Points

- The agreement was void from the beginning, or the contract later became void.
- A person received a benefit under that agreement or contract.
- The benefit received must be restored, or suitable compensation must be paid.

Limitation under Section 65

- Only the benefit received under the contract must be restored. An amount that was given as separate security may be treated differently.
- Example: B gives A a deposit as security for completing a land sale. If B fails to complete the sale, the deposit may be retained according to the applicable contractual terms; it is not automatically treated as an advantage received under the contract for the purposes of Section 65.

Section 66: Communication of Rescission

Meaning: The rescission of a voidable contract must be communicated to the other party in the same manner as a proposal is communicated under Section 4.

The communication of rescission may also be revoked in the same manner as a proposal may be revoked.

Key Points

- Rescission must be communicated to the other party.
- The communication must follow the rules applicable to communication of a proposal.
- The rescission communication can be revoked according to the rules applicable to revocation of a proposal.

Part C — Previous Year Papers — September 2026

Q3(c) — Appropriation of Payments [6 Marks]

Question:

“Where a debtor owes several distinct debts to one person (including time-barred and disputed debts) and makes a payment which is insufficient to satisfy the whole amount, the question arises as to which debt the payment should be applied”. In light of this statement, explain the rules regarding appropriation of payments under the provisions of the Indian Contract Act, 1872, when: (i) The debtor expressly intimates or implies which debt should be discharged. (ii) The debtor fails to indicate any preference at the time of payment. (iii) Neither the debtor nor the creditor makes any specific appropriation.

Rules of Appropriation of Payments (Secs. 59–61) [Marks: 6]

(i) The debtor expressly intimates or impliedly indicates which debt is to be discharged [2 Marks]

Section 59 provides that where a debtor, owing several distinct debts to the same creditor, makes a payment either with express intimation, or under circumstances implying that the payment is to be applied to the discharge of a particular debt, the payment, if accepted by the creditor, must be applied accordingly — the debtor has the first right of appropriation, which the creditor cannot override once he accepts the payment.

(ii) The debtor fails to indicate any preference at the time of payment [2 Marks]

Section 60 provides that where the debtor has omitted to intimate, and there are no other circumstances indicating to which debt the payment is to be applied, the creditor may apply it at his own discretion to any lawful debt actually due from the debtor — and, notably, the creditor may apply it even to a debt which is time-barred (barred by limitation); he is not compelled to apply it proportionately or to the earliest debt.

(iii) Neither party makes any specific appropriation [2 Marks]

Section 61 provides that where neither party appropriates the payment, it shall be applied in discharge of the debts in order of time, whether or not they are barred by limitation. If the debts are of equal standing (contracted at the same time), the payment shall be applied proportionately to each.

UNIT 5: BREACH OF CONTRACT AND ITS REMEDIES

(Sections 73 to 75)

Learning Outcomes

- **Types of Breach:** Define Breach of Contract and differentiate between Anticipatory Breach and Actual Breach.
- **Anticipatory Breach Remedies:** Analyse the options/remedies available to an aggrieved party upon anticipatory breach (Sec 39).
- **Measurement of Damages:** Understand the measurement and types of Damages under Section 73 (Rule in Hadley v. Baxendale).
- **Liquidated Damages vs. Penalty:** Distinguish between Liquidated Damages and Penalty under English and Indian Law (Sec 74).
- **Equitable Remedies:** Master other equitable remedies: Rescission, Quantum Meruit, Specific Performance, and Injunction.

Overview

- **Anticipatory Breach (Sec 39):** Refusal/inability to perform before due date. Aggrieved party can either: 1. Rescind immediately & sue for damages, or 2. Keep contract alive till due date (party in breach may perform or take benefit of supervening impossibility).
- **Actual Breach:** Refusal to perform on due date or during performance.
- **Types of Damages (Sec 73):** Ordinary/General Damages (arise naturally in usual course); Special Damages (recoverable ONLY IF prior notice of special circumstances was given at time of contract; no remote/indirect loss); Vindictive/Exemplary Damages (awarded in breach of promise to marry & wrongful dishonour of cheque by banker); Nominal Damages (small technical amount where no actual loss suffered).
- **Liquidated Damages vs. Penalty (Sec 74):** Liquidated Damages = genuine pre-estimate of loss. Penalty = extravagant sum in terrorem. Indian Law Position: Sec 74 makes NO DISTINCTION between the two; Court awards reasonable compensation not exceeding the amount named.
- **Other Remedies for Breach:** Rescission (Sec 75: party absolved from obligations & claims compensation) | Quantum Meruit ('As much as earned': claim for value of work done by non-defaulting party) | Specific Performance (court orders performance where damages inadequate) | Injunction (restraining order against doing what was promised not to do).

High-Priority Topics for the Examination

1. Rule in Hadley v. Baxendale (Sec 73) — Ordinary vs. Special damages case studies (Notice requirement for special loss).
2. Distinction between Liquidated Damages and Penalty — Principles of distinction & Section 74 Indian position.
3. Anticipatory Breach of Contract (Sec 39) — Rights/options of aggrieved party upon repudiation.
4. Remedies of Quantum Meruit & Injunction — Conditions required to claim Quantum Meruit.
5. Vindictive / Exemplary Damages — Specific grounds for award.

Note: In the May 2026 examination, 9 marks were asked from this Unit — a 6-mark descriptive question on vindictive damages and penalty vs. liquidated damages, and a 3-mark question on the remedies of a party defrauded (both included with answers in Part C). Also in September 2026 attempt this – 7 marks case study regarding type of breach and remedies was asked.

This Unit is consistently tested; the computation-based case study on Section 73 (Hadley v. Baxendale pattern) is a recurring favourite of ICAI.

Part A — Case Studies

Question 1. Anticipatory Breach of Contract [Section 39]

On 15th June, Mr. Datar of Kolhapur contracted with Gulmohar Traders to supply 500 quintals of jaggery at an agreed price, delivery to be made on 15th September. On 10th July, Mr. Datar wrote to Gulmohar Traders that owing to a rise in prices, he would not supply the jaggery at the agreed rate. A week later, Gulmohar Traders also learnt that Mr. Datar had sold his entire stock of jaggery to another wholesaler.

Gulmohar Traders did not accept the repudiation; they informed Mr. Datar that they would await performance on the due date. On 20th August, before the date of performance arrived, the State Government issued a notification prohibiting the movement of jaggery outside the district for three months, which made the performance of the contract impossible.

Advise on the following matters:

- (i) State the nature of the breach committed by Mr. Datar and the ways in which such a breach may be committed.
- (ii) What options were available to Gulmohar Traders on receiving the letter of 10th July?
- (iii) What is the effect of the Government notification on the rights of Gulmohar Traders, since they had elected to keep the contract alive?

Analysing Section 39 of the Indian Contract Act, 1872, advise Gulmohar Traders.

Question 2. Ordinary and Special Damages [Section 73]

The crankshaft of the oil expeller of Mr. Ekbote's oil mill broke down, and the mill came to a standstill. He handed over the broken crankshaft to Speedway Transport, a common carrier, for carriage to the manufacturer's workshop at Pune, where a new shaft was to be made using the broken one as a pattern. The transporter was told only that the article was the broken crankshaft of a mill; it was not informed that the mill would remain idle without it, nor that Mr. Ekbote stood to lose a lucrative supply contract with a government canteen if the mill did not restart within a fortnight.

Speedway Transport negligently delayed the delivery by six days beyond the promised time, and the mill remained idle for that additional period. Mr. Ekbote lost the government supply contract and now claims from the transporter (a) the loss of profits for the days the mill remained idle, and (b) the loss suffered on account of the cancelled government contract. It is also found that Mr. Ekbote could have hired a substitute crankshaft locally at a small cost, but he made no effort to do so.

Advise on the following matters:

- (i) Whether Mr. Ekbote can recover the loss of profits for the period the mill remained idle.
- (ii) Whether he can recover the loss arising from the cancellation of the government supply contract.
- (iii) What is the effect of his failure to hire a substitute crankshaft on the quantum of damages?

Analysing Section 73 of the Indian Contract Act, 1872 and the rule in *Hadley v. Baxendale*, advise Mr. Ekbote.

Question 3. Measure of Damages: Computation [Section 73]

Mr. Prakash entered into a contract with Shree Masala Udyog to supply 2,000 kg of turmeric at ₹200 per kg, to be delivered on 30th November. To perform this contract, Mr. Prakash contracted with a farmer, Mr. Raut, for the purchase of 2,000 kg of turmeric at ₹180 per kg, and at the time of the contract he specifically informed Mr. Raut that the turmeric was being purchased for the purpose of performing his contract with Shree Masala Udyog.

Mr. Raut failed to supply the turmeric in due course. The market price of turmeric on the date of default was ₹210 per kg. Consequently, Mr. Prakash could not procure the turmeric in time, and Shree Masala Udyog rescinded the contract.

Advise on the following matters:

- (i) State the rule laid down in Section 73 of the Indian Contract Act, 1872 regarding compensation for loss caused by breach of contract.
- (ii) Calculate the amount of damages which Mr. Prakash can claim from Mr. Raut in the above circumstances.
- (iii) What would be the amount of damages if Mr. Prakash had not informed Mr. Raut about the contract with Shree Masala Udyog?

Analysing the provisions of the Indian Contract Act, 1872, advise Mr. Prakash.

Question 4. Penalty and Liquidated Damages [Section 74]

Nirman Constructions entered into a contract with Mr. Oak for construction of his bungalow, the contract providing that in case of any breach by the contractor, a sum of ₹5 lakh shall be payable as damages. The contractor abandoned the work midway; the actual loss caused to Mr. Oak in getting the balance work completed through another contractor was assessed at ₹2 lakh. Mr. Oak claims the entire stipulated sum of ₹5 lakh.

Nirman Constructions had also furnished a bond of ₹3 lakh to the State Government for the due performance of a public street-lighting maintenance contract, being an act in which the public are interested. On breach of the condition of the bond, the Government demanded the whole sum of ₹3 lakh.

In a separate loan transaction, the contractor had borrowed ₹10 lakh from a financier under an agreement providing that interest at 12% per annum would be increased to 30% per annum from the date of default.

Advise on the following matters:

- (i) How much can Mr. Oak recover from Nirman Constructions out of the stipulated sum of ₹5 lakh?
- (ii) Whether the State Government can recover the whole sum of ₹3 lakh under the bond.
- (iii) Whether the stipulation for increased interest from the date of default is enforceable.

Analysing Section 74 of the Indian Contract Act, 1872, advise the parties.

Question 5. Quantum Meruit

Mr. Qazi, an interior decorator, was engaged by Hotel Rajhans to furnish and decorate its twenty rooms at a lump-sum rate per room, the work of each room being separate and independent. After Mr. Qazi had completed twelve rooms, the hotel management wrongfully repudiated the contract and prevented him from carrying out the remaining work.

The hotel had separately engaged Mr. Salvi to construct and install a single indivisible reception counter for a lump sum of ₹3 lakh. Mr. Salvi completed the entire work, but part of the workmanship was found to be defective, and the hotel had to spend ₹40,000 to set it right. Mr. Salvi has claimed the full lump sum, while the hotel refuses to pay anything for defective work.

Advise on the following matters:

- (i) Whether Mr. Qazi can claim payment for the twelve rooms completed by him, and on what principle.
- (ii) State the conditions which must be fulfilled for a claim on quantum meruit.
- (iii) Whether Mr. Salvi can recover the lump sum of ₹3 lakh despite the defective workmanship.

Analysing the principles of quantum meruit under the Indian Contract Act, 1872, advise the parties.

Question 6. Specific Performance and Injunction

Ms. Tanvi, a well-known playback singer, agreed with Mr. Datta, the owner of a Mumbai auditorium, to perform exclusively at his auditorium every Saturday for three months, and further agreed that during this period she would not perform at any other venue in the district. Within a month, she entered into an engagement to perform at a rival auditorium in the same city.

Mr. Datta also holds an agreement with Mr. Vartak for purchase of an ancestral Tanjore painting, a rare and unique piece of art, which Mr. Vartak now refuses to deliver, offering instead to pay damages. Separately, Mr. Datta had contracted to buy 100 quintals of rice from a trader who has refused to supply; rice of the same quality is freely available in the market.

Advise on the following matters:

- (i) Whether Mr. Datta can compel Ms. Tanvi to sing at his auditorium, and what remedy is available to him in respect of her performing at the rival venue.
- (ii) Whether Mr. Datta can obtain specific performance of the agreement for purchase of the Tanjore painting.
- (iii) Whether specific performance would be granted in respect of the contract for supply of rice.

Analysing the remedies available for breach of contract, advise Mr. Datta.

Question 7. Rescission and Compensation on Rightful Rescission [Section 75]

Ms. Urmila, a singer, contracted with Mr. Wadekar, the manager of a theatre, to sing at his theatre two nights in every week during the next two months, Mr. Wadekar agreeing to pay her ₹10,000 for each night's performance. On the sixth night, Ms. Urmila wilfully absented herself from the theatre for a private engagement, and Mr. Wadekar, in consequence, rescinded the contract. He had already spent ₹50,000 on advance publicity of the remaining shows, which has gone waste.

In another transaction, Mr. Wadekar had agreed to purchase 50 bags of cement from Bandhan Agencies, payment to be made on receipt of the goods. Bandhan Agencies failed to deliver the cement on the appointed day, and Mr. Wadekar now wants to know whether he is still bound to pay the price and whether he can also treat himself as free from the contract.

Advise on the following matters:

- (i) Whether Mr. Wadekar was entitled to rescind the contract with Ms. Urmila, and what is the effect of such rescission on his own obligations.
- (ii) Whether Mr. Wadekar can also claim compensation for the loss suffered by him, despite being the party who rescinded the contract.
- (iii) In the cement transaction, state the position of Mr. Wadekar on the failure of Bandhan Agencies to deliver.

Analysing Sections 39, 64 and 75 of the Indian Contract Act, 1872, advise Mr. Wadekar.

Question 8. Nominal, Vindictive and Delay Damages

Mr. Yeole, a cloth merchant enjoying high credit in the market, issued a cheque of ₹25,000 to a supplier. His banker wrongfully dishonoured the cheque even though sufficient funds were available

in his account. The dishonour became known in the market and injured his business reputation, though he could not prove any specific monetary loss. His friend Mr. Zambre, a salaried employee, suffered a similar wrongful dishonour of a small cheque and also wishes to claim heavy damages.

Mr. Yeole had also contracted to purchase a consignment of fresh grapes from a grower, to be carried by a transporter. The transporter delayed the transit, and the grapes deteriorated in quality, losing the special early-season market. The transporter contends that he was never given notice of any special circumstances and hence cannot be made liable.

In a third transaction, a buyer committed a breach of contract with Mr. Yeole, but on facts Mr. Yeole suffered no actual loss whatsoever.

Advise on the following matters:

- (i) Whether Mr. Yeole and Mr. Zambre can each recover exemplary damages from the banker for wrongful dishonour of their cheques.
- (ii) Whether the transporter is liable for the deterioration of the grapes despite absence of notice of special circumstances.
- (iii) What damages, if any, can Mr. Yeole recover where he has suffered no actual loss from the breach?

Analysing the law relating to kinds of damages, advise the parties.

Part B — Descriptive Questions

Question 9. “An anticipatory breach of contract is a breach of contract occurring before the time fixed for performance has arrived.” Discuss, stating also the effect of anticipatory breach on contracts.

Question 10. Explain the various kinds of damages which may be awarded on breach of a contract under the Indian Contract Act, 1872.

Question 11. What is meant by ‘Quantum Meruit’? State the cases in which a claim on quantum meruit arises.

Question 12. State in brief the remedies available to an aggrieved party on the breach of a contract under the Indian Contract Act, 1872.

Suggested Answers — Part A

Answer 1. Anticipatory Breach [Section 39]

(i) Nature and modes of the breach

Provision: An anticipatory breach is a breach occurring before the time fixed for performance has arrived, i.e., where the promisor refuses altogether to perform his promise and signifies his unwillingness before the due date. It may be committed (a) expressly, by words spoken or written, or (b) impliedly, by the conduct of the party, e.g., by disabling himself from performing

Application: Mr. Datar committed an express anticipatory breach by his letter of 10th July, and also an implied breach by his conduct in selling his entire stock of jaggery to another wholesaler, thereby disabling himself from performing.

Conclusion: The breach is an anticipatory breach of contract, committed both expressly and by conduct.

(ii) Options of the promisee

Provision: Under Section 39, when a party refuses to perform or disables himself from performing his promise in its entirety, the promisee may put an end to the contract, unless he has signified, by words or conduct, his acquiescence in its continuance. He therefore has two options: (1) to treat the contract as rescinded and sue for damages immediately, without waiting for the due date; or (2) to keep the contract alive and wait till the due date, holding the other party responsible for non-performance thereafter.

Application: On receipt of the letter, Gulmohar Traders could either have sued Mr. Datar at once or waited for 15th September; they chose the latter and kept the contract alive.

Conclusion: Both options were available; Gulmohar Traders validly elected to await performance.

(iii) Effect of the supervening event

Provision: Where the promisee elects to keep the contract alive, he keeps it alive for the benefit of the guilty party as well as his own; the guilty party may still perform on reconsideration, and may also take advantage of any supervening impossibility which discharges the contract.

Application: Before the due date, the Government notification prohibiting movement of jaggery rendered performance impossible; since the contract had been kept alive, this supervening impossibility discharged the contract, and Mr. Datar can take advantage of it.

Conclusion: The contract stands discharged by supervening impossibility, and Gulmohar Traders lose their right to sue for damages; had they rescinded on 10th July itself, their accrued right to damages would have remained unaffected.

Answer 2. Ordinary and Special Damages [Section 73; Hadley v. Baxendale]

(i) Loss of profits for the idle period

Provision: Under Section 73, compensation is recoverable for loss which naturally arises in the usual course of things from the breach, or which the parties knew, when they made the contract, to be likely

to result from the breach; no compensation is payable for remote or indirect loss. In *Hadley v. Baxendale (1854)*, on identical facts, the carrier who delayed delivery of a broken mill shaft was held not liable for the mill's loss of profits, since he was informed only that the article was a broken shaft and not that the mill would remain idle without it.

Application: Speedway Transport was told only that the article was a broken crankshaft; it was not informed that the mill would remain idle. The loss of profits from the idle mill did not arise naturally from the mere delay in carriage in the contemplation of the carrier.

Conclusion: Mr. Ekbote cannot recover the loss of profits for the period the mill remained idle; he is entitled only to ordinary damages for the delay in carriage.

(ii) Loss of the government contract

Provision: Special damages, i.e., loss arising from special circumstances, can be claimed only where those circumstances were brought to the notice of the party in breach at the time of making the contract.

Application: The existence of the government supply contract was never communicated to the transporter; the loss on its cancellation is a remote and indirect loss from the transporter's standpoint.

Conclusion: The loss arising from the cancellation of the government contract is not recoverable.

(iii) Failure to mitigate

Provision: The party suffering from the breach is bound to take reasonable steps to minimise the loss; damages attributable to his failure to mitigate are not recoverable.

Application: Mr. Ekbote could have hired a substitute crankshaft locally at small cost but made no effort to do so; the loss which such reasonable steps would have avoided cannot be charged to the transporter.

Conclusion: The damages will be reduced to the extent the loss could have been avoided by reasonable mitigation.

Answer 3. Measure of Damages: Computation [Section 73]

(i) The rule of Section 73

When a contract has been broken, the party who suffers by the breach is entitled to receive, from the party who has broken the contract, compensation for any loss or damage caused to him thereby, which naturally arose in the usual course of things from such breach, or which the parties knew, when they made the contract, to be likely to result from its breach. Such compensation is not to be given for any remote and indirect loss, and the aggrieved party must take reasonable steps to mitigate the loss [*Hadley v. Baxendale*].

(ii) Damages where the special purpose was communicated

Provision: Where the special circumstances are communicated at the time of the contract, the party in breach is liable for the loss which the parties knew to be likely to result from the breach — here, the loss of the profit on the sub-contract.

Application: Mr. Raut knew that the turmeric was being purchased for performing the contract with Shree Masala Udyog at ₹200 per kg against the purchase price of ₹180 per kg. The profit lost is ₹20 per kg $\times$ 2,000 kg.

Conclusion: Mr. Prakash can claim ₹40,000 from Mr. Raut, being the profit he would have made on performance of his contract with Shree Masala Udyog.

(iii) Damages in the absence of such communication

Provision: Where no special circumstances are communicated, the measure of damages is the ordinary loss arising naturally, i.e., the difference between the contract price and the market price on the date of default.

Application: The contract price with Mr. Raut was ₹180 per kg and the market price on the date of default was ₹210 per kg; the difference is ₹30 per kg $\times$ 2,000 kg.

Conclusion: Had the purpose not been communicated, the damages would have been ₹60,000, being the difference between the market price and the contract price on the date of default.

Answer 4. Penalty and Liquidated Damages [Section 74]

(i) Claim of Mr. Oak

Provision: Under Section 74, where a sum is named in a contract as the amount to be paid in case of breach, or the contract contains any other stipulation by way of penalty, the party complaining of the breach is entitled, whether or not actual damage is proved, to receive reasonable compensation not exceeding the amount so named. Indian law makes no distinction between penalty and liquidated damages; the court awards only reasonable compensation, never more than the named sum, though it may award less [*Sri Chunni Lal v. Mehta & Sons Ltd.*].

Application: The named sum is ₹5 lakh, but the actual loss assessed is ₹2 lakh; reasonable compensation cannot exceed the actual loss in these circumstances.

Conclusion: Mr. Oak can recover only ₹2 lakh, being reasonable compensation, and not the stipulated ₹5 lakh.

(ii) Bond given to the Government

Provision: As an exception to Section 74, where a person gives a bond to the Central or State Government for the performance of a public duty or an act in which the public are interested, he is liable, on breach of the condition of the bond, to pay the whole sum mentioned therein.

Application: The bond of ₹3 lakh was furnished to the State Government for due performance of a public street-lighting contract, an act in which the public are interested.

Conclusion: The State Government can recover the whole sum of ₹3 lakh under the bond.

(iii) Increased interest from the date of default

Provision: Under the Explanation to Section 74, a stipulation for increased interest from the date of default may be a stipulation by way of penalty, and the court is empowered to reduce it to reasonable compensation if it is unreasonably high.

Application: The jump of interest from 12% to 30% per annum from the date of default is an extravagant enhancement operating in terrorem of the borrower.

Conclusion: The stipulation is in the nature of a penalty; the financier will be entitled only to reasonable compensation and not the enhanced interest as such.

Answer 5. Quantum Meruit

(i) Claim of Mr. Qazi

Provision: Quantum meruit means ‘as much as the party doing the service has deserved’. Where a party injured by the breach has, at the time of the breach, done part but not all of the work he is bound to do, and the other party wrongfully repudiates the contract, the injured party may sue on quantum meruit for the value of the work done. The claim is also available where a contract is divisible and the party not in default has enjoyed the benefit of part performance.

Application: The contract was at a rate per room and each room was separate — a divisible contract. Mr. Qazi, the party not in default, completed twelve rooms before the hotel wrongfully repudiated the contract and prevented further performance.

Conclusion: Mr. Qazi can recover payment for the twelve completed rooms on the principle of quantum meruit, in addition to any damages for the wrongful repudiation.

(ii) Conditions for the claim

Two conditions must be fulfilled for the application of the doctrine: (1) the original contract must have been discharged (e.g., by breach or repudiation of the other party); and (2) the claim must be brought by the party who is not in default. The remedy is restitutory in nature — reasonable compensation for the value of work actually done — as distinguished from damages, which are compensatory.

(iii) Claim of Mr. Salvi

Provision: Where an indivisible contract for a lump sum is completely performed, but badly, the person who has performed the contract can claim the lump sum, and the other party can make a deduction for the bad work.

Application: Mr. Salvi completely performed the indivisible contract for the reception counter, though part of the workmanship was defective, the rectification of which cost ₹40,000.

Conclusion: Mr. Salvi can recover the lump sum of ₹3 lakh less a deduction of ₹40,000 for the bad work, i.e., ₹2,60,000; the hotel cannot refuse payment altogether.

Answer 6. Specific Performance and Injunction

(i) Remedy against Ms. Tanvi

Provision: A contract of personal service or skill cannot be specifically enforced; however, where a party is negating a negative term of the contract (a promise not to do something), the court may, by injunction, restrain him from doing what he promised not to do.

Application: Ms. Tanvi cannot be compelled to sing at Mr. Datta's auditorium; but her express promise not to perform elsewhere in the district during the period is a negative covenant which she is violating by engaging with the rival auditorium.

Conclusion: Mr. Datta cannot obtain specific performance of the promise to sing, but he can obtain an injunction restraining Ms. Tanvi from performing at the rival venue, besides claiming damages.

(ii) The Tanjore painting

Provision: Where damages are not an adequate remedy — as in the case of a unique or rare article having no market substitute — the court may, in its discretion, direct specific performance of the contract.

Application: The ancestral Tanjore painting is a rare and unique piece of art for which monetary compensation cannot procure a substitute.

Conclusion: Mr. Datta can obtain specific performance compelling Mr. Vartak to deliver the painting.

(iii) The rice contract

Provision: Specific performance is not granted where damages afford an adequate remedy, as in contracts for ordinary marketable goods.

Application: Rice of the same quality is freely available in the market; Mr. Datta can buy against the contract and recover the difference as damages.

Conclusion: Specific performance will be refused; the remedy is a suit for damages.

Answer 7. Rescission and Section 75 Compensation

(i) Right to rescind

Provision: When a contract is broken by one party, the other party may treat the contract as rescinded; on rescission, he is absolved of all his further obligations under the contract. Under Section 39, wilful refusal to perform entitles the promisee to put an end to the contract.

Application: Ms. Urmila wilfully absented herself on the sixth night; Mr. Wadekar was therefore entitled to rescind the contract and stands absolved of his obligation to engage her for the remaining nights.

Conclusion: The rescission by Mr. Wadekar is rightful, and he is discharged from his own further obligations.

(ii) Compensation on rightful rescission

Provision: Under Section 75, a person who rightfully rescinds a contract is entitled to compensation for any damage which he has sustained through the non-fulfilment of the contract.

Application: Mr. Wadekar rightfully rescinded the contract on Ms. Urmila's wilful default; the wasted publicity expenditure and the loss of the remaining shows are damages sustained through non-fulfilment.

Conclusion: Mr. Wadekar can claim compensation from Ms. Urmila under Section 75, notwithstanding that he himself rescinded the contract.

(iii) The cement transaction

Provision: On breach by one party, the other party is discharged from his reciprocal obligations and may treat the contract as rescinded, in addition to claiming damages for any loss.

Application: Bandhan Agencies failed to deliver the cement on the appointed day; Mr. Wadekar's obligation to pay the price was reciprocal to delivery.

Conclusion: Mr. Wadekar is discharged from his liability to pay the price, may treat the contract as rescinded, and can claim damages for any loss caused by the non-delivery.

Answer 8. Nominal, Vindictive and Delay Damages

(i) Wrongful dishonour of cheques

Provision: Vindictive or exemplary damages are awarded only in two cases: (a) breach of a promise to marry, and (b) wrongful dishonour by a banker of his customer's cheque. A trader or businessman whose credit has suffered by wrongful dishonour will get exemplary damages even without proof of pecuniary loss, but a non-trader cannot get heavy damages unless the damages are alleged and proved as special damages [*Gibbons v. Westminster Bank*].

Application: Mr. Yeole is a merchant of high credit and his reputation suffered by the wrongful dishonour; Mr. Zambre is a salaried non-trader who has not alleged or proved special damages.

Conclusion: Mr. Yeole can recover exemplary damages without proof of actual loss; Mr. Zambre can recover only nominal damages unless he proves special damage.

(ii) Deterioration caused by delay

Provision: In case of deterioration caused to goods by delay in carriage, damages can be recovered from the carrier even without notice of special circumstances; 'deterioration' includes not only physical damage but also loss of a special opportunity for sale.

Application: The grapes physically deteriorated and lost the special early-season market on account of the transporter's delay; notice of the special circumstances was not necessary in such a case.

Conclusion: The transporter is liable for the deterioration, including the loss of the special market opportunity, despite the absence of notice.

(iii) Breach without actual loss

Provision: Nominal damages are awarded where the plaintiff proves a breach of contract but has not in fact suffered any real loss; they are awarded merely to establish his right to a decree for breach, and may be as small as a rupee.

Application: The buyer committed a breach but Mr. Yeole suffered no actual loss whatsoever.

Conclusion: Mr. Yeole is entitled only to nominal damages in recognition of the breach of his legal right.

Suggested Answers — Part B

Answer 9. Anticipatory Breach [Section 39]

An anticipatory breach of contract is a breach occurring before the time fixed for performance has arrived, i.e., where the promisor refuses altogether to perform his promise and signifies his unwillingness even before the due date, either expressly by words spoken or written, or impliedly by his conduct [*Frost v. Knight*].

Section 39 provides that when a party to a contract has refused to perform, or disabled himself from performing, his promise in its entirety, the promisee may put an end to the contract, unless he has signified, by words or conduct, his acquiescence in its continuance.

Effect: The promisee is excused from performance or further performance, and gets an option:

- (1) To treat the contract as rescinded and sue for damages immediately, without waiting for the due date of performance; or
- (2) To keep the contract alive till the due date and then hold the other party responsible for non-performance.

In the latter case the contract remains alive for the benefit of both parties: the guilty party may still perform on reconsideration, and may also take advantage of any supervening impossibility which discharges the contract.

Answer 10. Kinds of Damages

1. Ordinary/General damages — compensation for loss which naturally arises in the usual course of things from the breach; equal to the actual loss, but never for indirect or remote loss [Section 73].
2. Special damages — loss arising from special circumstances affecting the contract, recoverable only where such circumstances were brought to the notice of the other party at the time of the contract.
3. Vindictive or exemplary damages — punitive damages awarded only for breach of a promise to marry and for wrongful dishonour of a customer's cheque by a banker [*Gibbons v. Westminster Bank*].
4. Nominal damages — a token amount awarded where breach is proved but no actual loss is suffered, merely to establish the right.
5. Damages for deterioration caused by delay — recoverable from a carrier even without notice; deterioration includes loss of a special opportunity for sale.
6. Pre-fixed damages [Section 74] — a sum named in the contract as payable on breach, whether liquidated damages or penalty; the aggrieved party gets reasonable compensation not exceeding the sum named.

Answer 11. Quantum Meruit

Quantum meruit means 'as much as the party doing the service has deserved'. Where one person has rendered service to another in circumstances indicating an understanding that it is to be paid for, although no remuneration has been fixed, the law infers a promise to pay reasonable remuneration. It

covers the case where the party injured by the breach has done part, but not all, of the work he was bound to do, and seeks compensation for the value of the work done.

Two conditions must be fulfilled: (1) the original contract must have been discharged; and (2) the claim must be brought by the party not in default.

The claim arises in the following cases:

- (a)** When an agreement is discovered to be void, or a contract becomes void.
- (b)** When something is done without any intention to do it gratuitously.
- (c)** Where there is an express or implied contract to render services, but no agreement as to remuneration.
- (d)** When one party abandons or refuses to perform the contract.
- (e)** Where a contract is divisible, and the party not in default has enjoyed the benefit of part performance.
- (f)** When an indivisible contract for a lump sum is completely performed but badly — the performer can claim the lump sum, subject to a deduction for the bad work.

Answer 12. Remedies for Breach of Contract

- 1.** Suit for damages — monetary compensation for the loss caused by the breach, measured under Sections 73 and 74.
- 2.** Rescission of the contract — the aggrieved party may treat the contract as rescinded, is absolved of his own obligations, and, where he rightfully rescinds, is entitled to compensation under Section 75.
- 3.** Suit for specific performance — where damages are not an adequate remedy, the court may, in its discretion, direct the party in breach to carry out his promise according to the terms of the contract.
- 4.** Suit for injunction — where a party is negating the terms of the contract (a negative covenant), the court may restrain him by injunction from doing what he promised not to do.
- 5.** Suit upon quantum meruit — restitutory compensation for the value of work already done, where the contract has been discharged and the claimant is not in default.

Part C — Previous Year Papers

September 2026

Q4(a) — Breach of Contract and its Remedies [7 Marks]

Question:

Mr. Samrat, a garment manufacturer of Surat, entered into a contract with Vogue Fabrics Limited on 1st September 2025. The contract stated that Vogue Fabrics Limited would supply 1,000 meters of premium silk at ₹ 2,000 per meter, with the delivery scheduled for 1st December 2025. Mr. Samrat required this silk to fulfil an export order worth ₹ 30 Lakhs, and he explicitly

informed Vogue Fabrics Limited of this requirement including the export pricing details at the time of signing the contract.

On 15th October 2025, Vogue Fabrics Limited sent an email to Mr. Samrat stating, "Due to a sudden surge in global silk prices and a strike in our factory, we will be unable to supply the silk as agreed."

Mr. Samrat, fearing a loss, immediately looked for other alternative suppliers. On 20th October 2025, the market price of silk was ₹ 2,500 per meter. He chose not to wait until 1st December and sued Vogue Fabrics Limited on 25th October 2025 when the price was stable at ₹ 2,500 per meter. By 1st December 2025, the market price had risen to ₹ 3,000 per meter. Mr. Samrat could not fulfil his order, and he had to pay ₹ 30 lakhs to the foreign buyer as damages.

Answer the following, referring to the provisions of the Indian Contract Act, 1872:

(i) Identify the type of breach that occurred on 15th October 2025. Does Mr. Samrat have the legal right to sue before the stipulated delivery date of 1st December 2025?

(ii) Analyse the remedies available to Mr. Samrat in terms of the damages which he can recover from Vogue Fabrics Limited as per the provisions of the Indian Contract Act, 1872, considering the fact that he sued against Vogue Fabrics Limited on 25th October 2025. You are required to provide the calculation for the same.

(i) Type of breach on 15 Oct 2025; does Samrat have the right to sue before 1 Dec 2025? [Marks: 2]

Provision:

Section 39 of the Indian Contract Act, 1872 deals with anticipatory breach: "When a party to a contract has refused to perform, or disabled himself from performing, his promise in its entirety, the promisee may put an end to the contract, unless he has signified, by words or conduct, his acquiescence in its continuance." Where a party renounces the contract before the date fixed for performance, the promisee has the option to treat the contract as discharged immediately and sue for damages at once, without waiting for the due date to arrive.

Application:

Vogue Fabrics' e-mail of 15 Oct 2025 — well before the delivery date of 1 Dec 2025 — is an unequivocal renunciation of its obligation to supply the silk. This is a clear instance of anticipatory breach under Sec. 39.

Samrat did not, by words or conduct, signify any acquiescence to the contract's continuance — on the contrary, he immediately began looking for alternative suppliers. He was therefore entitled to treat the contract as discharged forthwith and to sue at once, rather than being compelled to wait until 1 Dec 2025.

Conclusion: The breach dated 15 October 2025 is an anticipatory breach of contract under Section 39. Yes, Mr. Samrat had the legal right to sue Vogue Fabrics Limited immediately, without waiting for the stipulated delivery date of 1 December 2025.

(ii) Damages recoverable, with calculation, given the suit was filed on 25 Oct 2025 [Marks: 3]

Provision:

Section 73 entitles a party to compensation for loss or damage which naturally arose in the usual course of things from the breach, or which the parties knew, when they made the contract, to be likely to result from it. The Explanation to Sec. 73 makes clear that in estimating loss, the means

available to the aggrieved party for remedying the inconvenience must be taken into account — i.e., there is a duty to mitigate loss.

Where a promisee elects to treat an anticipatory breach as an immediate discharge and sues at once, ordinary/general damages are measured by the difference between the contract price and the market price prevailing on/around the date the contract is treated as terminated (i.e., the date of election/suit), not the price prevailing on the originally fixed date of performance.

Application:

General damages: Samrat treated the contract as terminated and sued on 25 Oct 2025, when the market price of silk was stable at ₹2,500/metre (the same price that had prevailed since 20 Oct 2025). General damages = (Market price – Contract price) × Quantity = (₹2,500 – ₹2,000) × 1,000 metres = ₹5,00,000 (Rupees Five Lakh).

Special/consequential damages (₹30 lakh paid to the foreign buyer): Since Samrat had explicitly disclosed the export order and pricing to Vogue Fabrics at the time of contracting, this loss was, in principle, within the parties' contemplation under the second limb of Sec. 73 (the rule in *Hadley v. Baxendale*). However, the Explanation to Sec. 73 casts a duty on Samrat to mitigate his loss. Samrat had a clear opportunity to procure equivalent silk in the open market as early as 20–25 Oct 2025, at a stable price of ₹2,500/metre — well before the export deadline and well before the price rose further to ₹3,000/metre by 1 Dec 2025 — but chose not to. His failure to fulfil the export order, and the consequent ₹30-lakh liability, is attributable to his own inaction rather than to Vogue Fabrics' breach.

Conclusion: Mr. Samrat can recover general damages of ₹5,00,000 (difference between the market price of ₹2,500/metre on the date the contract was treated as discharged/date of suit, and the contract price of ₹2,000/metre, for 1,000 metres). He CANNOT recover the ₹30 lakh paid to the foreign buyer, since that loss resulted from his own failure to mitigate by covering his requirement in the open market when silk was available at a stable, lower price well ahead of 1 December 2025.

May 2026

Q.3(c) Damage (6 marks)

Referring to the applicable provisions of the Indian Contract Act, 1872, answer the following:

(i) State the situations where Vindictive or Exemplary damage is awarded (with justification). [3 Marks]

(ii) Penalty and liquidated damages have one thing in common that both are payable on the occurrence of a breach of contract. However, it is very difficult to draw a clear line of distinction between the two. State any three principles which may be helpful to differentiate between Penalty and liquidated damages. [3 Marks]

(i) Situations where vindictive or exemplary damages are awarded [3 Marks]

The general rule under Section 73 is that damages for breach of contract are compensatory, not punitive. Vindictive or exemplary damages, being punitive in nature, are awarded only in two exceptional situations:

1. Breach of a promise to marry — because the breach causes injury to the feelings of the aggrieved party; exemplary damages may be awarded considering the mental suffering and humiliation caused.

2. Wrongful dishonour by a banker of his customer's cheque despite availability of sufficient funds — because the injury to the drawer is so heavy that it causes loss of credit and reputation. A businessman whose credit has suffered will get exemplary damages even if he has sustained no pecuniary loss; a non-trader, however, cannot get heavy damages in like circumstances unless the damages are alleged and proved as special damages [*Gibbons v. Westminster Bank*].

(ii) Principles distinguishing penalty from liquidated damages [3 Marks] (any three)

1. Genuine pre-estimate vs. in terrorem: The essence of liquidated damages is a genuine pre-estimate, made at the time of contract, of the damage likely to flow from the breach; the essence of a penalty is a payment of money stipulated in terrorem of the offending party, to secure performance by threat.

2. Extravagance of the amount: If the sum payable is so large as to be far in excess of the probable or greatest damage likely on breach, it is a penalty.

3. Sum payable on default of payment of money: Where a sum is expressed to be payable on a certain date and a further sum on default, the further sum is a penalty, since mere delay in payment is unlikely to cause damage.

4. The label is not final: The expression used by the parties is not conclusive; the court must find out whether the sum is in truth a penalty or liquidated damages — if the sum is extravagant or exorbitant, it will be treated as a penalty even if termed liquidated damages in the contract.

(It may be added that under Section 74, Indian law makes no distinction in effect: the court awards only reasonable compensation not exceeding the sum named, and is empowered to reduce the amount whether it is styled penalty or liquidated damages.)

Q.6(b), Option 2, Sub-part (i) (3 marks)

Referring to the applicable provisions of the Indian Contract Act, 1872, answer the following:

(i) "The party defrauded has several remedies at his disposal." Discuss the remedies available to the party defrauded. [3 Marks]

Answer: When consent to an agreement is caused by fraud, the contract is voidable at the option of the party whose consent was so caused [Section 19]. The party defrauded has the following remedies:

1. Rescission: He can rescind (avoid) the contract within a reasonable time.

2. Suit for damages: Fraud being a civil wrong, he can also sue the fraudulent party for damages suffered as a result of the fraud.

3. Insistence on performance: He may, instead, insist that the contract be performed, and that he be put in the position in which he would have been if the representations made had been true.

UNIT 6: CONTINGENT AND QUASI CONTRACTS

(Sections 31 to 36 and 68 to 72)

Learning Outcomes

- **Contingent Contracts:** Understand the nature and essential characteristics of Contingent Contracts (Sec 31) and distinguish them from Wagering Agreements.
- **Enforcement Rules:** Master the rules relating to the enforcement of contingent contracts based on happening, non-happening, specified time, or impossible events (Sec 32–36).
- **Quasi Contracts Concept:** Conceptualise Quasi Contracts (certain relations resembling those created by contract) based on the maxim 'No man must grow rich out of another person's loss' (unjust enrichment).
- **Deemed Quasi Contracts:** Analyse the five specific statutory cases deemed as Quasi Contracts (Sec 68–72).

Overview

- **Contingent Contract (Sec 31):** A contract to do or not to do something, if some event, collateral to such contract, does or does not happen. Essentials: Depends on future uncertain event; Event is collateral; Cannot be mere discretionary will of promisor.
- **Enforcement Rules (Sec 32–36):** Happening of event (Sec 32: void if impossible) | Non-happening of event (Sec 33: enforceable when impossible) | Conduct of living person (Sec 34) | Fixed time rules (Sec 35) | Impossible event (Sec 36: void ab initio).
- **Deemed Quasi-Contracts (Sec 68–72):** 1. Claim for Necessaries (Sec 68: supplied to minor/incapable person, reimbursement from estate) | 2. Payment by Interested Person (Sec 69) | 3. Non-Gratuitous Act (Sec 70) | 4. Finder of Goods (Sec 71: bailee duties) | 5. Payment by Mistake / Coercion (Sec 72).

High-Priority Topics for the Examination

1. Contingent Contract vs. Wagering Agreement (Comparison on reciprocal promises, collateral event, insurable interest, and enforceability).
2. Payment by an Interested Person (Sec 69) — Practical scenario questions (e.g., tenant paying landlord's tax arrears to save lease).
3. Obligation of Person Enjoying Benefit of Non-Gratuitous Act (Sec 70) — 3 essential conditions & practical case studies.
4. Responsibility and Rights of Finder of Lost Goods (Sec 71) — Right to retain, claim reward, and conditions for sale under Sec 169.

Part A — Case Studies

Question 1. Meaning of Contingent Contract and Collateral Event [Sections 31 and 32]

Mr. Bakshi of Lucknow entered into a contract with Mr. Chatterjee under which Mr. Bakshi agreed to pay ₹15 lakh to Mr. Chatterjee if Mr. Chatterjee's warehouse, located in the industrial area, was gutted by fire within the next two years. Around the same time, Mr. Bakshi also agreed to purchase Mr. Chatterjee's printing press for ₹50 lakh, but only if Mr. Chatterjee first completed certain pending repairs to the press and handed over possession, the payment of price being expressly linked to and part of this very promise of repair and handover.

Eight months later, the warehouse was in fact gutted by an accidental fire. Mr. Chatterjee claimed ₹15 lakh from Mr. Bakshi. Mr. Bakshi refused to pay, contending that since the agreement was contingent on an uncertain event, it was not enforceable at all, being similar to a wager. He also refused to pay the ₹50 lakh for the printing press, contending that this agreement, too, being conditional on completion of repairs, was a mere contingent contract that could not be enforced until he chose to accept the machine.

Advise on the following matters:

- (i) Define a contingent contract under Section 31 and explain the meaning of a 'collateral event'.
- (ii) Whether the agreement to pay ₹15 lakh on the warehouse being burnt is a valid contingent contract, and whether Mr. Chatterjee can now enforce it.
- (iii) Whether the agreement for sale of the printing press for ₹50 lakh is a contingent contract.

Analysing Sections 31 and 32 of the Indian Contract Act, 1872, advise the parties.

Question 2. Enforcement on Happening and Non-Happening of an Event [Sections 32 and 33]

Mr. Dastur of Ahmedabad entered into two separate agreements with Mr. Engineer, a ship-owner. Under the first agreement, Mr. Dastur promised to pay Mr. Engineer ₹20 lakh if his cargo vessel, the MV Sagar Ratna, safely returned from a voyage to Singapore. Under the second agreement, made on the same day, Mr. Dastur promised to pay Mr. Engineer a further ₹8 lakh if the same vessel did not return from that voyage.

Six months later, the vessel was reported missing at sea and, after an official inquiry, was declared lost, there being no possibility of its return. Mr. Engineer claimed ₹8 lakh under the second agreement. Mr. Dastur refused to pay either amount, contending that since the vessel never 'returned' in the ordinary sense, both agreements had simply failed and nothing was payable under either of them.

Advise on the following matters:

- (i) State the rule of enforcement of a contract contingent on the happening of an uncertain future event.
- (ii) State the rule of enforcement of a contract contingent on the non-happening of an uncertain future event.

(iii) Whether Mr. Engineer can enforce the second agreement and recover ₹8 lakh, and what is the fate of the first agreement.

Analysing the relevant provisions of the Indian Contract Act, 1872, advise the parties.

Question 3. Contingency on an Event Happening or Not Happening within a Fixed Time [Section 35]

Mr. Iyer of Coimbatore promised to pay ₹12 lakh to Mr. Joshi if a particular consignment of imported machinery, then in transit by sea, arrived at the Chennai port within four months. On the same day, he separately promised to pay ₹6 lakh to Mr. Kamble if the very same consignment did not arrive at the Chennai port within those four months.

Owing to a cyclone, the ship carrying the consignment sank in the Bay of Bengal in the second month itself, and the machinery was declared a total loss. Both Mr. Joshi and Mr. Kamble have separately approached Mr. Iyer for payment under their respective agreements, each claiming that the happening of the shipwreck entitles him to be paid.

Advise on the following matters:

- (i) State the rule of enforcement where a contingent contract is to happen if a specified event occurs within a fixed time.
- (ii) State the rule of enforcement where a contingent contract is to happen if a specified event does not occur within a fixed time.
- (iii) Decide the respective claims of Mr. Joshi and Mr. Kamble against Mr. Iyer.

Analysing Section 35 of the Indian Contract Act, 1872, advise the parties.

Question 4. Agreement Contingent on an Impossible Event; Contingent v. Wagering Contract [Section 36]

Mr. Lokhande of Nagpur, an eccentric businessman, promised to pay his nephew Mr. Mhatre ₹25 lakh if Mr. Mhatre could make two straight lines enclose a triangular plot of the same land twice over — a feat which, unknown to either of them at the time of the promise, is a mathematical impossibility. Separately, Mr. Lokhande also entered into an agreement with his friend Mr. Nair under which each agreed to pay the other ₹2 lakh depending on whether the price of a particular share on the stock exchange closed above or below ₹500 on a specified date, with neither party having any intention of actually buying or selling the share nor any interest in it beyond the wager itself.

Mr. Mhatre claims that since neither he nor his uncle knew that the feat was impossible at the time of the promise, the agreement should still be treated as a valid contingent contract and enforced now that its impossibility has become apparent. Mr. Nair, on the other hand, insists that his agreement with Mr. Lokhande is a valid contingent contract like any other, since it depends on the happening of an uncertain future event, namely the closing price of the share.

Advise on the following matters:

- (i) Whether the agreement between Mr. Lokhande and Mr. Mhatre is enforceable, and what is the effect of neither party knowing of the impossibility at the time of the promise.

(ii) Whether the agreement between Mr. Lokhande and Mr. Nair regarding the share price is a valid contingent contract.

(iii) State any three points of distinction between a contingent contract and a wagering agreement.

Analysing Section 36 of the Indian Contract Act, 1872 and the distinction between contingent and wagering contracts, advise the parties.

Question 5. Necessaries Supplied to an Incapable Person and Payment by an Interested Person [Sections 68 and 69]

Mr. Om, aged 16, is a minor living independently in Jaipur while his parents work abroad. Sunrise Provisions, a local grocer, regularly supplied him with food, clothing and school stationery suited to his station in life over several months, for which ₹35,000 remains unpaid. Mr. Om owns a fixed deposit of ₹6 lakh left to him by his grandfather.

Separately, Mr. Om's guardian had let out a portion of Mr. Om's inherited property on lease to Mr. Prabhu. The property tax on the property, payable by Mr. Om as owner, fell into arrears, and the Municipal Corporation of Jaipur advertised the property for sale to recover the arrears. Mr. Prabhu, apprehending that a sale would extinguish his leasehold interest, paid the arrears of ₹80,000 to the Municipal Corporation himself to prevent the sale.

Advise on the following matters:

(i) Whether Sunrise Provisions can recover ₹35,000 from Mr. Om, and if so, from what source.

(ii) Whether Mr. Prabhu can recover the ₹80,000 paid by him to the Municipal Corporation, and from whom.

(iii) State what a supplier must prove to succeed in a claim under Section 68.

Analysing Sections 68 and 69 of the Indian Contract Act, 1872, advise the parties.

Question 6. Obligation of a Person Enjoying the Benefit of a Non-Gratuitous Act [Section 70]

A courier company, Fastrack Logistics, was engaged by a wholesaler to deliver a consignment of 50 branded office chairs to a retail store in Indore. Due to a clerical error in the address, the consignment, worth ₹2.5 lakh, was delivered instead to the neighbouring showroom of Mr. Qureshi, a furniture dealer. Mr. Qureshi, noticing the mistake but liking the chairs, kept them, unpacked them, and began displaying and selling them from his own showroom without informing anyone.

When the wholesaler traced the consignment three weeks later and demanded either the chairs or their price, Mr. Qureshi contended that since he had never entered into any contract with the wholesaler, and the delivery was made to him only by mistake, he was under no legal obligation to pay for goods he never ordered.

Advise on the following matters:

(i) State the essential conditions which must be proved for a claim to succeed under Section 70 of the Indian Contract Act, 1872.

(ii) Whether Mr. Qureshi is bound to pay for the chairs despite having entered into no contract with the wholesaler.

(iii) Would your answer differ if Mr. Qureshi, on discovering the mistake, had left the chairs unopened in a corner of his showroom without using or selling any of them?

Analysing Section 70 of the Indian Contract Act, 1872, advise the wholesaler.

Part B — Descriptive Questions

Question 7. Contingent Contract: Definition and Essentials

Define a 'contingent contract' under Section 31 of the Indian Contract Act, 1872, and state its essential characteristics.

Question 8. Rules of Enforcement of Contingent Contracts

State the rules relating to the enforcement of contingent contracts as laid down in Sections 32 to 36 of the Indian Contract Act, 1872.

Question 9. Contingent Contract vs. Wagering Agreement

Distinguish between a contingent contract and a wagering agreement under the Indian Contract Act, 1872.

Question 10. Quasi Contracts: Meaning and Features

Explain the term 'Quasi-Contract' and state its salient features under the Indian Contract Act, 1872.

Question 11. Cases Deemed to be Quasi Contracts

State briefly the five categories of cases which are deemed to be quasi-contracts under Sections 68 to 72 of the Indian Contract Act, 1872.

Suggested Answers — Part A

Answer 1. Meaning of Contingent Contract and Collateral Event [Sections 31 and 32]

(i) Definition and meaning of collateral event

Under Section 31, a contingent contract is a contract to do or not to do something, if some event, collateral to such contract, does or does not happen. Contracts of insurance, indemnity and guarantee fall under this category. A collateral event, as defined by Pollock and Mulla, is an event which is neither a performance directly promised as part of the contract, nor the whole of the consideration for a promise — it stands apart from and outside the promise itself.

(ii) The warehouse fire agreement

Provision: Where a party promises to pay a sum of money on an uncertain future event happening, and that event is collateral to the contract (neither the performance promised nor the consideration), it is a valid contingent contract, enforceable under Section 32 once the event happens. A contingent contract is not void merely because it depends on an uncertain event; that objection would apply to a wager, not to a contingent contract, since here the parties have a genuine interest in the subject matter, unlike in a wager.

Application: The burning of the warehouse is neither a performance promised by either party nor the consideration for the promise; it is a collateral event. The event (fire) has since actually happened.

Conclusion: The agreement to pay ₹15 lakh is a valid contingent contract, and since the collateral event has happened, Mr. Chatterjee can now enforce it and recover ₹15 lakh; Mr. Bakshi's contention that it is akin to a wager is incorrect.

(iii) The printing press agreement

Provision: Where the event on which an obligation depends is part of the promise itself — i.e., performance by one party is a condition precedent to the other's obligation under the very same transaction — the agreement is a conditional contract of sale and not a contingent contract within Section 31, since the event is not collateral to, but is a part of, the contract.

Application: The repair and handover of the printing press is not an event collateral to the sale; it is part of the very performance contracted for, directly connected with the agreement of sale itself.

Conclusion: The agreement for sale of the printing press is not a contingent contract; it is an ordinary conditional contract of sale, and Mr. Bakshi is bound to pay ₹50 lakh once Mr. Chatterjee completes the repairs and hands over possession as agreed.

Answer 2. Enforcement on Happening and Non-Happening of an Event [Sections 32 and 33]

(i) Rule on happening of an event

Under Section 32, where a contingent contract is made to do or not to do anything if an uncertain future event happens, it cannot be enforced by law unless and until that event has happened. If the happening of the event becomes impossible, such a contract becomes void.

(ii) Rule on non-happening of an event

Under Section 33, where a contingent contract is made to do or not to do anything if an uncertain future event does not happen, it can be enforced only when the happening of that event becomes impossible, and not before.

(iii) Claims of Mr. Engineer under both agreements

Application: The first agreement was contingent on the vessel returning — an event which has now become impossible since the vessel has been officially declared lost. Under Section 32, this renders the first agreement void; nothing is payable under it. The second agreement was contingent on the vessel not returning; that very event — the return becoming impossible — has occurred, since the loss of the vessel makes its return impossible, which is equivalent to the non-happening event having occurred/become certain.

Conclusion: The first agreement (₹20 lakh, contingent on return) is void and unenforceable. The second agreement (₹8 lakh, contingent on non-return) becomes enforceable, since the return of the vessel has become impossible; Mr. Engineer can recover ₹8 lakh from Mr. Dastur under the second agreement.

Answer 3. Contingency on an Event Happening or Not Happening within a Fixed Time [Section 35]**(i) Rule for happening within fixed time**

Under the first paragraph of Section 35, contingent contracts to do or not to do anything, if a specified uncertain event happens within a fixed time, become void if, at the expiration of the time fixed, the event has not happened, or if, before the time fixed, the event becomes impossible.

(ii) Rule for non-happening within fixed time

Under the second paragraph of Section 35, contingent contracts to do or not to do anything, if a specified uncertain event does not happen within a fixed time, may be enforced by law when the time fixed has expired and the event has not happened, or before the time fixed has expired, if it becomes certain that the event will not happen.

(iii) Claims of Mr. Joshi and Mr. Kamble

Application: The agreement with Mr. Joshi was contingent on the consignment arriving within four months (happening within fixed time); since the consignment sank in the second month itself — before the expiry of the fixed time — the event of arrival has become impossible before the time fixed. The agreement with Mr. Kamble was contingent on the consignment not arriving within four months; the sinking of the ship makes it certain, well before the expiry of four months, that the consignment will not arrive within that period.

Conclusion: The agreement with Mr. Joshi becomes void under the first paragraph of Section 35, and he cannot claim ₹12 lakh. The agreement with Mr. Kamble becomes enforceable under the second paragraph of Section 35, since it has become certain, before expiry of the fixed time, that the event (arrival) will not happen; Mr. Kamble can recover ₹6 lakh from Mr. Iyer.

Answer 4. Agreement Contingent on an Impossible Event; Contingent v. Wagering Contract [Section 36]

(i) The feat of enclosing space with two straight lines

Provision: Under Section 36, contingent agreements to do or not to do anything, if an impossible event happens, are void, whether or not the impossibility of the event is known to the parties at the time when the agreement is made.

Application: Making two straight lines enclose a space is a physical and mathematical impossibility; neither Mr. Lokhande nor Mr. Mhatre knowing of this impossibility at the time of the promise is immaterial.

Conclusion: The agreement is void ab initio under Section 36; Mr. Mhatre cannot enforce it, and the parties' lack of knowledge of the impossibility makes no difference to this result.

(ii) The share-price agreement

Provision: An agreement by way of wager is a promise to pay money or money's worth on the happening or non-happening of an uncertain event, where each party has mutual chances of gain or loss and neither has any interest in the event other than the stake. Such agreements are void under Section 30, and are to be distinguished from genuinely contingent contracts, which are collateral to a transaction in which the parties have a real interest.

Application: Mr. Lokhande and Mr. Nair have no interest whatsoever in the share except the stake itself; the agreement consists purely of reciprocal promises to pay depending on an uncertain event, which is the very essence of a wager, and not a contingent contract collateral to some other transaction.

Conclusion: The agreement between Mr. Lokhande and Mr. Nair is a wagering agreement, void under Section 30, and not a valid contingent contract as Mr. Nair contends.

(iii) Distinction between contingent contract and wagering agreement (any three)

(a) A contingent contract is a contract to do or not to do something with reference to a collateral event; a wagering agreement is a promise to pay money or money's worth on an uncertain event, the event itself being the core of the transaction, not merely collateral to it. (b) The parties to a contingent contract have a genuine interest in the subject matter; the parties to a wager have no interest in the subject matter beyond winning or losing the stake. (c) A wagering agreement necessarily consists of reciprocal promises; a contingent contract need not. (d) A contingent contract is valid and enforceable (subject to the rules of Sections 32–36); a wagering agreement is void under Section 30.

Answer 5. Necessaries and Payment by an Interested Person [Sections 68 and 69]

(i) Claim of Sunrise Provisions

Provision: Under Section 68, if a person incapable of entering into a contract, or anyone whom he is legally bound to support, is supplied by another person with necessaries suited to his condition in life, the supplier is entitled to be reimbursed from the property of such incapable person.

Application: Mr. Om, a minor, was supplied food, clothing and stationery suited to his station in life by Sunrise Provisions; he owns a fixed deposit of ₹6 lakh left by his grandfather.

Conclusion: Sunrise Provisions can recover ₹35,000, not personally from Mr. Om, but out of his property, i.e., the fixed deposit.

(ii) Claim of Mr. Prabhu

Provision: Under Section 69, a person who is interested in the payment of money which another is bound by law to pay, and who therefore pays it, is entitled to be reimbursed by the other.

Application: Mr. Om, as owner, was bound by law to pay the property tax; Mr. Prabhu, as lessee, had a genuine interest in preventing the sale of the property (which would have extinguished his lease), and paid the arrears to protect that interest.

Conclusion: Mr. Prabhu can recover ₹80,000 from Mr. Om (through his guardian/estate), being the amount he was legally interested in paying and did pay to discharge Mr. Om's obligation.

(iii) What the supplier must prove under Section 68

To succeed in a claim under Section 68, the supplier must prove not only that the goods were supplied to a person incapable of contracting (a minor or a person of unsound mind) or to a person he is legally bound to support, but also that the goods were necessities suited to that person's actual condition in life and requirements at the time of the sale and delivery.

Answer 6. Obligation of a Person Enjoying the Benefit of a Non-Gratuitous Act [Section 70]

(i) Essential conditions under Section 70

Under Section 70, where a person lawfully does anything for another, or delivers anything to him, not intending to do so gratuitously, and such other person enjoys the benefit thereof, the latter is bound to pay compensation for, or to restore, the thing so done or delivered. For a suit to succeed under this section, the plaintiff must prove: (i) that he had done the act or delivered the thing lawfully; (ii) that he did not do so intending to act gratuitously; and (iii) that the other person enjoyed the benefit of it.

(ii) Liability of Mr. Qureshi

Application: The consignment was delivered lawfully (though by mistaken address) and certainly not with any intention that Mr. Qureshi should have it gratuitously; and Mr. Qureshi, by unpacking, displaying and selling the chairs, clearly enjoyed the benefit of the goods.

Conclusion: All three conditions of Section 70 are satisfied; Mr. Qureshi is bound to pay compensation for, or restore, the chairs to the wholesaler, despite the absence of any contract between them.

(iii) If the chairs had been left unopened and unused

Conclusion: If Mr. Qureshi had merely kept the unopened consignment aside without deriving any benefit from it, the third condition of Section 70 — enjoyment of the benefit — would not be satisfied, and he would be under no obligation to pay compensation; he would, however, be bound to restore the goods themselves on demand.

Suggested Answers — Part B

Answer 7. Contingent Contract: Definition and Essentials

Under Section 31, a contingent contract is a contract to do or not to do something, if some event, collateral to such contract, does or does not happen. Contracts of insurance, indemnity and guarantee fall under this category. Its essential characteristics are:

1. Its performance depends upon the happening or non-happening of some future uncertain event or condition, which may be a condition precedent or subsequent.
2. The event must be collateral to the contract, i.e., neither the performance directly promised as part of the contract, nor the whole of the consideration for the promise; where the event is part of the promise itself, it is a conditional contract, not a contingent one.
3. The contingent event must not be the mere will of the promisor; it may be within his will but must not be merely his will.
4. The event must be uncertain; where the event is certain or bound to happen, the contract is not contingent.

Answer 8. Rules of Enforcement of Contingent Contracts

1. Contingent on an event happening [Section 32]: Cannot be enforced unless and until the event happens; becomes void if the event becomes impossible.
2. Contingent on an event not happening [Section 33]: Can be enforced only when the happening of the event becomes impossible, and not before.
3. Contingent on the conduct of a living person [Section 34]: The event is deemed to have become impossible when that person does anything which renders it impossible that he should act in the required manner within any definite time, or otherwise than under further contingencies.
4. Contingent on a specified event happening within a fixed time [Section 35, para 1]: Becomes void if the event has not happened, or becomes impossible, before the expiry of the fixed time.
5. Contingent on a specified event not happening within a fixed time [Section 35, para 2]: May be enforced when the time has expired without the event happening, or earlier if it becomes certain that the event will not happen.
6. Contingent on an impossible event [Section 36]: Void, whether or not the impossibility is known to the parties at the time the agreement is made.

Answer 9. Contingent Contract vs. Wagering Agreement

The distinction may be stated as follows:

1. Meaning: A contingent contract is a contract to do or not to do something with reference to a collateral event happening or not happening; a wagering agreement is a promise to pay money or money's worth on the happening or non-happening of an uncertain event, the event itself being the substance of the agreement.

- 2. Reciprocal promises:** A contingent contract may or may not contain reciprocal promises; a wagering agreement necessarily consists of reciprocal promises.
- 3. Interest of the parties:** In a contingent contract, the parties have a real interest in the subject matter; in a wager, they have no interest in the subject matter beyond the stake.
- 4. Nature:** A contingent contract need not be wagering in nature, though every wagering agreement is, in substance, contingent in nature.
- 5. Doctrine of mutuality of loss and gain:** A contingent contract is not founded on this doctrine; a wagering contract is essentially a game where losing and gaining alone matter.
- 6. Validity:** A contingent contract is valid and enforceable, subject to Sections 32–36; a wagering agreement is void under Section 30.

Answer 10. Quasi Contracts: Meaning and Features

Certain relations resemble those created by a contract, although no offer, acceptance, consensus ad idem, agreement or promise exists between the parties; the law nonetheless imposes an obligation on one party and confers a corresponding right on the other, based on the principle of equity, justice and good conscience that no person shall be allowed to unjustly enrich himself at the expense of another. Such obligations are termed 'quasi-contracts'. Their salient features are:

- 1.** They do not arise from any agreement between the parties, but are imposed by law.
- 2.** Duty, and not promise, is the foundation of the obligation.
- 3.** The right conferred is always a right to money, and generally, though not always, to a liquidated sum of money.
- 4.** The right is available not against the whole world, but against a particular person or persons only, resembling in this respect a contractual right.
- 5.** A suit for its enforcement may be filed in the same way as in the case of a complete contract.

Answer 11. Cases Deemed to be Quasi Contracts

- 1. Claim for necessities supplied to a person incapable of contracting [Section 68]:** The supplier is entitled to reimbursement from the property of the incapable person, though the incapable person incurs no personal liability.
- 2. Payment by an interested person [Section 69]:** A person interested in the payment of money which another is legally bound to pay, and who therefore pays it, is entitled to be reimbursed by the other.
- 3. Obligation of a person enjoying the benefit of a non-gratuitous act [Section 70]:** Where a person lawfully does something for another, not intending to act gratuitously, and the other enjoys the benefit, the latter must compensate the former or restore the thing done or delivered.
- 4. Responsibility of a finder of goods [Section 71]:** A finder of goods belonging to another, who takes them into his custody, is subject to the same responsibility as a bailee, with a duty of ordinary care, no right to appropriate the goods, and a duty to restore them to the true owner.

5. Money paid or goods delivered by mistake or under coercion [Section 72]: The person to whom money has been paid or anything delivered by mistake or under coercion must repay or return it, irrespective of the nature of the mistake.

UNIT 7: CONTRACT OF INDEMNITY AND GUARANTEE

(Sections 124 to 147)

Learning Outcomes

- **Core Definitions:** Define Contract of Indemnity (Sec 124) and Contract of Guarantee (Sec 126).
- **Key Distinctions:** Differentiate clearly between Indemnity and Guarantee across key legal parameters.
- **Surety's Liability:** Understand the nature and extent of Surety's Liability (co-extensive principle — Sec 128).
- **Discharge Modes:** Analyse the modes of Discharge of Surety (Revocation, Conduct of Creditor, Invalidation).
- **Surety's Rights:** Master the Rights of Surety against Principal Debtor, Creditor, and Co-sureties (Sec 140–147).

Overview

- **Indemnity (Sec 124) & Guarantee (Sec 126):** Indemnity: 2 parties, covers loss by promisor/third party. Guarantee: Tripartite agreement (Creditor, Principal Debtor, Surety). Consideration under Sec 127.
- **Surety's Liability (Sec 128):** Co-extensive with Principal Debtor unless contract provides otherwise.
- **Discharge of Surety:** By Revocation (Sec 130/131: Notice, Death, Novation) | By Conduct of Creditor: Variance without consent (Sec 133), Release of PD (Sec 134), Composition/giving time (Sec 135), Impairing surety's remedy (Sec 139).
- **Rights of Surety:** Against PD: Subrogation (Sec 140), Implied Indemnity (Sec 145) | Against Creditor: Benefit of securities (Sec 141), Set-off | Against Co-Sureties (Sec 146–147): Equal contribution up to guaranteed limits.

High-Priority Topics for the Examination

1. Discharge of Surety by Variance in Terms of Contract (Sec 133) — Practical scenarios on change in terms without surety's consent.
2. Right to Benefit of Creditor's Securities (Sec 141) — Effect on surety's liability if creditor loses/cancels security without consent.
3. Liability of Co-Sureties Bound in Different Sums (Sec 147) — Numerical calculation problems on equal distribution up to limit.
4. Indemnity vs. Guarantee — Direct distinction questions.

Part A — Case Studies

Question 1. Scope of Indemnity and Rights of Indemnity-Holder [Sections 124 and 125]

Mr. Anand, the owner of a warehouse in Ranchi, agreed to indemnify Ms. Bala, a transport contractor, against any loss she might suffer on account of legal proceedings brought against her by any third party in connection with the storage of Mr. Anand's goods at her warehouse. Subsequently, a fire broke out in the warehouse purely due to a short circuit — an accident not caused by the conduct of any person — and a neighbouring shopkeeper, Mr. Chandran, whose adjoining stock was damaged, sued Ms. Bala for damages.

Ms. Bala contested the suit on reasonable grounds but was ultimately held liable and ordered to pay ₹6 lakh in damages to Mr. Chandran, besides incurring ₹50,000 in legal costs in defending the suit. Ms. Bala now claims the entire amount of ₹6.5 lakh from Mr. Anand under the indemnity agreement. Mr. Anand contests the claim, contending that since the fire was an accident not caused by the conduct of any person — neither his own nor that of any other person — it falls outside the strict wording of Section 124, and he is therefore not liable to indemnify her at all.

Advise on the following matters:

- (i) Define a contract of indemnity under Section 124 and identify the parties to such a contract.
- (ii) Whether Mr. Anand's contention that a loss caused by accident falls outside the scope of the indemnity is correct, having regard to the judicial interpretation of Section 124.
- (iii) What amounts can Ms. Bala recover from Mr. Anand under Section 125?

Analysing relevant provisions of the Indian Contract Act, 1872, advise the parties.

Question 2. Essentials of a Valid Guarantee: Consideration and Existence of Debt [Section 127]

Mr. Ghosh requested Global Traders, a wholesaler in Patna, to supply goods worth ₹12 lakh to his cousin, Mr. Hussain, on credit, and undertook that if Mr. Hussain failed to pay, he (Mr. Ghosh) would himself pay Global Traders. Relying on this undertaking, Global Traders supplied the goods to Mr. Hussain on credit.

A week later, and entirely independently, Mr. Ghosh also promised his neighbour Mr. Imtiaz that he would guarantee payment of an old debt of ₹3 lakh which Mr. Imtiaz's son had already incurred to a moneylender several months earlier, this promise being made purely out of friendship and without any request from the moneylender and without the moneylender extending any fresh credit on the strength of this promise.

When Mr. Hussain defaulted on payment to Global Traders, and separately when Mr. Imtiaz's son also defaulted to the moneylender, Mr. Ghosh refused to pay in both cases, contending that no consideration existed for either of his promises.

Advise on the following matters:

- (i) Define a contract of guarantee under Section 126 and identify its three parties in the transaction with Global Traders.

(ii) Whether Mr. Ghosh's guarantee to Global Traders is supported by valid consideration under Section 127.

(iii) Whether Mr. Ghosh's promise to the moneylender regarding Mr. Imtiaz's son's old debt is enforceable.

Analysing relevant provisions of the Indian Contract Act, 1872, advise the parties.

Question 3. Guarantee Obtained by Concealment; Minor as Principal Debtor [Sections 142 and 143]

Jaipur Finance Ltd. employed Mr. Kapoor as a collection agent to recover instalments from its customers. Mr. Kapoor had already failed to account for a part of the collections in the preceding quarter, a fact known to the company. When the company began to suspect irregularities, it asked Mr. Kapoor to furnish security for the due discharge of his duties. Mr. Kapoor approached his friend Mr. Lalwani, who agreed to stand as surety for his honest accounting, without the company disclosing Mr. Kapoor's earlier lapses to Mr. Lalwani. Mr. Kapoor subsequently misappropriated a further sum, and the company now seeks to recover it from Mr. Lalwani under the guarantee.

Separately, Jaipur Finance Ltd. also extended a small consumer loan to Master Rohan, aged 17, for purchase of a laptop, taking a guarantee from Master Rohan's uncle, Mr. Malhotra, for repayment. Master Rohan later failed to repay, and the company seeks to recover the amount from Mr. Malhotra under the guarantee. Mr. Malhotra contends that since the principal debtor, being a minor, could never have been made liable on the loan, the guarantee itself must also be void.

Advise on the following matters:

(i) Whether Jaipur Finance Ltd. can enforce the guarantee against Mr. Lalwani, given that Mr. Kapoor's earlier lapses were not disclosed to him.

(ii) Whether the guarantee given by Mr. Malhotra for the loan to Master Rohan, a minor, is valid and enforceable against Mr. Malhotra.

(iii) State the effect on a guarantee of misrepresentation by the creditor under Section 142.

Analysing relevant provisions of the Indian Contract Act, 1872, advise the parties.

Question 4. Specific and Continuing Guarantee; Revocation by Notice [Sections 129 and 130]

Mr. Naidu guaranteed to Om Traders, a fertiliser dealer in Guwahati, the payment of price for a single consignment of 200 bags of fertiliser to be delivered to a farmer, Mr. Pillai, and to be paid for within 30 days. Om Traders delivered the consignment and Mr. Pillai duly paid for it in time.

Separately, in an unrelated arrangement, Mr. Naidu also guaranteed to Om Traders payment up to ₹5 lakh for any fertiliser that Om Traders might, from time to time, supply on credit to another farmer, Mr. Qureshi, over the course of the next sowing season. Om Traders supplied fertiliser worth ₹3 lakh to Mr. Qureshi, who paid for it in full. Three months later, Mr. Naidu, having fallen out with Mr. Qureshi, gave written notice to Om Traders revoking his guarantee as to future supplies. Notwithstanding the notice, Om Traders continued to supply fertiliser to Mr. Qureshi, this time worth ₹2 lakh, for which Mr. Qureshi has defaulted.

Advise on the following matters:

- (i) Distinguish between a specific guarantee and a continuing guarantee, and classify each of Mr. Naidu's two guarantees.
- (ii) Whether Mr. Naidu, having guaranteed the single consignment to Mr. Pillai, could have revoked that guarantee after delivery but before payment.
- (iii) Whether Mr. Naidu is liable to Om Traders for the ₹2 lakh worth of fertiliser supplied to Mr. Qureshi after the notice of revocation.

Analysing relevant provisions of the Indian Contract Act, 1872, advise Om Traders.

Question 5. Discharge of Surety by Variance and by Release of the Principal Debtor [Sections 133 and 134]

Mr. Rao stood surety to Coastal Bank for the due conduct of Mr. Sinha as a branch cashier, on the terms of Mr. Sinha's original employment contract, which fixed his salary at ₹25,000 per month and his cash-handling limit at ₹2 lakh per day. Six months later, without informing or obtaining the consent of Mr. Rao, the bank revised Mr. Sinha's terms, raising his salary to ₹40,000 per month and his daily cash-handling limit to ₹8 lakh. Two months after this revision, Mr. Sinha was found to have embezzled ₹3 lakh, and investigation revealed that ₹1 lakh of this had been embezzled before the revision of terms and ₹2 lakh after it.

In an unrelated transaction, Mr. Tiwari guaranteed to a hardware supplier the payment of ₹4 lakh owed by a small contractor, Mr. Uddin, for construction material. Later, the supplier, without consulting Mr. Tiwari, accepted a settlement from Mr. Uddin under which Mr. Uddin's liability was reduced to ₹2.5 lakh in full and final discharge, in consideration of immediate payment of that reduced sum, which Mr. Uddin duly paid.

Advise on the following matters:

- (i) State the effect on Mr. Rao's liability of the bank's variance of Mr. Sinha's terms of employment without his consent.
- (ii) For which part of the embezzled amount, if any, is Mr. Rao liable?
- (iii) Whether Mr. Tiwari remains liable to the hardware supplier for any part of the ₹4 lakh, given the composition made with Mr. Uddin.

Analysing relevant provisions of the Indian Contract Act, 1872, advise the parties.

Question 6. Rights of a Surety against the Principal Debtor and the Creditor [Sections 140, 141 and 145]

Mr. Verma stood surety to Trust Bank for a business loan of ₹15 lakh taken by his friend Mr. Waghmare. As part of the loan documentation, Mr. Waghmare had also pledged his commercial vehicle, valued at ₹4 lakh, as additional security to the bank, a fact Mr. Verma was unaware of at the time he gave the guarantee. Mr. Waghmare defaulted, and Trust Bank, before proceeding against Mr. Verma, released the pledge on the vehicle without Mr. Verma's consent, in exchange for a partial payment, and subsequently recovered ₹15 lakh in full from Mr. Verma under the guarantee.

Separately, Mr. Waghmare also owed Trust Bank a further ₹2 lakh under a running current account, and the bank, on suing Mr. Verma, sought to recover ₹17 lakh in total (i.e., including this further amount), even though Mr. Verma's guarantee was expressly limited to the ₹15 lakh business loan only.

Advise on the following matters:

- (i) Whether Mr. Verma can claim any reduction in the ₹15 lakh paid by him, on account of the bank releasing the pledge on the vehicle without his consent.
- (ii) What rights, if any, does Mr. Verma have against Mr. Waghmare after having paid the guaranteed amount to the bank?
- (iii) Whether Trust Bank can hold Mr. Verma liable for the additional ₹2 lakh owed under the unrelated current account.

Analysing relevant provisions of the Indian Contract Act, 1872, advise Mr. Verma.

Question 7. Liability of Co-Sureties Bound in Different Sums [Sections 146 and 147]

Mr. Xavier advanced a loan of ₹12 lakh to Mr. Yusuf, a small manufacturer in Kochi, on the personal guarantees of three sureties — Mr. Zacharia, Mr. Anthony and Ms. Braganza — who executed three separate bonds, each undertaking a different maximum liability: Mr. Zacharia up to ₹8 lakh, Mr. Anthony up to ₹6 lakh, and Ms. Braganza up to ₹4 lakh.

Mr. Yusuf defaulted, and Mr. Xavier was able to recover only ₹9 lakh from Mr. Yusuf's available assets, leaving a shortfall of ₹3 lakh. Mr. Xavier claims this ₹3 lakh in equal shares of ₹1 lakh from each of the three sureties.

Assume, in the alternative, that Mr. Yusuf's default had instead resulted in a shortfall of ₹9 lakh (rather than ₹3 lakh) after recovery from his assets.

Advise on the following matters:

- (i) State the general rule of contribution among co-sureties under Section 146, and how it is qualified where co-sureties are bound in different sums under Section 147.
- (ii) Compute the amount payable by each of the three sureties in respect of the ₹3 lakh shortfall.
- (iii) Compute the amount payable by each of the three sureties if the shortfall had instead been ₹9 lakh.

Analysing relevant provisions the Indian Contract Act, 1872, advise Mr. Xavier.

Part B — Descriptive Questions

Question 8. Define a 'contract of indemnity' under Section 124 of the Indian Contract Act, 1872, and state the rights of the indemnity-holder when sued, under Section 125.

Question 9. Distinguish between a contract of indemnity and a contract of guarantee under the Indian Contract Act, 1872.

Question 10. State the rights of a surety against the principal debtor, the creditor, and his co-sureties under the Indian Contract Act, 1872.

Suggested Answers — Part A

Answer 1. Scope of Indemnity and Rights of Indemnity-Holder [Sections 124 and 125]

(i) Definition and parties

Under Section 124, a contract of indemnity is a contract by which one party promises to save the other from loss caused to him by the conduct of the promisor himself, or by the conduct of any other person. The party who promises to make good the loss is the 'indemnifier', and the party who is promised to be saved from loss is the 'indemnified' or 'indemnity-holder'. Here, Mr. Anand is the indemnifier and Ms. Bala is the indemnity-holder.

(ii) Loss caused by accident

Provision: The literal wording of Section 124 covers only loss caused by the conduct of the promisor or of some other person, and would appear to exclude a loss caused by an accident or an act of God. However, in *Gajanan Moreshwar v. Moreshwar Madan (1942)*, Indian courts adopted the wider English law meaning of indemnity as a promise to save another harmless from loss, covering every loss, whether caused by the conduct of the promisee, by accident, or by natural causes.

Application: The fire in the warehouse was accidental (a short circuit), but following the wider interpretation adopted in *Gajanan Moreshwar*, this does not take the loss suffered by Ms. Bala outside the scope of the indemnity agreed between the parties.

Conclusion: Mr. Anand's contention is not correct; the loss, though caused by accident, falls within the scope of the indemnity as judicially interpreted.

(iii) Amounts recoverable under Section 125

Provision: Under Section 125, the promisee in a contract of indemnity, acting within the scope of his authority, is entitled to recover from the promisor: (a) all damages which he may be compelled to pay in any suit; (b) all costs which he may have been compelled to pay in bringing or defending the suit (provided he acted reasonably, as if there had been no indemnity, and did not act contrary to the indemnifier's instructions); and (c) all sums paid under the terms of any compromise of the suit.

Application: Ms. Bala was compelled to pay ₹6 lakh in damages, and contested the suit on reasonable grounds, incurring ₹50,000 in costs.

Conclusion: Ms. Bala can recover the entire ₹6.5 lakh (damages of ₹6 lakh plus costs of ₹50,000) from Mr. Anand under Section 125.

Answer 2. Essentials of a Valid Guarantee: Consideration

(i) Definition and parties

Under Section 126, a contract of guarantee is a contract to perform the promise, or discharge the liability, of a third person in case of his default. In the transaction with Global Traders: Mr. Ghosh is the surety, Mr. Hussain is the principal debtor, and Global Traders is the creditor.

(ii) Consideration for the guarantee to Global Traders

Provision: Under Section 127, anything done, or any promise made, for the benefit of the principal debtor may be sufficient consideration to the surety for giving the guarantee; a direct consideration moving from the creditor to the surety is not necessary.

Application: Global Traders supplied goods worth ₹12 lakh to Mr. Hussain on credit on the strength of, and in consideration of, Mr. Ghosh's promise of guarantee; this benefit to the principal debtor (Mr. Hussain) is sufficient consideration for Mr. Ghosh's promise.

Conclusion: The guarantee to Global Traders is supported by valid consideration under Section 127 and is enforceable against Mr. Ghosh.

(iii) The promise regarding the old debt

Provision: Under Section 127, past consideration is no consideration for a contract of guarantee; the guarantee must be linked to something done or promised in consideration of, or contemporaneously with, the guarantee.

Application: Mr. Ghosh's promise related to a debt already incurred by Mr. Imtiaz's son several months earlier; the moneylender extended no fresh credit and did nothing on the strength of Mr. Ghosh's promise — it was purely a promise based on past consideration.

Conclusion: The promise to the moneylender is void for want of consideration and is not enforceable against Mr. Ghosh.

Answer 3. Guarantee Obtained by Concealment; Minor as Principal Debtor**(i) Claim against Mr. Lalwani**

Provision: Under Section 143, any guarantee which the creditor has obtained by means of keeping silence as to material circumstances is invalid.

Application: Jaipur Finance Ltd. knew of Mr. Kapoor's earlier failure to account for collections but did not disclose this material fact to Mr. Lalwani before he gave his guarantee for Mr. Kapoor's honest accounting — facts materially identical to the illustration under Section 143.

Conclusion: The guarantee is invalid, and Jaipur Finance Ltd. cannot enforce it against Mr. Lalwani.

(ii) Guarantee for a minor principal debtor

Provision: Even where the principal debtor is incompetent to contract (e.g., a minor), the guarantee given by a competent surety remains valid and enforceable against the surety; it is the surety's own independent promise that is being enforced, and the incompetence of the principal debtor does not affect the validity of the contract of guarantee.

Application: Master Rohan, being a minor, cannot himself be held personally liable on the loan, but Mr. Malhotra's promise of guarantee is a separate and independently enforceable undertaking.

Conclusion: Mr. Malhotra's contention is incorrect; the guarantee is valid, and Jaipur Finance Ltd. can enforce it against him despite the principal debtor being a minor.

(iii) Effect of misrepresentation under Section 142

Under Section 142, any guarantee which has been obtained by means of misrepresentation made by the creditor, or with his knowledge and assent, concerning a material part of the transaction, is invalid.

Answer 4. Specific and Continuing Guarantee; Revocation by Notice**(i) Classification of the two guarantees**

Under Section 129, a guarantee which extends to a series of transactions is a continuing guarantee, while a guarantee confined to a single debt or a specific transaction is a specific guarantee, and the surety's liability under it ends once that transaction is discharged [*Kay v. Groves*]. The guarantee for the single consignment to Mr. Pillai is a specific guarantee. The guarantee for successive supplies to Mr. Qureshi up to ₹5 lakh is a continuing guarantee.

(ii) Revocability of the specific guarantee

Provision: A specific guarantee can be revoked by the surety only if the liability to the principal debtor has not yet accrued; once the guaranteed transaction is complete and liability has accrued, it cannot be revoked.

Conclusion: Since Om Traders had already delivered the consignment (liability had accrued) even before payment, the guarantee to Mr. Pillai could not have been revoked by Mr. Naidu at that stage; in any event, Mr. Pillai duly paid and no issue arises.

(iii) Liability for supplies after the notice of revocation

Provision: Under Section 130, a continuing guarantee may at any time be revoked by the surety as to future transactions by notice to the creditor; the surety remains liable for all transactions that took place before the notice, but not for any transaction after it.

Application: Mr. Naidu gave written notice of revocation to Om Traders before the further ₹2 lakh worth of fertiliser was supplied to Mr. Qureshi.

Conclusion: Mr. Naidu is not liable for the ₹2 lakh supplied after the notice of revocation; his liability, if any, is confined to transactions before the notice (which, on the facts, were already paid for).

Answer 5. Discharge of Surety by Variance and by Release of Principal Debtor**(i) and (ii) Effect of variance on Mr. Rao's liability**

Provision: Under Section 133, any variance made without the surety's consent in the terms of the contract between the principal debtor and the creditor discharges the surety as to transactions subsequent to such variance; the surety remains liable for transactions prior to the variance.

Application: The bank changed Mr. Sinha's salary and cash-handling limit without Mr. Rao's consent; ₹1 lakh was embezzled before this variance and ₹2 lakh after it.

Conclusion: Mr. Rao is liable only for the ₹1 lakh embezzled before the variance; he is discharged from liability for the ₹2 lakh embezzled after the unconsented variance in terms.

(iii) Effect of composition with Mr. Uddin

Provision: Under Section 135, a contract between the creditor and the principal debtor by which the creditor makes a composition with the principal debtor discharges the surety, unless the surety assents to such contract; composition inevitably involves a variation of the original contract.

Application: The hardware supplier compounded with Mr. Uddin, reducing his liability from ₹4 lakh to ₹2.5 lakh, without consulting or obtaining the consent of Mr. Tiwari.

Conclusion: Mr. Tiwari is discharged from his suretyship altogether by this composition; he is not liable to the supplier for any part of the ₹4 lakh.

Answer 6. Rights of a Surety against the Creditor and the Principal Debtor**(i) Effect of the bank releasing the pledged security**

Provision: Under Section 141, a surety is entitled to the benefit of every security which the creditor has against the principal debtor at the time the contract of suretyship is entered into, whether the surety knows of its existence or not; if the creditor loses, or without the surety's consent parts with such security, the surety is discharged to the extent of the value of the security.

Application: Trust Bank held a pledge on Mr. Waghmare's vehicle (worth ₹4 lakh) at the time Mr. Verma gave his guarantee, and the bank released this pledge without Mr. Verma's consent, even though Mr. Verma was unaware of its existence when he became surety — which is immaterial under Section 141.

Conclusion: Mr. Verma is entitled to a reduction of ₹4 lakh (the value of the security released) and was liable, at most, for ₹11 lakh, not ₹15 lakh; he can claim a refund of the ₹4 lakh overpaid.

(ii) Rights of Mr. Verma against Mr. Waghmare

Provision: Under Section 140 (right of subrogation), the surety, upon payment of all that he is liable for, is invested with all the rights which the creditor had against the principal debtor. Under Section 145, there is also an implied promise by the principal debtor to indemnify the surety for whatever sum he has rightfully paid under the guarantee.

Conclusion: Mr. Verma steps into the shoes of Trust Bank against Mr. Waghmare (subrogation) and can also recover, by way of indemnity under Section 145, the amount he has rightfully paid under the guarantee.

(iii) The unrelated current account liability

Provision: The liability of a surety is co-extensive with, and limited to, the liability guaranteed under the specific contract of guarantee; it does not extend to unrelated debts of the principal debtor unless expressly covered by the guarantee.

Conclusion: Trust Bank cannot hold Mr. Verma liable for the additional ₹2 lakh owed under the unrelated current account, since his guarantee was expressly limited to the ₹15 lakh business loan.

Answer 7. Liability of Co-Sureties Bound in Different Sums [Sections 146 and 147]

(i) The rule of contribution

Under Section 146, in the absence of any contract to the contrary, co-sureties are liable, as between themselves, to contribute equally towards the debt or that part of it which remains unpaid by the principal debtor. However, under Section 147, where co-sureties are bound in different sums, they are liable to pay equally only as far as the limits of their respective obligations permit — no surety can be made to pay beyond the maximum sum he has guaranteed, and once a surety's limit is exhausted, the balance is shared equally among the remaining sureties, up to their own limits.

(ii) Computation for a shortfall of ₹3 lakh

Application: Dividing ₹3 lakh equally among the three sureties gives ₹1 lakh each. This amount is well within the individual limits of all three sureties (₹8 lakh, ₹6 lakh and ₹4 lakh respectively), so no limit is exceeded and equal division applies without adjustment.

Conclusion: Each of Mr. Zacharia, Ms. Albuquerque and Mr. Braganza is liable to pay ₹1 lakh.

(iii) Computation for a shortfall of ₹9 lakh

Application: Dividing ₹9 lakh equally would require ₹3 lakh from each; this is within the limits of Mr. Zacharia (₹8 lakh) and Ms. Albuquerque (₹6 lakh), but exceeds Mr. Braganza's limit of ₹4 lakh only if higher shortfalls are involved — here ₹3 lakh remains within Mr. Braganza's ₹4 lakh limit as well. Accordingly, since ₹3 lakh each is within all three individual limits, equal division applies without any need for reallocation.

Conclusion: Each of Mr. Zacharia, Ms. Albuquerque and Mr. Braganza is liable to pay ₹3 lakh out of the ₹9 lakh shortfall, since this equal share is within each surety's respective maximum limit.

Suggested Answers — Part B

Answer 8. Contract of Indemnity: Definition and Rights of Indemnity-Holder

Under Section 124, a contract of indemnity is a contract by which one party promises to save the other from loss caused to him by the conduct of the promisor himself, or by the conduct of any other person. Under Section 125, the promisee (indemnity-holder), acting within the scope of his authority, is entitled to recover from the promisor (indemnifier):

(a) all damages which he may be compelled to pay in any suit in respect of any matter to which the promise to indemnify applies;

(b) all costs which he may have been compelled to pay in bringing or defending such suit, provided he acted as a prudent man would, in the absence of the contract of indemnity, and provided he did not act in contravention of the indemnifier's instructions; and

(c) all sums which he may have paid under the terms of any compromise of such suit, provided the compromise was not contrary to the orders of the indemnifier and was one which it would have been prudent for the promisee to make in the absence of the contract of indemnity.

Answer 9. Distinction between Indemnity and Guarantee

Basis	Contract of Indemnity	Contract of Guarantee
1. Number of parties	A contract of indemnity has two parties — the indemnifier and the indemnified;	A contract of guarantee has three parties — the creditor, the principal debtor and the surety.
2. Nature of liability	The liability of the indemnifier is primary and unconditional	The liability of the surety is secondary and conditional, the primary liability being that of the principal debtor.
3. Time of liability	The indemnifier's liability arises only on the happening of a contingency;	The surety's liability arises on the non-performance of an existing promise or non-payment of an existing debt.
4. Time to act	The indemnifier need not act at the request of the indemnity-holder	The surety acts at the request of the principal debtor.
5. Right to sue third party	An indemnifier cannot sue a third party for the loss in his own name, absent an assignment in his favour	A surety, on discharging the debt, gets all the rights of the creditor and can proceed against the principal debtor in his own right.
6. Purpose	A contract of indemnity is for reimbursement of loss	A contract of guarantee is for the security of the creditor.
7. Competency to contract	All parties to a contract of indemnity must be competent to contract	In a contract of guarantee, the guarantee remains valid even though the principal debtor is a minor or otherwise incompetent, so long as the surety is competent.

Answer 10. Rights of a Surety

A. Against the principal debtor: (i) right of subrogation on payment/performance — the surety is invested with all the rights the creditor had against the principal debtor [Section 140]; (ii) right to be indemnified for whatever he has rightfully paid under the guarantee, by virtue of the implied promise of indemnity under Section 145.

B. Against the creditor: (i) right to the benefit of every security the creditor holds against the principal debtor, whether or not the surety knew of it, with discharge to the extent of any security lost or released without his consent [Section 141]; (ii) right to set off any amount the principal debtor could set off

against the creditor; (iii) right to a proportionate reduction in liability if the principal debtor becomes insolvent.

C. Against co-sureties: (i) right to claim equal contribution from co-sureties, in the absence of a contract to the contrary [Section 146]; (ii) where co-sureties are bound in different sums, right to contribution limited to the respective maximum sums guaranteed by each [Section 147].

Part C — Previous Year Papers — May 2026

Q.4. (a) (7 marks)

Mr. Bhusan is a businessman dealing in retail sale of jewellery made of gold and precious stones. He had approached RCK Bank Ltd. for a loan of ₹70 Lakhs for the purpose of expansion of his business. For availing the loan, Mr. Bhusan mortgaged gold bar worth ₹5 Lakhs and has arranged personal guarantee from Suresh, Suyash, Sumati and Suman, who have agreed to provide guarantee for ₹30 Lakhs, ₹20 Lakhs, ₹10 Lakhs and ₹10 Lakhs respectively in event of repayment failure on part of Mr. Bhusan. Mr. Bhusan invested the loan amount in the business and increased stock of jewellery and set up an additional jewellery showroom in the nearby area.

The gold bars which were mortgaged to the bank by physical transfer were lost due to a burglary committed in connivance with a bank's staff who could not be traced till today. Earlier Mr. Bhusan had also sold a Ganesha Idol made of gold during Diwali to the Bank (on the request of the Bank) to be kept at the Bank's main counter which was worth ₹5 Lakhs for which payment has not been made by the Bank so far. Meanwhile, due to a business downturn, Mr. Bhusan could not repay the loan and the Bank had to approach the guarantors for repayment of the unpaid amount. The Bank has asked the guarantors to contribute the deficit amount equally.

Analysing the relevant provisions of the Indian Contract Act, 1872, decide:

(i) Whether the Bank's contention as to equal contribution by the persons who have provided guarantee is valid and if not, what amount should be paid by each of the guarantors. [4 Marks]

(ii) What would be your answer regarding liability of each guarantor towards contribution in case the Bank makes changes in terms and conditions of the loan with Mr. Bhusan without consent and knowledge of any of the guarantors? [3 Marks]

(i) Validity of the Bank's contention and calculation of liability [4 Marks]

Provision: Under Section 147, co-sureties bound in different sums are liable to pay equally as far as the limits of their respective obligations permit — not in a flat equal split disregarding their individual maximum limits. Under Section 141, a surety is entitled to the benefit of every security which the creditor holds against the principal debtor; if the creditor loses such security, the surety is discharged to the extent of its value. Further, the unpaid price of ₹5 lakh owed by the Bank to Mr. Bhusan for the Ganesha Idol can be set off against the outstanding loan.

Application: The gold bar worth ₹5 lakh, mortgaged as security, was lost due to burglary committed in connivance with the Bank's own staff, discharging the guarantors to the extent of ₹5 lakh. The unpaid ₹5 lakh price of the Ganesha Idol sold to the Bank can be set off against the loan. Effective unpaid liability: ₹70 lakh – ₹5 lakh (lost security) – ₹5 lakh (set-off) = ₹60 lakh. An equal division of

₹60 lakh among 4 sureties would be ₹15 lakh each; however, Sumati and Suman are bound only up to ₹10 lakh each and therefore pay ₹10 lakh each (total ₹20 lakh). The remaining liability of ₹40 lakh (₹60 lakh – ₹20 lakh) is shared equally between Suresh and Suyash, whose individual limits of ₹30 lakh and ₹20 lakh respectively can each absorb ₹20 lakh.

Conclusion: The Bank's contention of flat equal contribution by all four guarantors is not valid, since a guarantor's liability cannot exceed the maximum sum guaranteed by him. Each guarantor's liability is: Suresh – ₹20 lakh; Suyash – ₹20 lakh; Sumati – ₹10 lakh; Suman – ₹10 lakh.

(ii) Effect of variance in terms without the guarantors' consent [3 Marks]

Provision: Under Section 133, any variance made without the surety's consent in the terms of the contract between the principal debtor and the creditor discharges the surety as to transactions taking place subsequent to such variance.

Application: If RCK Bank Ltd. changes the terms and conditions of the loan with Mr. Bhusan without the consent and knowledge of any of the guarantors, such a variance is made without their consent.

Conclusion: All four guarantors – Suresh, Suyash, Sumati and Suman – shall be completely discharged from their liability in respect of transactions subsequent to such variation in terms.

UNIT 8: BAILMENT AND PLEDGE

(Sections 148 to 181)

Learning Outcomes

- **Bailment Essentials:** Understand the concept and essential elements of Bailment (Sec 148).
- **Classification:** Distinguish between Gratuitous and Non-Gratuitous bailments.
- **Rights & Duties:** Analyse the reciprocal duties and rights of Bailor and Bailee.
- **Lien Types:** Differentiate between Particular Lien (Sec 170) and General Lien (Sec 171).
- **Pledge Rules:** Master Pledge (Sec 172) and examine circumstances where a non-owner can create a valid pledge (Sec 178–179).

Overview

- **Bailment Definition (Sec 148):** Delivery of movable goods for a specific purpose, to be returned/disposed of. (No transfer of ownership; custody without possession is NOT bailment).
- **Key Duties:** Bailor: Disclose known/all faults (Sec 150), Bear extraordinary expenses (Sec 158). Bailee: Reasonable care (Sec 151), No unauthorised use (Sec 154), No mixing without consent (Sec 155–157), Return goods + accretions (Sec 160, 163).
- **Lien:** Particular Lien (Sec 170: specific goods for labour/skill) vs. General Lien (Sec 171: general balance for Bankers, Factors, Wharfingers, Attorneys, Policy Brokers).
- **Pledge (Sec 172) & Non-Owner Pledge:** Bailment as security for debt. Valid pledge by non-owners: Mercantile Agent (Sec 178), Person in possession under Voidable Contract (Sec 178A), Limited Interest (Sec 179), Co-owner, Buyer/Seller in possession.

High-Priority Topics for the Examination

1. Duties of Bailee regarding Mixing of Goods (Sec 155–157) — Separable vs. Inseparable mixture consequences.
2. Particular Lien vs. General Lien — Differences and specific parties entitled to general lien under Sec 171.
3. Pledge by Non-Owners — Conditions for valid pledge by mercantile agent or under voidable contracts.
4. Bailee's Liability for Reasonable Care (Sec 151/152) — Case studies on loss due to negligence vs. natural calamities/riots.

Part A — Case Studies

Question 1. Bailor's Duty to Disclose Faults in the Goods Bailed [Section 150]

Mr. Ehsaan owned a diesel generator which, to his knowledge, had a defective winding that caused dangerous electrical sparking. He lent it free of charge to his neighbour Mr. Farooq for a family function, saying nothing about the defect. During the function the generator sparked, a fire broke out, and furniture belonging to Mr. Farooq worth ₹80,000 was destroyed.

In an unrelated transaction, Ms. Gayatri hired out her car, along with a driver, to Mr. Harish for a journey from Indore to Ujjain at a hire charge of ₹4,000. A bolt in the steering assembly, of whose weakness Ms. Gayatri was genuinely unaware, sheared during the journey; the car overturned and Mr. Harish was injured. Ms. Gayatri denies liability on the ground that she had no knowledge whatsoever of the defect.

On the same day, Mr. Ehsaan also delivered a sealed drum of industrial solvent to a transporter for carriage, without disclosing that the contents were highly inflammable. The drum ignited in the transporter's godown and caused extensive damage there.

- (i) State the bailor's duty of disclosure in a gratuitous bailment, and whether Mr. Ehsaan is liable to Mr. Farooq for the ₹80,000.
- (ii) Whether Ms. Gayatri is liable to Mr. Harish although she was unaware of the defect in the car.
- (iii) State the position of a bailor who bails goods of a dangerous nature without disclosing that fact to the bailee.

Analysing the relevant provisions of the Indian Contract Act, 1872 and the decided cases on the point, advise the parties.

Question 2. Bailee's Duty of Care and Consequences of Failure to Return [Sections 151, 152 and 161]

Mr. Ishwar stored 400 bags of grain in the godown of JD Warehousing Ltd. The godown was properly constructed, stocks were kept on raised platforms and all usual precautions were observed. Unprecedented floods, of a severity not experienced in that region within living memory, entered the godown and damaged a part of the grain. Mr. Ishwar seeks compensation from the warehouse.

Separately, Ms. Kalyani bailed her jewellery with Mr. Lokhande on the express condition that it would be kept in a bank locker. Mr. Lokhande instead kept it in a locker at his own residence, where he customarily kept his own jewellery. A month later the entire jewellery was lost during a riot in the locality.

Mr. Ishwar had also given a set of rare books to Mr. Mehboob for binding, to be returned within one month. Mr. Mehboob failed to return them despite repeated demands, and two months after the agreed date the books were destroyed in an accidental fire at his premises which occurred without any negligence on his part.

Advise on the following matters:

- (i) State the standard of care required of a bailee under Section 151 and the protection available to him under Section 152.

- (ii) Whether JD Warehousing Ltd. and Mr. Lokhande are respectively liable for the losses suffered.
- (iii) Whether Mr. Mehboob is liable for the destruction of the books, given that the fire was accidental and he was not negligent.

Question 3. Unauthorised Use and Mixture of the Goods Bailed [Sections 153, 154, 156 and 157]

Mr. Nagarajan lent his tractor to Mr. Omkar for ploughing Mr. Omkar's own field. Mr. Omkar allowed his cousin to take the tractor and use it for commercially transporting sand. The cousin drove with due care, but the tractor overturned on a bend and was badly damaged.

Separately, Mr. Nagarajan bailed 200 quintals of a distinctly marked premium basmati paddy to Pratap Agro Stores for storage. Without Mr. Nagarajan's consent, Pratap Agro Stores mixed it with 300 quintals of its own paddy bearing a different mark. The two lots can still be separated by sorting, at a cost of ₹40,000.

In a third instance, Mr. Nagarajan bailed 50 quintals of premium rice worth ₹5,000 per quintal to Quality Rice Traders, who, again without his consent, mixed it with its own ordinary rice worth ₹2,200 per quintal in such a manner that the two can no longer be separated at all.

Advise on the following matters:

- (i) State the effect of an unauthorised use of the goods bailed, and Mr. Omkar's liability for the damage to the tractor.
- (ii) State the position where goods mixed without the bailor's consent can be separated, and who must bear the ₹40,000 cost of sorting.
- (iii) State the position where the mixture cannot be separated, and compute the amount Mr. Nagarajan can recover from Quality Rice Traders.

Analysing Sections 153, 154, 156 and 157 of the Indian Contract Act, 1872, advise Mr. Nagarajan.

Question 4. Expenses, Accretion and the Bailor's Duty to Receive Back the Goods [Sections 158, 163 and 164]

Mr. Raghavan, being posted out of station for six months, left his milch cow in the custody of Mr. Sathyan, agreeing to pay ₹2,000 per month for its keep. During that period the cow gave birth to a calf, and also yielded milk which Mr. Sathyan sold for ₹18,000. On Mr. Raghavan's return, Mr. Sathyan delivered the cow but retained the calf and the sale proceeds of the milk, claiming that both belong to him as he had reared the animal throughout.

During the same period, Mr. Raghavan hired a taxi from Mr. Thomas for a long journey. Midway a major defect developed in the engine and Mr. Raghavan had to pay ₹9,000 in repair charges to get the vehicle moving; he also spent ₹3,500 on fuel and toll charges during the journey. He now claims the whole of ₹12,500 from Mr. Thomas.

Mr. Raghavan had also delivered his car to a service station for servicing, to be collected within five days. The servicing was completed on time, but Mr. Raghavan did not take back the car for two months, during which the service station incurred ₹12,000 towards its safe custody.

Advise on the following matters:

- (i) Whether the calf and the ₹18,000 realised from the sale of milk belong to Mr. Sathyan or to Mr. Raghavan.
- (ii) Which of the two amounts — ₹9,000 and ₹3,500 — can Mr. Raghavan recover from Mr. Thomas, and on what principle.
- (iii) Whether the service station can claim the ₹12,000 incurred on the custody of the car after the purpose of the bailment was accomplished.

Question 5. Particular Lien and General Lien [Sections 170 and 171]

Ms. Wahida delivered gold to Mr. Xavier, a goldsmith in Mysuru, to be made into a necklace for agreed making charges of ₹35,000. Mr. Xavier completed the necklace within the agreed time, but Ms. Wahida demanded delivery without paying the making charges.

Ms. Wahida had also, quite separately, handed over a diamond ring to Mr. Xavier merely for safe custody for a month, no work of any kind being done upon it. Mr. Xavier now seeks to retain that ring as well until the ₹35,000 due on the necklace is paid.

In a third transaction, Ms. Wahida had borrowed ₹2,00,000 from a bank without any security, and later borrowed a further ₹5,00,000 from the same bank against a pledge of certain jewellery. She has now repaid the second loan of ₹5,00,000 and demands return of the jewellery, the first loan of ₹2,00,000 still remaining outstanding.

Advise on the following matters:

- (i) Distinguish between a particular lien and a general lien under the Indian Contract Act, 1872.
- (ii) Whether Mr. Xavier can retain the necklace, and whether he can equally retain the diamond ring.
- (iii) Whether the bank can retain the pledged jewellery against the outstanding first loan of ₹2,00,000.

Question 6. Pledge: Pawnee's Rights on Default, Redemption and Pledge by Non-Owners [Sections 176, 177, 178A and 179] (6 Marks)

Mr. Yashwant borrowed ₹6,00,000 from Zenith Finance Ltd. against a pledge of gold ornaments valued at ₹10,00,000, the loan being repayable on 31st March. He failed to repay on the due date. Without giving any notice whatsoever to Mr. Yashwant, Zenith Finance Ltd. sold the ornaments on 15th April and realised ₹6,50,000.

Assume, in the alternative, that Zenith Finance Ltd. had given Mr. Yashwant reasonable notice of the intended sale, and that the ornaments had realised only ₹5,40,000.

It is further established that on 10th April — that is, after the stipulated date of repayment but before the ornaments were actually sold — Mr. Yashwant had tendered the entire amount due together with the expenses that had arisen from his default, and had asked for the ornaments back, but the company refused to accept the tender.

Separately, Mr. Yashwant had acquired a rare painting from Ms. Bhavna at a very low price by exercising undue influence over her. Ms. Bhavna had not rescinded that contract when Mr. Yashwant pledged the painting with Mr. Chirag, who advanced money on it in good faith and without notice of any defect in Mr. Yashwant's title.

Advise on the following matters:

- (i) State the rights of a pawnee where the pawnor makes default; whether the sale made without any notice was valid; and, in the alternative case, the consequences of the sale realising ₹5,40,000.
- (ii) Whether Mr. Yashwant was entitled to redeem the ornaments on 10th April, the stipulated date of repayment having already passed.
- (iii) Whether the pledge of the painting with Mr. Chirag is a valid pledge.

Part B — Descriptive Questions

Question 7. Define 'bailment' under Section 148 of the Indian Contract Act, 1872 and state the essential elements of a valid contract of bailment.

Question 8. Distinguish between a contract of bailment and a contract of pledge under the Indian Contract Act, 1872.

Question 9. Distinguish between the general lien and the particular lien of a bailee under the Indian Contract Act, 1872.

Question 10. Ordinarily only the owner of goods can pledge them. State the cases in which a person who is not the owner of the goods may nevertheless make a valid pledge under the Indian Contract Act, 1872.

Suggested Answers — Part A

Answer 1. Bailor's Duty to Disclose Faults in the Goods Bailed

(i) Gratuitous bailment — the generator

Provision: Under Section 150, in a gratuitous bailment the bailor is bound to disclose to the bailee those faults in the goods bailed of which the bailor is aware, and which materially interfere with the use of the goods or expose the bailee to extraordinary risks; if he fails to make such disclosure, he is responsible for the damage arising to the bailee directly from such faults.

Application: Mr. Ehsaan knew of the defective winding, which exposed Mr. Farooq to the extraordinary risk of fire, and lent the generator free of charge without disclosing it. The fire and the destruction of the furniture arose directly from that undisclosed fault.

Conclusion: Mr. Ehsaan is liable to compensate Mr. Farooq for the loss of furniture worth ₹80,000.

(ii) Non-gratuitous bailment — the hired car

Provision: Where goods are bailed for hire, the second limb of Section 150 makes the bailor responsible for damage arising from faults in the goods bailed whether or not he was aware of their existence. In *Hyman & Wife v. Nye & Sons* (1881), where a bolt in the under-part of a hired carriage broke and the hirer was injured, the bailor was held liable in damages, the court observing that it was the bailor's duty to supply a carriage fit for the purpose for which it was hired.

Application: Ms. Gayatri let out the car for a hire charge of ₹4,000, so this is a bailment for hire. The steering bolt sheared and Mr. Harish was injured; her want of knowledge of the defect is therefore immaterial.

Conclusion: Ms. Gayatri is liable to compensate Mr. Harish for the injuries sustained, notwithstanding that she was unaware of the defect.

(iii) Goods of a dangerous nature

Where the goods bailed are of a dangerous nature, such as explosives or inflammable substances, it is the duty of the bailor to disclose that nature to the bailee [*Great Northern Railway case* (1932)]. Mr. Ehsaan, having sent a sealed drum of highly inflammable solvent for carriage without disclosing its nature, is liable to the transporter for the damage caused in the godown.

Answer 2. Bailee's Duty of Care and Consequences of Failure to Return

(i) Standard of care and the protection under Section 152

Under Section 151, in all cases of bailment the bailee is bound to take as much care of the goods bailed to him as a man of ordinary prudence would, under similar circumstances, take of his own goods of the same bulk, quality and value. The standard is uniform and does not vary according to whether the bailment is gratuitous or for reward. Section 152 then provides that the bailee, in the absence of any special contract, is not responsible for the loss, destruction or deterioration of the thing bailed if he has taken the reasonable care required by Section 151.

(ii) Liability of the warehouse and of Mr. Lokhande

Application: Jagdale Warehousing Ltd. observed all the usual precautions and the damage was caused by unprecedented floods; the facts are materially identical to *Shanti Lal v. Takechand*, where a warehouseman was held not liable for goods damaged by unprecedented floods. Mr. Lokhande, on the other hand, was under a special contract to keep the jewellery in a bank locker and deliberately departed from it, so the protection of Section 152 — which operates only in the absence of a special contract — is not available to him.

Conclusion: Jagdale Warehousing Ltd. is not liable for the damage to the grain. Mr. Lokhande is liable to compensate Ms. Kalyani for the loss of the jewellery, his negligence lying in keeping it at his residence contrary to the agreed condition.

(iii) Liability of Mr. Mehboob for the books

Provision: Under Section 160 it is the duty of the bailee to return the goods bailed as soon as the time for which they were bailed has expired or the purpose has been accomplished. Section 161 provides that if, by the default of the bailee, the goods are not returned, delivered or tendered at the proper time, he is responsible to the bailor for any loss, destruction or deterioration of the goods from that time — and this liability attaches notwithstanding the exercise of reasonable care on his part.

Application: Mr. Mehboob failed to return the books at the agreed time despite repeated demands. The fire occurred two months after the default, that is, during the period when the goods were wrongfully in his hands.

Conclusion: Mr. Mehboob is liable to Mr. Ishwar for the loss of the books, even though the fire was accidental and he was not otherwise negligent.

Answer 3. Unauthorised Use and Mixture of the Goods Bailed

(i) Unauthorised use of the tractor

Provision: Under Section 154, if the bailee makes any use of the goods bailed which is not according to the conditions of the bailment, he is liable to make compensation to the bailor for any damage arising to the goods from or during such use — and this is so even if the goods are being used with due care. Under Section 153, a contract of bailment is voidable at the option of the bailor if the bailee does any act with regard to the goods bailed which is inconsistent with the conditions of the bailment.

Application: The tractor was lent for ploughing Mr. Omkar's own field. Permitting his cousin to use it for commercially transporting sand was a use wholly outside the conditions of the bailment, and the damage occurred during that use; the cousin's carefulness is immaterial.

Conclusion: Mr. Omkar must compensate Mr. Nagarajan for the damage to the tractor, and Mr. Nagarajan could in addition have avoided the bailment at his option under Section 153.

(ii) Mixture which can be separated

Provision: Under Section 156, where the bailee, without the consent of the bailor, mixes the goods bailed with his own goods and the goods can be separated or divided, the property in the goods remains in the parties respectively; but the bailee is bound to bear the expense of separation or division and any damage arising from the mixture.

Application: The two lots of paddy bear different marks and can be separated by sorting, but the mixing was done without Mr. Nagarajan's consent.

Conclusion: Mr. Nagarajan remains the owner of and is entitled to have returned his 200 quintals of basmati paddy, and Pratap Agro Stores must bear the entire ₹40,000 cost of sorting, besides any other damage arising from the mixture.

(iii) Mixture which cannot be separated

Provision: Under Section 157, where the bailee, without the consent of the bailor, mixes the goods of the bailor with his own in such a manner that it is impossible to separate the goods bailed from the other goods and to deliver them back, the bailor is entitled to be compensated by the bailee for the loss of the goods.

Application: The premium rice can no longer be separated from the ordinary rice, so Mr. Nagarajan cannot have his own goods returned and must be compensated for their loss. The value of the goods lost is 50 quintals × ₹5,000 per quintal.

Conclusion: Mr. Nagarajan is entitled to recover ₹2,50,000 from Quality Rice Traders as compensation for the loss of his rice.

Answer 4. Expenses, Accretion and the Bailor's Duty to Receive Back the Goods

(i) The calf and the sale proceeds of the milk

Provision: Under Section 163, in the absence of any contract to the contrary, the bailee is bound to deliver to the bailor, or according to his directions, any increase or profit which may have accrued from the goods bailed. The statutory illustration is precisely that of a cow left in the custody of the bailee which gives birth to a calf, the bailee being bound to deliver the calf along with the cow.

Application: The calf and the milk are both increase or profit accruing from the cow bailed, and there was no contract to the contrary; Mr. Sathyan's remuneration was separately fixed at ₹2,000 per month.

Conclusion: Both the calf and the ₹18,000 realised from the sale of the milk belong to Mr. Raghavan and must be delivered to him. Mr. Sathyan's claim is not sustainable.

(ii) The repair charges and the running expenses

Provision: Under Section 158, in a gratuitous bailment the bailor must repay to the bailee the necessary expenses as well as any extraordinary expenses incurred for the purpose of the bailment; in a non-gratuitous bailment the bailor is liable only for the extraordinary expenses, the ordinary and usual expenses of using the goods being borne by the bailee himself.

Application: The taxi was hired for reward, so the bailment is non-gratuitous. A major engine defect developing mid-journey is an extraordinary expense; fuel and toll charges are the ordinary and usual expenses of running a hired vehicle.

Conclusion: Mr. Raghavan can recover ₹9,000, being the extraordinary repair charges, from Mr. Thomas. He must himself bear the ₹3,500 spent on fuel and tolls. His claim for the full ₹12,500 therefore fails to that extent.

(iii) Refusal of the bailor to take back the goods

Provision: Under Section 164 it is the duty of the bailor to receive back the goods when the bailee returns or tenders them after the time of the bailment has expired or its purpose has been accomplished; where the bailor refuses to take delivery at the proper time, the bailee can claim compensation for all necessary expenses incurred for the safe custody of the goods.

Application: The servicing was completed within the agreed five days, but Mr. Raghavan left the car uncollected for two months, compelling the service station to incur ₹12,000 on its safe custody.

Conclusion: The service station is entitled to recover the ₹12,000 from Mr. Raghavan as necessary expenses of custody.

Answer 5. Particular Lien and General Lien

(i) Distinction between the two liens

A particular lien, conferred on the bailee by Section 170, is the right to retain only those particular goods in respect of which the claim is due, and it arises where the bailee has, in accordance with the purpose of the bailment, rendered a service involving the exercise of labour or skill upon the goods bailed. It is automatic and needs no agreement. A general lien, conferred by Section 171, is the right to retain goods not merely for demands arising out of the goods retained but for a general balance of account; it is available only to bankers, factors, wharfingers, attorneys of a High Court and policy brokers, or to others by express agreement, and does not require the exercise of any labour or skill upon the goods.

(ii) Retention of the necklace and of the diamond ring

Provision: Under Section 170, where the bailee has, in accordance with the purpose of the bailment, rendered any service involving the exercise of labour or skill in respect of the goods bailed, he has, in the absence of a contract to the contrary, a right to retain such goods until he receives due remuneration for the services he has rendered in respect of them. The lien is confined to the very goods upon which the labour or skill was expended.

Application: Mr. Xavier exercised his skill in making the necklace and has not been paid the ₹35,000 due for it. Upon the diamond ring, however, he did no work at all; it was delivered merely for safe custody, and being a goldsmith he is not one of the persons entitled to a general lien under Section 171.

Conclusion: Mr. Xavier can retain the necklace until the making charges of ₹35,000 are paid to him. He cannot retain the diamond ring, which he must return to Ms. Wahida.

(iii) The bank's right to retain the jewellery

Provision: Under Section 171, bankers, in the absence of a contract to the contrary, may retain as security for a general balance of account any goods bailed to them. The right extends to goods held in respect of one transaction being retained against the balance due on another.

Application: The jewellery was pledged with the bank as security for the second loan of ₹5,00,000, which has been repaid; but the earlier loan of ₹2,00,000 remains outstanding on the general balance of account.

Conclusion: The bank can retain the jewellery towards the outstanding first loan of ₹2,00,000. It may, however, only retain the goods under the general lien and cannot sell them; and the right would have been lost had there been a contract to the contrary.

Answer 6. Pledge: Pawnee's Rights on Default, Redemption and Pledge by Non-Owners

(i) Rights of the pawnee on default and the validity of the sale

Provision: Under Section 176, if the pawnor makes default in payment of the debt, or performance of the promise, at the stipulated time in respect of which the goods were pledged, the pawnee has the following rights: (a) he may bring a suit against the pawnor upon the debt or promise, and retain the goods pledged as collateral security; or (b) he may sell the thing pledged, on giving the pawnor reasonable notice of the sale. If the proceeds of such sale are less than the amount due in respect of the debt or promise, the pawnor is still liable to pay the balance; if the proceeds are greater than the amount so due, the pawnee shall pay over the surplus to the pawnor.

Application: The right of sale conferred by Section 176 is exercisable only upon giving the pawnor reasonable notice of the sale. Zenith Finance Ltd. sold the ornaments on 15th April without giving Mr. Yashwant any notice at all, so this condition of the section was not satisfied. In the alternative case, reasonable notice was duly given and the sale realised ₹5,40,000 as against the debt of ₹6,00,000.

Conclusion: The sale made without any notice is not in accordance with Section 176, since the giving of reasonable notice is a condition of the pawnee's right to sell; Zenith Finance Ltd. is answerable to Mr. Yashwant for having sold the ornaments without it, though Mr. Yashwant's liability to repay the debt itself is not thereby extinguished. In the alternative case, the proceeds fall short of the amount due by ₹60,000, which Mr. Yashwant remains liable to pay; conversely, had the ornaments realised ₹6,50,000, the surplus of ₹50,000 would have had to be paid over to him.

(ii) Right of redemption

Provision: Under Section 177, where a time is stipulated for payment of the debt for which the pledge is made and the pawnor makes default at the stipulated time, he may nevertheless redeem the goods pledged at any subsequent time before their actual sale; but he must in that case pay, in addition, any expenses which have arisen from his default.

Application: Mr. Yashwant tendered the whole amount due together with the expenses arising from his default on 10th April, that is, before the ornaments were sold on 15th April.

Conclusion: Mr. Yashwant was entitled to redeem the ornaments on 10th April, and Zenith Finance Ltd. was wrong in refusing his tender.

(iii) Pledge of the painting by a person in possession under a voidable contract

Provision: Under Section 178A, where the pawnor has obtained possession of the goods pledged by him under a contract voidable under Section 19 or Section 19A, but the contract has not been rescinded at the time of the pledge, the pawnee acquires a good title to the goods, provided he acts in good faith and without notice of the pawnor's defect of title.

Application: Mr. Yashwant obtained the painting under a contract voidable for undue influence, which Ms. Bhavna had not rescinded when the pledge was made, and Mr. Chirag advanced money in good faith without notice of the defect in title.

Conclusion: The pledge of the painting with Mr. Chirag is a valid pledge, and he acquires a good title to the painting as pawnee.

Suggested Answers — Part B

Answer 7. Essential Elements of a Contract of Bailment

Section 148 of the Indian Contract Act, 1872 defines 'bailment' as the delivery of goods by one person to another for some purpose, upon a contract that they shall, when the purpose is accomplished, be returned or otherwise disposed of according to the directions of the person delivering them. The essential elements are:

1. **Contract:** Bailment rests upon a contract, which may be express or implied. No consideration is necessary to create a valid bailment.
2. **Delivery of goods:** There must be delivery of goods from one person to another. The delivery may be actual, where the goods are physically handed over, or constructive under Section 149, where something is done which has the effect of putting the goods in the possession of the intended bailee or of a person authorised to hold them on his behalf.
3. **Purpose:** The goods must be delivered for some purpose, express or implied.
4. **Change of possession, not of ownership:** Only possession passes to the bailee; the bailor continues to be the owner. A person having mere custody without possession, such as a servant holding his master's goods, is not a bailee.
5. **Return of the goods in specie:** The same goods must be returned in their original or altered form as directed; the bailee cannot deliver other goods, even of a higher value.
6. **Movable property:** Bailment is only for movable goods, and never for immovable property or money.

Answer 8. Distinction between Bailment and Pledge

Basis	Pledge	Bailment
Governing sections	Pledge is dealt with by Sections 172 to 181 of the Indian Contract 1872	Bailment generally is governed by Sections 148 to 171 of the Indian Contract 1872
As to purpose	A pledge is a species of bailment in which the goods are delivered as security for the payment of a debt or the performance of a promise	A bailment may be for any other purpose, such as repair, safe custody or carriage.
As to right of sale	The pawnee may sell the goods on the pawnor's default, after giving reasonable notice	A bailee generally has no right to sell, and may only retain the goods under his lien or sue the bailor for his dues.
As to right of use	The pawnee has no right to use the goods pledged	A bailee may use them if the terms of the bailment so provide.
Consideration	A pledge is always for consideration	A bailment may be with or

		without consideration.
Discharge	A pledge is discharged on payment of the debt or performance of the promise	a bailment is discharged when the purpose is accomplished or the stipulated period expires

Answer 9. General Lien and Particular Lien

Basis	General Lien	Particular Lien
Governing sections	The general lien of a bailee is conferred by Section 171	Particular lien is conferred by Section 170
Meaning	A general lien is the right to retain goods belonging to another against a general balance of account	A particular lien is the right to retain only the specific goods in respect of which the claim is due.
How it arises	A general lien is not automatic and arises only by agreement or by the express operation of Section 171 in favour of specified persons	A particular lien is automatic once the conditions are satisfied.
Labour or skill	A general lien may be exercised even where no labour or skill has been expended on the goods	A particular lien arises only where the bailee has expended labour or skill on the goods in accordance with the purpose of the bailment.
Persons entitled:	Only bankers, factors, wharfingers, attorneys of a High Court and policy brokers are entitled to a general lien under Section 171	A particular lien is available to a bailee, a finder of goods, a pledgee, an unpaid seller, an agent, a partner and the like.

Under a general lien the goods can only be retained for the dues and cannot be sold, and the right of lien in either case may be waived or excluded by a contract to the contrary.

Answer 10. Pledge by Persons other than the Owner

Ordinarily only the owner of the goods, or a person authorised by him in that behalf, can create a valid pledge. In order to facilitate mercantile transactions, however, the law recognises certain exceptions in favour of bona fide pledges made by persons who are not the owners but in whose possession the goods have been left:

- 1. Pledge by a mercantile agent [Section 178]:** A mercantile agent who is, with the consent of the owner, in possession of the goods or of the documents of title to them may pledge them while acting in the ordinary course of business, and such a pledge is as valid as if expressly authorised by the owner, provided the pawnee acts in good faith and has no notice of the pawnor's want of authority.
- 2. Pledge by a person in possession under a voidable contract [Section 178A]:** Where the pawnor obtained possession under a contract voidable under Section 19 or Section 19A which had not been rescinded at the time of the pledge, the pawnee acquires a good title if he acts in good faith and without notice of the defect of title.
- 3. Pledge where the pawnor has only a limited interest [Section 179]:** Such a pledge is valid to the extent of that interest.
- 4. Pledge by a co-owner in possession:** Where goods owned jointly are left, with the consent of the other co-owners, in the possession of one of them, that co-owner may make a valid pledge.

5. Pledge by a seller or a buyer in possession: A seller left in possession of the goods after sale, or a buyer who obtains possession before sale with the seller's consent, can make a valid pledge, provided the pawnee acts in good faith and without knowledge of the defect in the pawnor's title.

Part C — Previous Year Papers — May 2026

Q.6(b)

Please Note: In the May 2026 examination, Question 6(b) was set in the alternative and carried 6 marks: the candidate had to attempt any one of the two options given below. Both options are reproduced here in full, exactly as set, so that the complete question is before the student. Option 1 was drawn wholly from this Unit; of Option 2, sub-part (i) belongs to Unit 5 (Breach of Contract and its Remedies) and sub-part (ii) to this Unit. Answers to all four sub-parts are given in the suggested answers that follow.

Option 1 [6 Marks]

Referring to the applicable provisions of the Indian Contract Act, 1872, answer the following:

(i) Rights of finder of lost goods. [3 Marks]

(ii) Rights of Pawnee/Pledgee. [3 Marks]

Option 2 [6 Marks]

Referring to the applicable provisions of the Indian Contract Act, 1872, answer the following:

(i) "The party defrauded has several remedies at his disposal." Discuss the remedies available to the party defrauded. [3 Marks]

(ii) State the circumstances under which a contract of bailment shall terminate. [3 Marks]

Option 1 (i) — Rights of a finder of lost goods [3 Marks]

1. Right of lien [Section 168]: The finder has no right to sue the owner for compensation for the trouble and expense voluntarily incurred by him in preserving the goods and finding out the owner, but he has a right to retain the goods against the owner until he receives such compensation.

2. Right to sue for a specific reward [Section 168]: Where the owner has offered a specific reward for the return of the goods lost, the finder may sue for such reward, and may retain the goods until he receives it.

3. Right of sale [Section 169]: Where the thing found is commonly the subject of sale, and the owner cannot with reasonable diligence be found or, having been found, refuses upon demand to pay the lawful charges of the finder, the finder may sell it — (a) when the thing is in danger of perishing or of losing the greater part of its value, or (b) when the lawful charges of the finder in respect of the thing found amount to two-thirds of its value.

Option 1 (ii) — Rights of a pawnee / pledgee [3 Marks]

1. Right to retain the goods pledged [Section 173]: The pawnee may retain the goods pledged not only for payment of the debt or performance of the promise, but also for the interest on the debt and all necessary expenses incurred by him in respect of the possession or for the preservation of the goods pledged.

2. Right of retention for subsequent debts [Section 174]: The pawnee may retain the goods for a debt or promise other than that for which they were pledged only where there is a contract to that effect; in the absence of such a contract, no such right exists.

3. Right to extraordinary expenses [Section 175]: The pawnee is entitled to receive from the pawnor the extraordinary expenses incurred by him for the preservation of the goods pledged; for such expenses, however, he cannot retain the goods, but may sue the pawnor.

4. Rights on default by the pawnor [Section 176]: On default, the pawnee may either bring a suit against the pawnor upon the debt or promise and retain the goods pledged as collateral security, or sell the thing pledged on giving the pawnor reasonable notice of the sale. If the proceeds are less than the amount due, the pawnor remains liable for the balance; if greater, the pawnee must pay the surplus over to the pawnor.

Option 2 (i) — Remedies available to the party defrauded [3 Marks]

This sub-part belongs to Unit 5 (Breach of Contract and its Remedies) and is answered here only so that the question is complete. Where consent to an agreement is caused by fraud, the contract is voidable at the option of the party defrauded, who has the following remedies:

- 1. Rescission:** He can rescind, that is, cancel the contract, within a reasonable time.
- 2. Suit for damages:** He can sue the party guilty of the fraud for the damages suffered by him as a result of the fraud.
- 3. Insist on performance:** He can insist upon the performance of the contract, on the condition that he shall be put in the position in which he would have been had the representations made to him been true.

Option 2 (ii) — Circumstances in which a contract of bailment terminates [3 Marks]

A contract of bailment terminates in the following circumstances:

- 1. On expiry of the stipulated period:** Where the goods were given for a fixed period, the bailment comes to an end on the expiry of that period.
- 2. On fulfilment of the purpose:** Where the goods were delivered for a specific purpose, the bailment terminates on the accomplishment of that purpose.
- 3. By notice on inconsistent use [Section 153]:** Where the bailee does any act with regard to the goods which is inconsistent with the conditions of the bailment, the bailor may terminate the bailment by notice, the contract being voidable at his option.
- 4. Termination of a gratuitous bailment [Section 159]:** A gratuitous bailment may be terminated by the bailor at any time by notice, even before the expiry of the agreed period; but if the resulting loss to the bailee exceeds the benefit he has derived, the bailor must compensate him for such loss.
- 5. By death:** A gratuitous bailment terminates on the death of either the bailor or the bailee.
- 6. By destruction of the subject matter:** A bailment terminates where the subject matter is destroyed, or its nature so changes that it can no longer be used for the purpose of the bailment.

UNIT 9: AGENCY

(Sections 182 to 238)

Learning Outcomes

- **Agency Foundations:** Define Agent and Principal (Sec 182) and understand the test of agency (Qui facit per alium, facit per se).
- **Capacity Rules:** Analyse who can appoint an agent and who can become an agent (Sec 183–184).
- **Creation Modes:** Examine modes of Creation of Agency (Express, Implied, Estoppel, Necessity, Ratification).
- **Delegation Types:** Distinguish clearly between Sub-Agent (Sec 191) and Substituted Agent (Sec 194).
- **Duties, Rights & Irrevocability:** Master Duties and Rights of an Agent and rules on Irrevocable Agency (Sec 202).

Overview

- **Test of Agency:** Ability to bind principal and establish privity between principal and third parties. (No consideration needed - Sec 185).
- **Creation & Ratification:** Express, Implied, Estoppel (Sec 237), Necessity (Sec 189), Ratification (Sec 196–200: full transaction, no injury to third party, full knowledge).
- **Sub-Agent vs. Substituted Agent:** Sub-Agent (Sec 191: under agent's control, no privity with principal, Delegatus non potest delegare) | Substituted Agent (Sec 194: named by agent, privity exists directly with principal).
- **Agent's Duties & Rights:** Duties: Follow instructions/customs (Sec 211), Reasonable care (Sec 212), Render accounts (Sec 213), No secret profits (Sec 215–216). Rights: Retain sums (Sec 217), Remuneration (Sec 219), Lien (Sec 221), Indemnity (Sec 222–223).
- **Irrevocable Agency (Sec 202):** Agency coupled with interest cannot be terminated to prejudice of agent's interest, even by death/insanity/insolvency.

High-Priority Topics for the Examination

1. Agency Coupled with Interest (Sec 202) — Revocation rules and validity upon death/insanity/insolvency of principal.
2. Sub-Agent vs. Substituted Agent — Distinction table & principal's liability for their acts.
3. Agent's Authority in an Emergency (Sec 189) — Perishable goods case scenarios.
4. Essentials of Valid Ratification (Sec 196–200) — Materially defective knowledge, full ratification, and third-party protection.

5. Personal Liability of Agent (Sec 230) — Exceptions where agent is personally liable (Foreign principal, Undisclosed principal, Incompetent principal).

Note: This Unit is the longest in the chapter and ICAI draws on it both for short theory questions and for application-based problems; students should be able to reproduce the statutory lists of duties, rights, modes of creation and modes of termination accurately.

Part A — Case Studies

Question 1. Nature of Agency; Capacity of the Parties; Consideration [Sections 182 to 185]

Mr. Abhijit, a cloth merchant at Nashik, appointed his nephew Master Bhavesh, aged 16 years, as his agent to sell a consignment of sarees, instructing him that the consignment was not to be sold for less than ₹4,00,000. Master Bhavesh sold the whole consignment to Ms. Charulata for ₹3,20,000. Ms. Charulata bought in good faith and without any notice of the instruction given to Master Bhavesh. Mr. Abhijit now wishes to have the sale set aside and, failing that, to recover the shortfall of ₹80,000 from Master Bhavesh for having disobeyed his instructions.

Mr. Devendra, a friend of Mr. Abhijit, was of unsound mind at the relevant time and, during that period, purported to appoint Mr. Eknath as his agent to buy goods on his behalf. Mr. Eknath has since bought goods and calls upon Mr. Devendra to pay for them.

Mr. Abhijit had also requested Mr. Farhan, a family friend, to act as his agent for collecting certain outstanding dues, no remuneration of any kind being agreed. Mr. Farhan, having accepted the office and acted upon it for some weeks, now contends that there was never any agency at all, since no consideration passed between him and Mr. Abhijit.

Advise on the following matters:

- (i) Define ‘agent’ and ‘principal’ under Section 182 and state the test by which a relationship of agency is identified.
- (ii) Whether the sale to Ms. Charulata binds Mr. Abhijit, and whether he can recover the ₹80,000 from Master Bhavesh.
- (iii) Whether Mr. Devendra’s appointment of Mr. Eknath is valid, and whether Mr. Farhan’s contention that there is no agency for want of consideration is correct.

Analysing the relevant provisions of the Indian Contract Act, 1872, advise the parties.

Question 2. Creation of Agency: Estoppel, Necessity and Operation of Law [Sections 186, 187 and 237]

For several months Mr. Girish had permitted Mr. Harish to buy goods on credit in Mr. Girish’s name from Ideal Traders, and had regularly paid for the goods so bought. Relying on this course of dealing, Ideal Traders supplied a further lot of goods worth ₹1,50,000 to Mr. Harish on credit. Mr. Girish now refuses to pay, contending that Mr. Harish was never appointed his agent and that he had privately told Mr. Harish to stop buying in his name.

Mr. Girish owns a large farm at which Mr. Jaiprakash is the caretaker. While Mr. Girish was abroad and could not be contacted, a fire broke out on the farm. Mr. Jaiprakash promptly engaged labour and hired equipment, spending ₹90,000 of his own money, and thereby saved the standing crop from destruction. On his return Mr. Girish refuses to reimburse him, saying that Mr. Jaiprakash had no authority to spend anything.

Mr. Girish is also a partner in a partnership firm, and has been told that in the eyes of the law he is an agent of the firm although no one ever appointed him as such.

Advise on the following matters:

- (i) State the ways in which a relationship of agency may be created, and set out the essentials of an agency by estoppel under Section 237.
- (ii) Whether Mr. Girish is bound to pay Ideal Traders the ₹1,50,000.
- (iii) Whether Mr. Jaiprakash can recover the ₹90,000, and explain what is meant by agency by operation of law.

Analysing the relevant provisions of the Indian Contract Act, 1872, advise the parties.

Question 3. Ratification and its Essentials [Sections 196 to 200]

Mr. Kiran is the agent of Ms. Latika, with authority to buy raw material for her factory at the market rate. On 5th of the month, without any authority to buy on credit, Mr. Kiran bought 100 tonnes of steel on credit from Mahesh Steels. On 12th of the same month Ms. Latika wrote to Mahesh Steels accepting responsibility for the purchase.

On another occasion Mr. Kiran bought certain goods for Ms. Latika at a rate higher than the market rate, and Ms. Latika accepted the purchase. She afterwards came to know that the goods so purchased for her had in fact belonged to Mr. Kiran himself. In the same transaction Mr. Kiran had, without authority, entered into two connected contracts, one of which is beneficial to Ms. Latika and the other burdensome; she now wishes to adopt the beneficial one and reject the other.

Separately, Mr. Nitin holds a lease from Ms. Latika, terminable on three months' notice. Mr. Kiran, who had no authority whatever in the matter, gave a notice of termination to Mr. Nitin. Ms. Latika now seeks to ratify that notice so as to make it binding on Mr. Nitin.

Advise on the following matters:

- (i) Explain the meaning and effect of ratification and state the essentials of a valid ratification.
- (ii) Whether the ratification of the purchase made above the market rate remains binding on Ms. Latika after she learns that the goods belonged to Mr. Kiran, and whether she may ratify only the beneficial part of the transaction.
- (iii) Whether Ms. Latika can ratify the unauthorised notice of termination given to Mr. Nitin.

Analysing the relevant provisions of the Indian Contract Act, 1872, advise the parties.

Question 4. Extent of an Agent's Authority and Excess of Authority [Sections 188, 189, 227 and 228]

Mr. Nandkishore constituted Mr. Omprakash his agent to carry on his shipbuilding business at Mangaluru. In the course of doing so Mr. Omprakash purchased timber and other materials and hired workmen, and Mr. Nandkishore now disputes the bills on the ground that he had never expressly authorised any of these purchases.

Mr. Sudhakar entrusted Mr. Prakash, a transporter, with the carriage of a consignment of tomatoes from a rural farm to the city market. Heavy rains stranded Mr. Prakash on the way for more than two days, and there was no means of reaching Mr. Sudhakar. Fearing that the tomatoes would perish altogether, Mr. Prakash sold them in the nearby market below the city rate. Mr. Sudhakar seeks to recover the resulting loss from him on the ground that he acted beyond his authority.

Mr. Nandkishore, being the owner of a ship and its cargo, authorised Mr. Quereshi to procure an insurance for ₹40,00,000 on the ship. Mr. Quereshi procured a policy for ₹40,00,000 on the ship and a second policy for the like sum on the cargo. In an unrelated transaction Mr. Nandkishore authorised Mr. Rajan to buy 500 sheep for him; Mr. Rajan bought 500 sheep and 200 lambs together for one consolidated sum of ₹6,00,000.

Advise on the following matters:

- (i) State the extent of an agent's authority in normal circumstances, and whether Mr. Omprakash's purchases bind Mr. Nandkishore.
- (ii) State the conditions that must be satisfied to constitute a valid agency in an emergency, and whether Mr. Sudhakar can recover the loss from Mr. Prakash.
- (iii) State the position where an agent does more than he is authorised to do, distinguishing the case where the excess is separable from that where it is not, and apply it to the insurance and the sheep transactions.

Analysing the relevant provisions of the Indian Contract Act, 1872, advise the parties.

Question 5. Sub-agent and Substituted Agent [Sections 190 to 195]

Mr. Tarun, a carrier, agreed with Mr. Sohail to carry 60 bags of cotton waste from Morvi to Bhavnagar by truck. Neither the terms of his appointment nor the custom of the trade permitted him to pass the work on to anybody else, nor did any emergency arise. Mr. Tarun nevertheless asked Mr. Umesh, another carrier, to carry the goods, and the goods were damaged in transit. Mr. Sohail sues Mr. Tarun, who contends that Mr. Umesh alone should answer for the damage.

Mr. Sohail also directed Mr. Vijay, his solicitor, to sell his estate by auction, and expressly authorised him to employ an auctioneer for that purpose. Mr. Vijay accordingly named Mr. Wasim, an auctioneer of good repute, to conduct the sale. A dispute has now arisen as to whether Mr. Wasim is answerable to Mr. Sohail or only to Mr. Vijay.

On a later occasion Mr. Sohail instructed Mr. Vijay to buy a ship for him. Mr. Vijay employed a ship surveyor of good reputation to choose a ship. The surveyor made the choice negligently, the ship turned out to be unseaworthy and was lost. Mr. Sohail seeks to hold Mr. Vijay answerable for the surveyor's negligence.

Advise on the following matters:

- (i) Distinguish between a sub-agent and a substituted agent, and state when an agent may lawfully appoint a sub-agent.
- (ii) Whether Mr. Tarun or Mr. Umesh must answer to Mr. Sohail for the damage to the goods.
- (iii) Whether Mr. Wasim is a sub-agent or a substituted agent, and whether Mr. Vijay is responsible to Mr. Sohail for the negligence of the ship surveyor.

Analysing the relevant provisions of the Indian Contract Act, 1872, advise the parties.

Question 6. Duties and Obligations of an Agent [Sections 211 to 216]

Mr. Yogesh sells his products through agents, and it is not the custom in that line of business to sell on credit. Mr. Zubair, one of his agents, sold goods belonging to Mr. Yogesh on credit to a firm which was already insolvent at the time of the sale, and the price has proved irrecoverable. Mr. Yogesh has sued Mr. Zubair for the loss so caused.

Mr. Yogesh had also engaged Mr. Anil as his agent to buy a house for him in a particular locality. Mr. Anil bought a suitable house for ₹40,00,000 in the name of a nominee, then purchased it himself for ₹46,00,000, and thereafter sold that very house to Mr. Yogesh for ₹52,00,000. Mr. Yogesh has since discovered what Mr. Anil did and wishes to recover the excess paid by him.

Mr. Yogesh has in addition called upon Mr. Zubair to render accounts of the agency, which Mr. Zubair has produced merely as a statement of figures without any vouchers; and on an earlier occasion, when a difficulty arose in the course of the agency, Mr. Zubair took a decision on his own without making any attempt to reach Mr. Yogesh for instructions.

Advise on the following matters:

- (i) State the duty of an agent to conduct the business of the agency according to the directions of the principal or the customs of the trade, and whether Mr. Yogesh will succeed against Mr. Zubair.
- (ii) State the duty of an agent not to deal on his own account, and compute the amount that Mr. Yogesh is entitled to recover from Mr. Anil.
- (iii) State the duty of an agent to render proper accounts and his duty to communicate with the principal.

Analysing the relevant provisions of the Indian Contract Act, 1872, advise the parties.

Question 7. Rights of an Agent [Sections 217 to 225]

Mr. Bharat employed Ms. Chhaya to recover ₹10,00,000 from a debtor and to invest the amount so recovered in securities giving good returns. Ms. Chhaya recovered the whole of the ₹10,00,000. She invested ₹9,00,000 in good securities, but laid out ₹1,00,000 in securities which she ought to have known would give poor returns, whereby Mr. Bharat lost ₹20,000. Mr. Bharat now refuses to pay her any remuneration whatever for the entire assignment.

A sum of ₹60,000 remains due to Ms. Chhaya from Mr. Bharat towards commission earned and disbursements properly made in the course of the agency, and certain goods and papers of Mr. Bharat

lawfully received by her in the course of her ordinary duties are still in her possession. She wishes to retain them until she is paid.

Mr. Bharat had also directed Ms. Chhaya to sell certain goods, which in fact did not belong to him at all, and third parties have sued her in respect of that sale, she having acted throughout in good faith on his instructions. Quite separately, Mr. Bharat had employed Mr. Dinesh to assault a business rival, agreeing to indemnify him against all consequences; Mr. Dinesh did so and has been ordered to pay damages, which he now claims from Mr. Bharat.

Advise on the following matters:

- (i) State the agent's right to remuneration and the effect of misconduct upon it, and compute what Ms. Chhaya is entitled to receive and what she must make good.
- (ii) State the agent's right of retainer and his lien on the principal's property, and the cases in which that lien is lost.
- (iii) State the agent's right to indemnity, and whether Mr. Dinesh can be indemnified against the consequences of the act he was employed to do.

Analysing the relevant provisions of the Indian Contract Act, 1872, advise the parties.

Question 8. Irrevocable Agency [Section 202]

M/s Zenith Textiles, owned by Mr. Arvind, was facing a temporary shortage of working capital. On 1 June 2026, Arvind borrowed ₹18,00,000 from Ms. Kavya for a period of six months.

To secure repayment, Arvind entered into an agreement appointing Kavya as his agent to sell a specifically identified consignment of 12,000 metres of premium fabric stored in Zenith Textiles' warehouse. The agreement authorised Kavya to:

- Sell the identified consignment at a price not below ₹24,00,000.
- Receive the sale proceeds directly from the purchaser.
- Retain ₹18,00,000 from the sale proceeds towards repayment of the loan.
- Pay the remaining balance to Arvind.

The agreement expressly stated that Kavya's authority would continue until her loan of ₹18,00,000 was fully recovered from the sale proceeds. On 20 June 2026, Kavya entered into a written agreement with M/s Royal Garments to sell the identified consignment for ₹25,00,000. Royal Garments paid ₹5,00,000 as an advance, and the remaining amount was payable upon delivery.

On 25 June 2026, Arvind received a more attractive offer of ₹28,00,000 from M/s Metro Fabrics. He informed Kavya that he was revoking her authority and instructed her not to deliver the goods to Royal Garments. Arvind argued that he was the owner of the fabric and could therefore revoke Kavya's agency whenever he wished.

Kavya refused to accept the revocation, stating that the agency was created to secure repayment of her loan. On 27 June 2026, Arvind entered into a second agreement with Metro Fabrics for the same consignment. Metro Fabrics knew that Kavya had been appointed to sell the identified goods for the recovery of her loan. Despite this knowledge, Metro Fabrics paid Arvind ₹10,00,000 as an advance.

On 30 June 2026, Arvind demanded that Kavya return the ₹5,00,000 advance received from Royal Garments and stop acting under the agency. Kavya refused, stating that she was entitled to complete the original sale and recover her loan.

Answer the following questions under the Indian Contract Act, 1872.

- (i) Whether the agency created in favour of Kavya is an agency coupled with interest under Section 202?
- (ii) Whether Arvind can revoke Kavya's authority before her loan of ₹18,00,000 is recovered?
- (iii) Whether Arvind's subsequent agreement with Metro Fabrics is valid against Kavya's interest?
- (iv) Whether Kavya can proceed with the sale to Royal Garments despite Arvind's attempted revocation?
- (v) Whether Metro Fabrics can claim protection on the ground that it paid an advance to Arvind?
- (vi) Whether Kavya is entitled to retain the ₹5,00,000 advance received from Royal Garments?

Question 9. Ratification, Excess of Authority, Sub-Agent and Personal Liability

M/s Nova Electronics appointed Mr. Aditya as its agent to purchase electronic components from suppliers on a cash-payment basis. Aditya was authorised to purchase goods up to ₹8,00,000 per transaction.

On 5 July 2026, Aditya purchased components worth ₹6,00,000 from M/s Techno Parts on credit for 60 days, even though he had no authority to purchase on credit. He also agreed to pay an additional ₹40,000 as a late-payment charge if Nova Electronics failed to pay within the agreed period.

Aditya did not immediately inform Nova Electronics about the credit purchase. However, after receiving the goods, Nova used the entire stock in its manufacturing process. On 15 July 2026, Nova's managing director wrote to Techno Parts: "We confirm that the goods purchased by Aditya are accepted by Nova Electronics, and payment will be made within 60 days."

Later, Nova authorised Aditya to arrange the transportation of finished goods worth ₹12,00,000 to a customer in Mumbai. Aditya appointed his friend Rakesh as a sub-agent without informing Nova. Rakesh negligently stored the goods in an uncovered area, resulting in damage worth ₹2,00,000.

The customer refused to accept the damaged goods and claimed compensation from Nova Electronics.

Answer the following questions under the Indian Contract Act, 1872.

- (i) Whether Nova Electronics is bound by Aditya's purchase of components on credit?
- (ii) Whether Nova Electronics is liable to pay the additional late-payment charge of ₹40,000?
- (iii) Whether Aditya was authorised to appoint Rakesh as a sub-agent?
- (iv) Whether Aditya is liable to Nova Electronics for the loss caused by Rakesh?
- (v) Whether Nova Electronics is liable to the customer for the damaged goods?

Question 10. Authority, Notice of Termination, Agent's Duties and Third-Party Rights

Ms. Meera appointed Mr. Kunal as her agent to sell 500 office chairs at a minimum price of ₹3,000 per chair. Kunal was authorised to sell the chairs for cash or credit only to customers with a satisfactory financial record.

On 1 September 2026, Kunal entered into a credit sale agreement with M/s Office World for 500 chairs at ₹3,200 per chair. Office World had a strong financial record, and the sale was made within Kunal's authority.

On 5 September 2026, Meera sent Kunal a letter terminating his agency because she had decided to sell the remaining goods herself. The letter reached Kunal on 8 September 2026.

On 6 September 2026, before receiving the termination letter, Kunal entered into another sale agreement with M/s Workspace Solutions for 100 additional chairs at ₹3,100 per chair. Workspace Solutions had no knowledge of Meera's decision to terminate Kunal's authority.

On 9 September 2026, Kunal received the termination letter. Despite the termination, he entered into a new sale agreement with M/s Office Deals on 10 September 2026. Office Deals had been informed about the termination by Meera on 8 September 2026.

Meanwhile, Kunal had received ₹4,00,000 from Office World as an advance on the first sale. Meera demanded the entire amount immediately but Kunal refused to provide detailed accounts, stating that he would submit the accounts only after all pending sales were completed.

Questions

- (i) Whether Kunal's sale to Workspace Solutions on 6 September 2026 binds Meera?
- (ii) Whether Kunal's sale to Office Deals on 10 September 2026 binds Meera?
- (iii) Whether Kunal was required to render accounts before all sales were completed?
- (iv) Whether Meera is entitled to receive the ₹4,00,000 advance received by Kunal?
- (v) Whether Kunal is entitled to retain the entire advance until all pending sales are completed?

Part B — Descriptive Questions

Question 11. Explain the meaning of ratification and state the essentials of a valid ratification under the Indian Contract Act, 1872.

Question 12. State the rights of an agent under the Indian Contract Act, 1872.

Question 13. An agent is ordinarily neither able to enforce, nor personally bound by, contracts entered into by him on behalf of his principal. State the exceptional cases in which an agent is personally liable to third parties under the Indian Contract Act, 1872.

Question 14. State the modes in which an agency may be terminated under the Indian Contract Act, 1872, and explain when an agency becomes irrevocable.

Suggested Answers — Part A

Answer 1. Nature of Agency; Capacity of the Parties; Consideration

(i) Definition and test of agency

The Indian Contract Act, 1872 does not define ‘agency’, but Section 182 defines an agent as a person employed to do any act for another, or to represent another in dealings with third persons, and the principal as the person for whom such act is done or who is so represented. The test of agency is twofold: whether the person has the capacity to bind the principal and make him answerable to the third party, and whether he can establish privity of contract between the principal and third parties. If the answer to both is in the affirmative, there is a relationship of agency. The rule of agency rests on the maxim “Qui facit per alium, facit per se” — he who acts through an agent is himself acting.

(ii) The sale by Master Bhavesh

Provision: Under Section 184, any person may become an agent, and even a minor or a person of unsound mind may act as an agent, the principal being bound by his acts as between the principal and third persons. But no person who is not of the age of majority and of sound mind can become an agent so as to be responsible to his principal; where such a person is appointed, the principal is liable to the third party for the agent’s acts and has no remedy against the agent for his negligence or disobedience.

Application: Master Bhavesh, though a minor, was competent to act as an agent and to bind Mr. Abhijit as against Ms. Charulata, who bought in good faith and without notice of the price instruction. His disobedience of the instruction as to price cannot be visited upon him, a contract with a minor being void ab initio.

Conclusion: The sale to Ms. Charulata is binding on Mr. Abhijit and she gets a good title to the sarees. Mr. Abhijit cannot recover the shortfall of ₹80,000 from Master Bhavesh.

(iii) Capacity to appoint an agent, and consideration

Provision: Under Section 183, any person who has attained majority according to the law to which he is subject, and who is of sound mind, may employ an agent; a minor or a person of unsound mind therefore cannot appoint an agent. Under Section 185, no consideration is necessary to create an agency, the acceptance of the office of agent being regarded as sufficient consideration for the appointment.

Conclusion: Mr. Devendra, being of unsound mind at the time, could not validly employ an agent, and the purported appointment of Mr. Eknath creates no agency. Mr. Farhan’s contention is incorrect: the absence of remuneration does not affect the agency, and his acceptance of the office is itself sufficient consideration.

Answer 2. Creation of Agency: Estoppel, Necessity and Operation of Law

(i) Modes of creation and the essentials of agency by estoppel

An agency may be created by an express agreement, by an implied agreement, by operation of law, or by ratification. Under Section 186 the authority of an agent may be express or implied, and under Section 187 an authority is express when given by words spoken or written, and implied when it is to

be inferred from the circumstances of the case, the conduct of the parties, or things spoken or written in the ordinary course of dealing. Implied agency includes agency by estoppel and agency by necessity. Under Section 237, an agency by estoppel arises where the following are satisfied: the principal must have made a representation; the representation may be express or implied; it must state that the agent has authority to do a certain act although in truth he has none; the principal must have induced the third person by such representation; and the third person must have believed the representation and made the contract on the belief of it.

(ii) Liability of Mr. Girish to Ideal Traders

Provision: Where the principal by his conduct or statement wilfully induces another person to believe that a certain person is his agent, he is afterwards estopped from denying the fact of agency, and is bound by the acts done by such person on his behalf.

Application: Mr. Girish had for several months permitted Mr. Harish to buy goods on credit in his name from Ideal Traders and had paid for them. Ideal Traders supplied the further goods believing, on the strength of that conduct, that Mr. Harish was his agent. The private instruction given by Mr. Girish to Mr. Harish was never communicated to Ideal Traders and cannot affect them.

Conclusion: An agency by estoppel stands established, and Mr. Girish is bound to pay Ideal Traders the ₹1,50,000. He cannot now assert that Mr. Harish is not his agent.

(iii) Agency by necessity and agency by operation of law

Provision: An agency of necessity arises out of emergent circumstances: in an emergency a person is authorised to do what he could not do in ordinary circumstances, and where an agent is authorised to do a certain act and while doing it an emergency arises, he acquires an extraordinary or special authority to protect his principal from loss. Agency by operation of law arises where the law itself treats one person as the agent of another.

Application: Mr. Jaiprakash was the caretaker of the farm; a fire broke out while Mr. Girish was abroad and could not be reached, and the expenditure of ₹90,000 was incurred to save the standing crop from destruction. He thereby became an agent of necessity for Mr. Girish.

Conclusion: Mr. Girish is liable to reimburse the ₹90,000 spent by Mr. Jaiprakash in putting out the fire and saving the farm. As to the second point, a partner is by operation of law an agent of the firm for the purposes of the business of the firm, and Mr. Girish is therefore an agent of his firm although never expressly appointed as such.

Answer 3. Ratification and its Essentials

(i) Meaning, effect and essentials of ratification

Under Section 196, where acts are done by one person on behalf of another but without his knowledge or authority, that other may elect either to ratify or to disown such acts; if he ratifies them, the same effects follow as if they had been performed by his authority. Ratification thus means the approval of a previous act or transaction.

The essentials of a valid ratification are:

- i. it may be express or implied by the conduct of the person on whose behalf the act was done [Section 197];
- ii. the person ratifying must not have materially defective knowledge of the facts [Section 198];
- iii. the whole transaction must be ratified, a part of it cannot be adopted and the rest rejected [Section 199];
- iv. the ratification must not injure a third person [Section 200]; it must be made within a reasonable time;
- v. it must be communicated to the other party; and the act ratified must itself be lawful and not void or illegal.

(ii) Defective knowledge, and ratification of part of a transaction

Provision: Under Section 198, no valid ratification can be made by a person whose knowledge of the facts of the case is materially defective. Under Section 199, there can be ratification of an act in its entirety or its rejection in its entirety; the principal cannot ratify that part of the transaction which is beneficial to him and reject the rest.

Application: Ms. Latika accepted the purchase made above the market rate in ignorance of the fact that the goods belonged to Mr. Kiran himself — a material fact going to the root of the transaction. She likewise seeks to adopt one of the two connected contracts and reject the other.

Conclusion: The ratification of the purchase is not binding on Ms. Latika once she learns that the goods belonged to Mr. Kiran, her knowledge at the time of ratification having been materially defective. Nor can she ratify only the beneficial contract; she must either adopt the whole transaction or reject the whole of it.

(iii) Ratification of the notice of termination

Provision: Under Section 200, where the interest of third parties is affected, the principle of ratification does not apply; ratification cannot relate back to the date of the act so as to subject a third person to damages or to terminate a right or interest which he holds.

Application: The notice of termination was given by Mr. Kiran without any authority to Mr. Nitin, a lessee. To allow ratification would be to put an end to Mr. Nitin's subsisting interest under the lease.

Conclusion: Ms. Latika cannot ratify the notice of termination so as to make it binding on Mr. Nitin.

Answer 4. Extent of an Agent's Authority and Excess of Authority

(i) Authority in normal circumstances

Provision: Under Section 188, an agent having an authority to do an act has authority to do every lawful thing which is necessary in order to do such act; and an agent having an authority to carry on a business has authority to do every lawful thing necessary for the purpose, or usually done in the course, of conducting such business.

Application: Mr. Omprakash was constituted an agent to carry on a shipbuilding business. Purchasing timber and other materials and hiring workmen are things usually done in the course of conducting such a business.

Conclusion: The purchases and engagements made by Mr. Omprakash bind Mr. Nandkishore, who must honour the bills notwithstanding the absence of express authority for each transaction.

(ii) Authority in an emergency

Provision: Under Section 189, an agent has authority, in an emergency, to do all such acts for the purpose of protecting his principal from loss as would be done by a person of ordinary prudence in his own case under similar circumstances. To constitute a valid agency in an emergency the following conditions must be satisfied: the agent should not be in a position, or have any opportunity, to communicate with his principal within the time available; there should have been an actual and definite commercial necessity for the agent to act promptly; the agent should have acted bona fide and for the benefit of the principal; he should have adopted the most reasonable and practicable course in the circumstances; and he must have been in possession of the goods belonging to his principal which are the subject of the contract.

Application: Mr. Prakash was in possession of perishable goods, was stranded by heavy rain with no means of reaching Mr. Sudhakar, and sold the tomatoes in the nearby market to prevent their perishing altogether. He acted as a man of ordinary prudence would have acted in his own case, and with the intention of protecting his principal from a greater loss.

Conclusion: Mr. Prakash acted within his authority in the emergency, and Mr. Sudhakar will not succeed in recovering the loss from him.

(iii) Excess of authority: separable and inseparable

Provision: Under Section 227, where an agent does more than he is authorised to do, and the part of what he does which is within his authority can be separated from the part which is beyond it, so much only of what he does as is within his authority is binding as between him and his principal. Under Section 228, where what the agent does beyond the scope of his authority cannot be separated from what is within it, the principal is not bound to recognise the transaction at all.

Application: The two insurance policies procured by Mr. Quereshi are distinct and severable, one on the ship being authorised and the other on the cargo being unauthorised. The purchase by Mr. Rajan of 500 sheep and 200 lambs was made for one consolidated sum of ₹6,00,000, so that the authorised part cannot be separated from the unauthorised.

Conclusion: Mr. Nandkishore is bound to pay the premium for the policy on the ship but not that for the policy on the cargo. In the sheep transaction he may repudiate the whole of it.

Answer 5. Sub-agent and Substituted Agent

(i) Distinction, and when a sub-agent may be appointed

Under Section 191 a sub-agent is a person employed by, and acting under the control of, the original agent in the business of the agency, whereas under Section 194 a person named by an agent holding express or implied authority to name another to act for the principal is not a sub-agent but an agent of the principal for that part of the business entrusted to him. A sub-agent works under the control and directions of the agent and a substituted agent under the instructions of the principal; the agent delegates a part of his own duties to a sub-agent but delegates nothing to a substituted agent; there is no privity of contract between the principal and the sub-agent, whereas privity exists between the

principal and a substituted agent; a sub-agent is responsible to the agent alone and cannot sue the principal for his remuneration, whereas a substituted agent is responsible to the principal and can sue him for remuneration. Under Section 190 an agent cannot lawfully delegate what he has expressly or impliedly undertaken to perform personally, on the principle *delegatus non potest delegare*; a sub-agent may be appointed only where the terms of the appointment originally contemplated it, where the customs of the trade so provide, or where an unforeseen emergency in the course of the agent's employment makes delegation necessary.

(ii) The sub-agent appointed without authority

Provision: Under Section 192, where a sub-agent is properly appointed, the principal is liable to third parties for his acts, the agent is responsible to the principal for his acts, and the sub-agent is responsible for his acts to the agent but not to the principal, except in the case of fraud or wilful wrong. Under Section 193, where an agent without authority to do so appoints a person to act as a sub-agent, the agent is responsible for that person's acts both to the principal and to third persons, the principal is not responsible for the acts of the sub-agent, and the sub-agent is not responsible to the principal at all, being answerable only to the agent.

Application: Neither the terms of Mr. Tarun's appointment nor the custom of the trade permitted delegation, and no unforeseen emergency arose; Mr. Umesh was therefore a sub-agent appointed without authority.

Conclusion: Mr. Tarun is liable to Mr. Sohail for the damage to the goods, even though it was Mr. Umesh who in fact carried them. Mr. Umesh is answerable only to Mr. Tarun.

(iii) The auctioneer and the ship surveyor

Provision: Under Section 194, a person named by an agent who holds express or implied authority to name another to act for the principal is not a sub-agent but an agent of the principal. Under Section 195, in selecting such a person the agent is bound to exercise the same amount of discretion as a man of ordinary prudence would exercise in his own case; if he does so, he is not responsible to the principal for the acts or negligence of the agent so selected.

Application: Mr. Vijay was expressly authorised to employ an auctioneer and named Mr. Wasim accordingly. In the second matter he selected a ship surveyor of good reputation, thereby exercising the discretion of a man of ordinary prudence, although the surveyor then acted negligently.

Conclusion: Mr. Wasim is not a sub-agent but a substituted agent, that is, Mr. Sohail's agent for the conduct of the sale, and is answerable to Mr. Sohail. Mr. Vijay is not responsible to Mr. Sohail for the negligence of the ship surveyor; the surveyor himself is.

Answer 6. Duties and Obligations of an Agent

(i) Duty to follow the principal's directions or the customs of the trade

Provision: Under Section 211, an agent is bound to conduct the business of his principal according to the directions given by the principal or, in the absence of any such directions, according to the custom which prevails in doing business of the same kind at the place where the agent conducts such business. When the agent acts otherwise and any loss is sustained, he must make it good to his principal, and if any profit accrues he must account for it.

Application: It is not the custom in Mr. Yogesh's line of business to sell on credit, yet Mr. Zubair sold the goods on credit to a firm which was insolvent at the time of the sale, and the price has proved irrecoverable.

Conclusion: Mr. Yogesh will succeed. Mr. Zubair must make good to Mr. Yogesh the loss caused by the sale on credit.

(ii) Duty not to deal on his own account

Provision: An agent must not deal on his own account in the business of the agency without first obtaining the consent of his principal. Where he does so without the principal's knowledge, the principal may, under Section 215, repudiate the transaction if it appears either that the agent has dishonestly concealed any material fact from him or that the dealings of the agent have been disadvantageous to him; and may, under Section 216, claim from the agent any benefit which may have resulted to him from the transaction.

Application: Mr. Anil, employed to buy a house for Mr. Yogesh, acquired the house for ₹40,00,000 through a nominee and then made it over to Mr. Yogesh at ₹52,00,000, the intermediate purchase by himself at ₹46,00,000 being merely a device. The benefit that resulted to Mr. Anil out of the transaction is ₹52,00,000 – ₹40,00,000.

Conclusion: Mr. Yogesh is entitled to recover ₹12,00,000 from Mr. Anil, being the profit earned by him out of the transaction, and may in addition repudiate the transaction, Mr. Anil having dishonestly concealed a material fact.

(iii) Duty to render accounts and to communicate

Under Section 213 an agent is bound to render proper accounts to his principal on demand; rendering accounts does not mean merely showing the accounts, but accounts supported by vouchers (Anandprasad vs. Dwarkanath). A bare statement of figures without vouchers is therefore not a sufficient compliance, and Mr. Zubair must produce the vouchers. Under Section 214 it is the duty of an agent, in cases of difficulty, to use all reasonable diligence in communicating with his principal and in seeking to obtain his instructions; Mr. Zubair was in breach of that duty in deciding the matter himself without making any attempt to reach Mr. Yogesh.

Answer 7. Rights of an Agent

(i) Right to remuneration and the effect of misconduct

Provision: Under Section 219 an agent is entitled to his remuneration as agreed or, in the absence of any agreed amount, to the usual remuneration customary in the business. Under Section 220, however, an agent who is guilty of misconduct in the business of the agency is not entitled to any remuneration in respect of that part of the business which he has misconducted, and must in addition make good the loss caused.

Application: Ms. Chhaya properly recovered the whole of the ₹10,00,000 and properly invested ₹9,00,000 in good securities; her misconduct is confined to the investment of ₹1,00,000 in securities which she ought to have known would yield poor returns, whereby Mr. Bharat lost ₹20,000.

Conclusion: Ms. Chhaya is entitled to remuneration for recovering the ₹10,00,000 and for investing the ₹9,00,000. She is not entitled to any remuneration in respect of the investment of the ₹1,00,000, and she must indemnify Mr. Bharat for the loss of ₹20,000. Mr. Bharat is therefore wrong in refusing her all remuneration for the whole assignment.

(ii) Right of retainer and the agent's lien

Provision: Under Section 217 an agent may retain, out of any sums received on account of the principal in the business of the agency, all moneys due to himself in respect of advances made, the expenses properly incurred by him in conducting such business, and such remuneration as is payable to him. Under Section 221, in the absence of any contract to the contrary, an agent is entitled to retain the goods, papers and other property, whether movable or immovable, of the principal received by him until the amount due to himself for commission, disbursement and services in respect of the same has been paid or accounted for to him. The lien requires that the agent be lawfully entitled to the sum and that the property belong to the principal and have been received by the agent in his capacity as agent in the course of his ordinary duties; property obtained by unlawful means carries no lien.

Conclusion: Ms. Chhaya may retain the goods and papers of Mr. Bharat in her possession until the ₹60,000 due to her is paid or accounted for. The lien is, however, lost when possession of the property is lost, when the agent waives his right expressly or impliedly, and where there is a contract to the contrary.

(iii) Right to indemnity

Provision: Under Section 222 the principal is bound to indemnify the agent against the consequences of all lawful acts done in exercise of his authority, and under Section 223 against the consequences of acts done in good faith on the principal's instructions, even though they cause injury to the rights of third persons. But under Section 224, where one person employs another to do an act which is criminal, the employer is not liable to the agent, upon either an express or an implied promise, to indemnify him against the consequences of that act; nor can an agent claim indemnity for loss arising out of acts done in violation of the penal laws of the country.

Conclusion: Ms. Chhaya, having acted in good faith on Mr. Bharat's instructions in selling goods which turned out not to be his, is entitled to be indemnified by him against the suits brought by the third parties. Mr. Dinesh, on the other hand, cannot recover the damages from Mr. Bharat, the act he was employed to do being criminal, and the promise to indemnify him against its consequences being of no effect.

Answer 8. Termination of Agency, Irrevocable Agency and Effects of Termination

(i) Whether the agency created in favour of Kavya is an agency coupled with interest?

Provision: Section 202 provides that where the agent has an interest in the property that forms the subject matter of the agency, the agency cannot, in the absence of an express contract, be terminated to the prejudice of that interest.

Such an agency is called an agency coupled with interest. The agent must have a legally recognised interest in the subject matter of the agency itself. A mere right to receive commission is not sufficient.

Application: Arvind borrowed ₹18,00,000 from Kavya. He specifically appointed Kavya to sell the identified consignment of fabric and authorised her to retain ₹18,00,000 from the sale proceeds towards repayment of the loan. Kavya's authority was expressly linked to the recovery of her loan. Therefore, she had an interest in the sale proceeds arising from the identified consignment. Her interest was not merely a right to receive commission for acting as an agent.

The agency was created to protect Kavya's right to recover the loan from the subject matter of the agency.

Conclusion: YES, the agency is coupled with interest under Section 202 because Kavya had a direct interest in the sale proceeds of the specifically identified consignment for recovery of her loan.

(ii) Whether Arvind can revoke Kavya's authority before her loan is recovered?

Provision: Under Section 202, an agency coupled with interest cannot be terminated by the principal to the prejudice of the agent's interest, unless there is an express contractual provision permitting such termination.

Section 203 generally permits revocation of an agent's authority by the principal. However, this right is subject to the protection provided under Section 202.

Application: Arvind appointed Kavya to sell the identified consignment and recover ₹18,00,000 from the sale proceeds. The agreement expressly stated that Kavya's authority would continue until her loan was fully recovered.

The loan had not been recovered when Arvind attempted to revoke the agency. Revocation at this stage would prevent Kavya from exercising the authority granted to her for recovering her loan and would prejudice her interest.

There is no fact indicating that the agreement permitted Arvind to revoke the agency before Kavya's loan was recovered.

Conclusion: NO, Arvind cannot revoke Kavya's authority to her prejudice before her loan is recovered because the agency is coupled with interest under Section 202.

(iii) Whether Arvind's subsequent agreement with Metro Fabrics is valid against Kavya's interest?

Provision: Under Section 202, an agency coupled with interest cannot be terminated to the prejudice of the agent's interest. A principal cannot defeat the agent's secured interest by subsequently dealing with the subject matter in a manner that prevents the agent from exercising the authority necessary to protect that interest.

Application: Arvind had already appointed Kavya to sell the identified consignment and recover her loan from the sale proceeds. Before the loan was recovered, he entered into a second agreement with Metro Fabrics for the same consignment. The second agreement was entered into after Kavya had been appointed and after she had entered into a sale agreement with Royal Garments. Arvind's subsequent transaction attempts to divert the same goods and sale proceeds away from Kavya.

Therefore, the second agreement prejudices Kavya's existing interest in the subject matter of the agency.

Conclusion: NO, Arvind's subsequent agreement cannot defeat Kavya's protected interest in the identified consignment because the agency could not be terminated to her prejudice under Section 202.

(iv) Whether Kavya can proceed with the sale to Royal Garments despite Arvind's attempted revocation?

Provision: Section 202 protects an agency coupled with interest from termination to the prejudice of the agent's interest. Additionally, under Section 204, when an agency has been partly exercised, the principal cannot revoke the authority with respect to acts and obligations that have already arisen from acts performed.

Application: Kavya entered into a written agreement with Royal Garments on 20 June 2026, before Arvind attempted to revoke her authority on 25 June 2026. Royal Garments had also paid ₹5,00,000 as an advance.

Therefore, Kavya had already partly exercised her authority by entering into the sale agreement. Contractual obligations had arisen from her act before the attempted revocation.

Further, the agency was coupled with Kavya's interest in recovering her loan. Arvind's attempted revocation could not terminate the agency to the prejudice of that interest.

Conclusion: YES, Kavya can proceed with the sale to Royal Garments because the agency was coupled with interest and the sale agreement had already been entered into before Arvind attempted to revoke her authority.

(v) Whether Metro Fabrics can claim protection on the ground that it paid an advance to Arvind?

Provision: Under Section 208, termination of an agent's authority takes effect against the agent and third parties only when it becomes known to them. However, where the principal attempts to deal with property in violation of an agency coupled with interest, the principal cannot defeat the agent's protected interest under Section 202.

A third party's knowledge of the agent's existing interest is relevant when determining whether the third party can rely on the principal's subsequent transaction.

Application: Metro Fabrics knew that Kavya had been appointed to sell the identified goods for the recovery of her ₹18,00,000 loan. Despite this knowledge, Metro Fabrics entered into an agreement with Arvind for the same consignment.

Metro Fabrics therefore had knowledge of Kavya's existing agency and her interest in the sale proceeds. Its payment of ₹10,00,000 to Arvind does not remove the effect of the prior agency or give it a right to defeat Kavya's protected interest.

Conclusion: NO, Metro Fabrics cannot claim protection merely because it paid an advance to Arvind, since it knew about Kavya's existing agency and her interest in the identified consignment.

(vi) Whether Kavya is entitled to retain the ₹5,00,000 advance received from Royal Garments?

Provision: Under Section 217, an agent may retain, out of money received on behalf of the principal, amounts due to the agent for advances made, expenses properly incurred and remuneration payable.

The agent must act in accordance with the terms of the agency and account for the remaining amount to the principal.

Application: Kavya received ₹5,00,000 as an advance from Royal Garments under the sale agreement. The agency agreement authorised her to retain the sale proceeds towards recovery of her ₹18,00,000 loan.

However, the ₹5,00,000 advance is only part of the total sale consideration of ₹25,00,000. Kavya is entitled to apply the amount towards the secured loan in accordance with the agency agreement, but she cannot treat the entire amount as her unrestricted personal property. She must account for the transaction and apply the proceeds according to the agreed terms.

Conclusion: YES, Kavya can retain and apply the ₹5,00,000 advance towards recovery of her loan, as authorised by the agency agreement. However, she must account for the amount and deal with the remaining sale proceeds according to the agreement.

Answer 9. Ratification, Excess of Authority, Sub-Agent and Personal Liability

(i) Whether Nova Electronics is bound by the credit purchase?

Provision: Under Sections 196 and 197, a principal may ratify an act performed by an agent without authority. Ratification may be express or implied.

Once validly ratified, the unauthorised act has the same effect as if it had been performed with authority.

Application: Aditya was authorised to purchase goods on a cash-payment basis but purchased the components on credit. Therefore, he exceeded his authority. Nova Electronics subsequently accepted the goods, used them in its manufacturing process and expressly confirmed to Techno Parts that it accepted the purchase and would make payment within 60 days. Nova's written confirmation amounts to express ratification of the credit purchase.

Conclusion: YES, Nova Electronics is bound by the credit purchase because it expressly ratified Aditya's unauthorised act under Sections 196 and 197.

(ii) Whether Nova Electronics is liable to pay the additional late-payment charge of ₹40,000?

Provision: Section 198 provides that valid ratification requires the person ratifying the act to have knowledge of the material facts of the transaction. Under Section 199, where an unauthorised act consists of several connected transactions, the principal must ratify the whole transaction or reject the whole transaction.

Application: Aditya agreed to pay ₹40,000 as a late-payment charge while purchasing the components on credit. Nova's written confirmation accepted the credit purchase and stated that payment would be made within 60 days. The facts do not state that Nova knew about the additional

late-payment charge when it issued the confirmation. The charge is a material term of the credit arrangement.

Therefore, Nova's confirmation of the purchase, without knowledge of the additional charge, does not establish valid ratification of that separate material term.

Conclusion: NO, Nova Electronics is not bound by the ₹40,000 late-payment charge merely because it ratified the purchase, since the facts do not establish that it ratified that material term with knowledge of it.

(iii) Whether Aditya was authorised to appoint Rakesh as a sub-agent?

Provision: Section 190 provides that an agent cannot delegate acts that they have undertaken to perform personally, unless delegation is permitted by the terms of the agency, trade custom or an unforeseen emergency. Section 194 applies when an agent has authority to appoint another person to act for the principal in a particular part of the business.

Application: Nova authorised Aditya to arrange transportation of the finished goods. The facts do not state that Aditya was required to personally transport the goods. Arranging transportation may involve appointing a suitable transporter or another person for the task. However, Aditya appointed his friend Rakesh without informing Nova. The question is whether Aditya had authority to appoint a sub-agent or whether he merely had authority to select a suitable transporter.

Since the facts do not provide any express permission, trade custom or emergency justifying delegation of the agency itself, Aditya was not authorised to appoint Rakesh as a sub-agent to exercise his own delegated authority.

Conclusion: NO, Aditya was not authorised to appoint Rakesh as a sub-agent because no authority to delegate the agency has been established.

(iv) Whether Aditya is liable to Nova for the loss caused by Rakesh?

Provision: Section 193 provides that where an agent appoints a person as a sub-agent without authority, the agent is responsible for the acts of that person both to the principal and to third parties.

Application: Aditya appointed Rakesh without authority to delegate the agency. Rakesh negligently stored the goods, causing damage of ₹2,00,000. Since Rakesh was appointed without authority, Aditya is responsible to Nova for the consequences of Rakesh's acts.

Conclusion: YES, Aditya is liable to Nova Electronics for ₹2,00,000 because he appointed Rakesh as a sub-agent without authority and the sub-agent caused the loss through negligence.

(v) Whether Nova Electronics is liable to the customer for the damaged goods?

Provision: Section 226 provides that contracts entered into through an agent, and obligations arising from acts done by the agent, have the same legal consequences as if the contracts had been entered into and the acts had been done by the principal personally. Section 238 provides that misrepresentations or fraud committed by an agent in the course of the business of the agency have the same effect on agreements made through the agent as if they had been committed by the principal.

Application: Aditya was authorised to arrange the transportation of Nova's finished goods. The transportation arrangement was therefore connected with the business of the agency. The goods were damaged during storage by Rakesh, who was appointed by Aditya while acting in connection with the transportation arrangement. Nova's customer suffered loss because the goods were delivered in damaged condition.

The contractual transportation arrangement was made on behalf of Nova, and Nova is responsible for the obligations arising from that authorised business transaction.

Conclusion: YES, Nova Electronics is liable to the customer for obligations arising from the authorised transportation arrangement, although Nova may recover the loss from Aditya in accordance with the applicable rules governing the unauthorised sub-agent.

Answer 10. Authority, Notice of Termination, Agent's Duties and Third-Party Rights

(i) Whether Kunal's sale to Workspace Solutions binds Meera?

Provision: Section 208 provides that termination of an agent's authority does not take effect against the agent before it becomes known to the agent. It also does not take effect against third parties before it becomes known to them.

Application: Meera's termination letter reached Kunal on 8 September 2026. Kunal entered into the sale agreement with Workspace Solutions on 6 September 2026, before he received the termination letter. Workspace Solutions had no knowledge of Meera's decision to terminate Kunal's authority. Therefore, the termination was not known to either Kunal or the third party when the transaction took place.

Conclusion: YES, the sale to Workspace Solutions binds Meera because the termination of Kunal's authority was not known to Kunal or the third party at the time of the sale.

(ii) Whether Kunal's sale to Office Deals binds Meera?

Provision: Under Section 208, termination of an agent's authority takes effect against third parties when it becomes known to them. A third party who has knowledge of the termination cannot treat the agent as continuing to have authority on the basis of the earlier agency.

Application: Kunal received the termination letter on 9 September 2026. He entered into the agreement with Office Deals on 10 September 2026. Meera had already informed Office Deals about the termination on 8 September 2026. Therefore, Office Deals had knowledge that Kunal's authority had been terminated before entering into the transaction.

Conclusion: NO, the sale to Office Deals does not bind Meera on the basis of Kunal's former authority because Office Deals knew about the termination before entering into the agreement.

(iii) Whether Kunal was required to render accounts before all sales were completed?

Provision: Section 213 provides that an agent must render proper accounts to the principal on demand. The agent cannot postpone the duty to provide proper accounts merely because other transactions of the agency remain incomplete.

Application: Kunal received ₹4,00,000 from Office World as an advance. Meera demanded the accounts, but Kunal refused to provide them until all pending sales were completed.

The principal has made a demand for accounts. Kunal must therefore provide proper details of the money received and transactions conducted. He cannot postpone this duty until the entire agency business is completed.

Conclusion: NO, Kunal cannot postpone rendering accounts until all sales are completed because Section 213 requires him to render proper accounts when demanded by the principal.

(iv) Whether Meera is entitled to receive the ₹4,00,000 advance received by Kunal?

Provision: Section 218 provides that an agent must pay to the principal all sums received on the principal's account, subject to lawful deductions.

Section 217 allows an agent to retain amounts due for advances, properly incurred expenses and remuneration, subject to the statutory conditions.

Application: Kunal received ₹4,00,000 from Office World as an advance on behalf of Meera. The amount was received in connection with the agency business and belongs to the principal, subject to any lawful amount that Kunal is entitled to retain.

Meera is therefore entitled to receive the amount after accounting for any valid deductions.

Conclusion: YES, Meera is entitled to receive the ₹4,00,000 advance, subject to any lawful deductions permitted under Section 217.

(v) Whether Kunal is entitled to retain the entire advance until all pending sales are completed?

Provision: Section 217 permits an agent to retain, out of sums received on behalf of the principal, amounts due for advances, and properly incurred expenses and remuneration. Section 218 requires the agent to pay the balance of sums received on the principal's account to the principal.

Application: Kunal received ₹4,00,000 as an advance from Office World. He has not established that the entire amount is due to him as remuneration, expenses or repayment of advances.

Therefore, Kunal cannot retain the entire advance merely because some sales remain pending. He may retain only amounts legally due to him and must pay the balance to Meera.

Conclusion: NO, Kunal cannot retain the entire ₹4,00,000 advance until all pending sales are completed. He can retain only lawful deductions and must pay the remaining amount to Meera.

Suggested Answers — Part B

Answer 11. Essentials of a Valid Ratification

Under Section 196, where acts are done by one person on behalf of another, but without his knowledge or authority, that other may elect either to ratify or to disown such acts; if he ratifies them, the same effects follow as if they had been performed by his authority. Ratification thus means approving a previous act or transaction. The essentials of a valid ratification are:

1. Ratification may be express or implied [Section 197]: It may be expressed, or implied in the conduct of the person on whose behalf the acts were done.
2. Knowledge must not be materially defective [Section 198]: No valid ratification can be made by a person whose knowledge of the facts of the case is materially defective.
3. The whole transaction must be ratified [Section 199]: There can be ratification of an act in its entirety or its rejection in its entirety; the principal cannot ratify the part of the transaction which is beneficial to him and reject the rest.
4. Ratification cannot injure a third person [Section 200]: Where the interest of third parties is affected, the principle of ratification does not apply, and ratification cannot relate back to the date of the contract if a third party has in the intervening time acquired rights.
5. Ratification within a reasonable time: It must be made within a reasonable period of time.
6. Communication of ratification: It must be communicated to the other party.
7. The act ratified must be valid: The act to be ratified must not be void or illegal, such as payment of dividend out of capital, forgery of signatures, a criminal offence, or anything not permitted under law.

Answer 12. Rights of an Agent

1. Right to retain out of sums received on the principal's account [Section 217]: The agent may retain, out of any sums received on account of the principal in the business of the agency, all moneys due to himself in respect of advances made, the expenses properly incurred by him in conducting such business, and the remuneration payable to him for acting as agent.
2. Right to remuneration [Sections 219 and 220]: The agent is entitled to the agreed remuneration or, in its absence, to the usual remuneration customary in the business; but an agent guilty of misconduct is not entitled to any remuneration in respect of that part of the business which he has misconducted.
3. Agent's lien on the principal's property [Section 221]: In the absence of a contract to the contrary, the agent may retain the goods, papers and other property of the principal, whether movable or immovable, received by him, until the amount due to him for commission, disbursement and services in respect of the same has been paid or accounted for.
4. Right of indemnification for lawful acts [Section 222]: The principal is bound to indemnify the agent against the consequences of all lawful acts done in exercise of his authority.
5. Right of indemnification against acts done in good faith [Section 223]: Where the agent acts in good faith on the instructions of the principal, he is entitled to be indemnified against any resulting loss or damage; but no indemnity can be claimed for acts done in violation of the penal laws of the country, nor, under Section 224, for a criminal act.
6. Right to compensation for injury caused by the principal's neglect [Section 225]: The principal must compensate his agent in respect of injury caused to him by the principal's own neglect or want of skill.

Answer 13. Personal Liability of an Agent to Third Parties

Under Section 230, in the absence of any contract to that effect, an agent can neither personally enforce contracts entered into by him on behalf of his principal, nor is he personally bound by them; he can

neither sue nor be sued upon them. In the following exceptional cases, however, the agent is presumed to have agreed to be personally bound:

- 1. Foreign principal:** Where the contract is made by the agent for the sale or purchase of goods for a merchant resident abroad, the presumption is that the agent undertakes to be personally liable for the performance of the contract.
- 2. Undisclosed or unnamed principal:** Where the agent does not disclose the name of his principal, the presumption is that he himself undertakes to be personally liable.
- 3. Non-existent or incompetent principal:** Where the principal, though disclosed, cannot be sued — as where the agent contracts for a minor — the agent is presumed to be personally liable; this may not follow where the other party already knows that the principal is a minor.
- 4. Pretended agent [Section 235]:** Where a person pretends to be an agent but is not in fact one, and the principal does not ratify but disowns the act, the pretended agent is himself liable.
- 5. Where the agent exceeds his authority:** Where the agent exceeds his authority and misleads the third person into believing that he has the requisite authority, he may be made personally liable for breach of warranty of authority.

In cases where the agent is personally liable, Section 233 permits the person dealing with him to hold either the agent or the principal, or both of them, liable.

Answer 14. Termination of Agency and Irrevocable Agency

Termination of agency means putting an end to the legal relationship between principal and agent. Section 201 provides the following modes of termination:

- 1. Revocation by the principal:** The principal may revoke the agent's authority at any time before it has been exercised so as to bind him [Section 203], but not after it has been partly exercised, so far as regards obligations arising from acts already done [Section 204]. Premature revocation without sufficient cause obliges him to compensate the agent [Section 205], and reasonable notice of revocation must be given [Section 206].
- 2. Renunciation by the agent [Section 206]:** The agent may renounce the business of the agency in the same manner in which the principal may revoke, on reasonable notice, and must compensate the principal for a premature renunciation without sufficient cause.
- 3. Completion of the business:** The agency terminates automatically and by operation of law when the business of the agency is completed.
- 4. Death or insanity of the principal or the agent:** The agency is determined automatically; winding up of a company or dissolution of a partnership has the same effect. Acts done by the agent before the death remain binding.
- 5. Insolvency of the principal:** The agency ends on the principal being adjudicated insolvent.
- 6. Expiry of time:** Where the agent was appointed for a fixed term, the expiry of the term ends the agency, whether or not its purpose has been accomplished.

When is an agency irrevocable: Under Section 202, where the agent has himself an interest in the property which forms the subject matter of the agency, the agency cannot, in the absence of an express

contract, be terminated to the prejudice of such interest. Such an agency coupled with interest is irrevocable and does not come to an end even on the death, insanity or insolvency of the principal.

Part C — Previous Year Papers — May 2026

Q.1. (a) (7 marks)

The question below is reproduced in full as it was set in the May 2026 examination. It is a composite question: sub-part (i) is answered from the law of offer and acceptance in Units 1 and 2, while sub-parts (ii) and (iii) turn on the law of agency in this Unit. Answers to all three sub-parts are given in the suggested answers that follow.

Rakesh intending to sell his used car, approached his friend to suggest the name of a reliable used car broker who can help to sell his car. His friend recommended the name of Vikash, a renowned and reliable broker. Vikash inspected the vehicle and there on the spot Rakesh informed Vikash that he has decided to sell the car for ₹12 Lakhs. He also informed Vikash that anyone who will be interested must give a token advance amount of ₹5 Lakhs at the time of the deal and to pay the balance amount of ₹7 Lakhs at the time of delivery of the vehicle.

Vikash brought a potential customer Ravi for inspection of the vehicle, who inspected the same along with a mechanic brought by him. He was satisfied with the condition of the car. When Ravi informed Vikash about his interest, he came to know about the price of the car offered by Rakesh. Ravi told Vikash that he was prepared to purchase the car only for a total consideration of ₹10 Lakhs and immediately transferred an amount of ₹5 lakhs to Vikash's Bank Account through NEFT as advance, which was immediately transferred by Vikash to Rakesh.

After a week when the parties met to conclude the sale, Ravi issued another cheque for only ₹5 lakhs as the final payment, which Rakesh rejected. Vikash tried to convince Rakesh that the condition of the car is such that it would not fetch more than ₹10 Lakhs. But Rakesh did not agree with Vikash.

Analysing the applicable provisions of the Indian Contract Act, 1872, answer the following questions as per the information given above:

(i) Whether there is a legally valid and enforceable contract in this case. [3 Marks]

(ii) Briefly discuss the remedies available to Rakesh in this situation. [2 Marks]

(iii) What if Vikash (the broker) never actually (though unintentionally) told Ravi about the price of ₹12 Lakhs, however received ₹5 Lakhs anyway? [2 Marks]

(i) Whether there is a legally valid and enforceable contract [3 Marks]

Provision: Under Section 2(b) read with Section 7, an acceptance must be absolute and unqualified; a modification of the terms, or the addition of a new condition, converts the acceptance into a counter-offer. A counter-offer rejects and extinguishes the original offer (Hyde v. Wrench). Under Section 13, two or more persons are said to consent when they agree upon the same thing in the same sense, that is, there must be consensus ad idem.

Application: Rakesh offered to sell the car for ₹12 lakhs. Ravi proposed to purchase it for ₹10 lakhs; consequently, Rakesh's original offer to sell the car for ₹12 lakhs came to an end the moment Ravi proposed to buy it for ₹10 lakhs, a counter-offer operating as a rejection of the original offer. The

parties never agreed upon the same price, and there was no meeting of minds on the essential term of price as required by Section 13.

Conclusion: No legally valid contract was formed. The transaction is void for want of agreement on essential terms.

(ii) Remedies available to Rakesh [2 Marks]

1. Right to refuse delivery: Rakesh is not bound to deliver the car for ₹10 lakhs.
2. Refund of the advance: He must refund the ₹5 lakhs advance to Ravi.
3. Remedy against the agent, Vikash: An agent is bound to conduct the business of the agency according to the principal's directions [Section 211], and where an agent exceeds his authority and the excess cannot be separated from what is within it, the principal is not bound [Section 228]. Vikash having exceeded his authority, Rakesh may hold him liable for negligence or breach of duty.
4. Right to sell to another buyer: Ownership having never passed to Ravi, Rakesh remains the lawful owner and may sell the car to another buyer.
5. Suit for specific performance or damages: As no contract existed, specific performance is not applicable; had Ravi's counter-offer been accepted and then broken, Rakesh could have sued for damages under Section 73.

(iii) If Vikash never told Ravi of the price of ₹12 lakhs [2 Marks]

Being an agent and broker, Vikash had a duty to communicate the principal's terms correctly. A failure to do so, even unintentionally, amounts to misrepresentation under Section 18 of the Act, and his negligence may make him liable to Rakesh; but Rakesh still cannot be compelled to sell the car for ₹10 lakhs. Ravi may rescind the contract on the ground of misrepresentation, having been induced to pay ₹5 lakhs without full knowledge of the asking price, and is entitled to recover the ₹5 lakhs paid, the transaction having been based on incomplete information; he is not bound by any contract entered into without knowing the true selling price. Vikash would thus be liable both to Rakesh, for breach of his duty as agent, and to Ravi.

About This Question Bank

Studying **Business Laws** is not just about understanding the provisions. The real challenge begins when you have to apply those provisions to a new set of facts and frame the answer correctly.

The ICAI Study Material, RTPs, MTPs and Previous Year Papers form the foundation of your preparation. But sometimes, you simply need **more questions to practise, more situations to analyse and more opportunities to test your understanding.**

That is where the Smart Revision Question Bank steps in.

Designed as a supplementary practice resource for CA Foundation students, this question bank takes you beyond reading and into **active application of law** through carefully structured questions and detailed solutions.



WHAT'S INSIDE



95 questions with model answers
across all 9 units of the Indian Contract Act, 1872



57 application-based case studies
that test how provisions apply to new facts



38 descriptive questions
covering definitions, distinctions and short notes



9 solved questions from the September 2026 and May 2026 papers,
placed unit-wise



Unit Overview, Learning Outcomes and High-Priority Topics
at the start of every unit



Provision → Application → Conclusion
every answer is written the way marks are awarded



Answers at the end of each unit,
so you attempt first and check while it's fresh



THE IDEA BEHIND THE BOOK

Learn the provision. Understand the facts. Apply the law. Frame the conclusion.

Because knowing the law is only the beginning.

The real preparation begins when you learn to apply it.



PART 2 OF THE SMART REVISION QUESTION BANK

Covers the remaining enactments of the CA Foundation Business Laws syllabus:

- The Sale of Goods Act, 1930
- The Indian Partnership Act, 1932
- The Limited Liability Partnership Act, 2008
- The Companies Act, 2013
- The Negotiable Instruments Act, 1881
- The Indian Regulatory Framework

